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metal&ROCK | Europe

Gold and Silver: When Will ETF Buying Resume?

Gold is struggling for direction, with central bank gold buying improving but ETFs selling on Fed hike fears. Silver has seen similar ETF selling but has lagged gold, with softer industrial demand. From here, we see upside to both, contingent on the Fed avoiding a rate hike.

Key Takeaways

- ETFs were 20% of gold demand and 15% of silver demand in 2025, but have been selling precious metals since the Middle East conflict on rate hike fears.
- Gold central bank buying is accelerating, led by China and Poland.
- In contrast, silver industrial and jewellery demand have been pressured by high and volatile prices in 2025.
- We see room for both metals to rebound from here if the Fed can avoid rate hikes, in line with our US economists' view that disinflation has begun.
- We forecast \$4,450/oz for gold, \$6540/oz for silver by Q4 2026.

Gold is seeing signs of improvement in central bank demand: Central bank gold selling dominated headlines in March/April, led by Turkey and Russia. However, sales have since slowed, and elsewhere, buying is accelerating, notably in China, which has added 40t YTD (versus 25.8t in FY25), Poland (+64t YTD versus 102t in FY25) and Uzbekistan (+33t YTD, versus 7.8t in 2025).

Physical silver demand is still challenged: Silver has lagged gold in recent months, impacted both by macro drivers and weaker industrial (solar) and jewellery demand, with high prices and volatility encouraging substitution and thrifting. This has weighed on silver's correlation with copper.

But the return of ETFs is the swing factor for both: ETFs were 20% of gold demand and 15% of silver demand in 2025 as rate cuts spurred a step up in precious metals buying. However, with the Middle East conflict and the shift in market pricing towards rate hikes, ETFs have been selling, holding back gold and silver prices. Our [economists](#) hold an out-of-consensus call that the Fed can stay on hold this year and cut twice next year, with the recent CPI print suggesting disinflation has begun. With this, we see room for ETFs to re-engage, although this may be Q4 weighted.

MS Outlook: We see upside to both gold and silver through 2H26 and into 2027, with around 11% upside to gold and 16% upside for silver by year-end, with the additional upside for silver supported by its higher-beta nature and our constructive view on copper. Stabilising central bank demand should provide a floor for gold, with any return of ETF buying a positive, while silver may see some return of its correlation to copper, as well as support from any ETF inflows.

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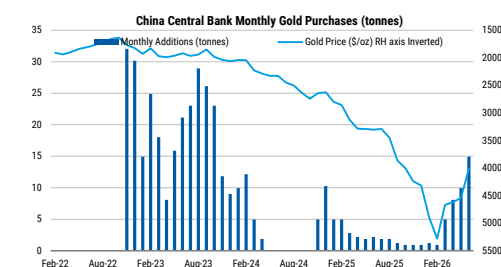
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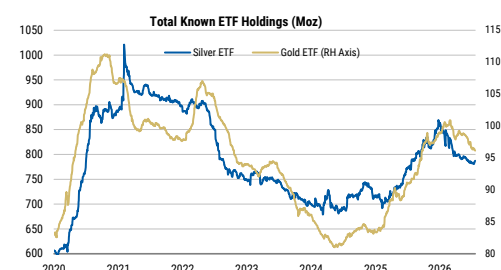
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Exhibit 1 : China has accelerated its gold purchases



Source: Bloomberg

Exhibit 2 : But ETFs remain absent for now



Source: Bloomberg

metal&ROCK: The Price Deck – 3Q26: Micro Narratives, But Macro Matters (8 Jul 2026)

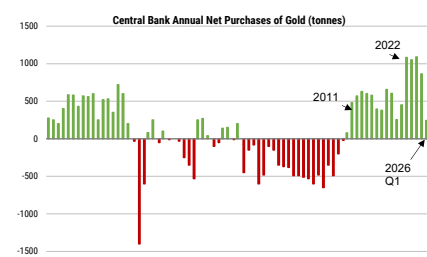
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Gold

Exhibit 3: We observed a strategic shift in central bank gold buying in 2022



Source: World Gold Council

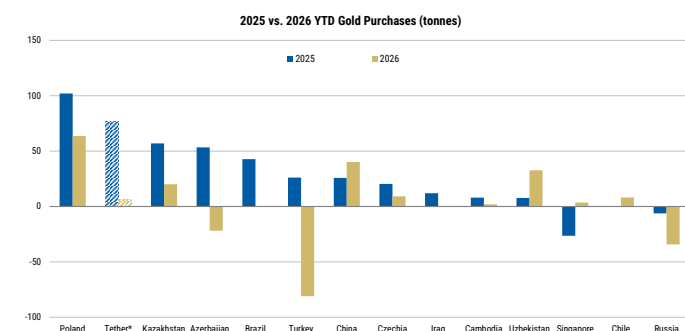
Central banks re-engaging

Central bank gold selling dominated headlines in March/April, led by Turkey: Turkey had been one of the three largest official gold buyers of the 2022-2025 cycle (alongside China and Poland), adding 154 tonnes over four years. However, the start of the Middle East conflict, and Turkey's reliance on imports for up to ~90% of its fuel (AGBI), widened its trade deficit, driving dollar demand and pushing the Lira to record lows against a backdrop of 31% inflation in March. Turkey's Central Bank responded by selling gold to defend the currency, with Bloomberg reporting Turkey sold and swapped about 60 tonnes of gold in the two weeks after the Middle East conflict started.

And others were selling too: Russia has sold 34.2 tonnes YTD, already exceeding the 6.2 tonnes sold in 2025, as military spending and fiscal sanctions have deepened the federal deficit to 6 trillion rubles (\$83 billion) by the end of May. Azerbaijan has also flipped to a net seller, with the State Oil Fund of the Republic of Azerbaijan (SOFAZ) releasing 21.9 tonnes YTD after the rally in the gold price pushed gold's share in its reserves above SOFAZ's self imposed 35% threshold.

However, buying is accelerating elsewhere, notably China and Poland: China's PBOC has bought gold for 20 months consecutively, and has accelerated purchases since the pullback in the gold price. Before the conflict, China was buying around 1 tonne/month, but purchased 14.9 tonnes in June, taking YTD purchases to 40.1 tonnes, already exceeding the 25.8 tonnes bought in 2025. Poland has continued its strong buying momentum from 2025, purchasing 63.6 tonnes YTD (running ahead of its FY 2025 purchases of 100 tonnes on a time-adjusted basis). Uzbekistan has added 32.7 tonnes YTD, versus 7.8 tonnes in 2025. Overall, we have seen a global recovery in central bank purchases in recent data. Turkey's sales have also slowed significantly, to just 2.7 tonnes in May. Global net sales reached 50.6 tonnes in March, but April and May data showed higher purchases of 21.5 and 41.2 tonnes, respectively. YTD to May, identifiable gold purchases have reached 84.4 tonnes, down 30% from the equivalent period in 2025 but with room to recover further in 2H.

Exhibit 4: China has accelerated gold purchases, while Turkey has flipped to a net seller



Source: World Gold Council. *1Q26

Exhibit 5: China purchased 14.9 tonnes in June, the highest monthly addition since October 2023 and the 20th consecutive monthly inflow



Source: World Gold Council, Bloomberg

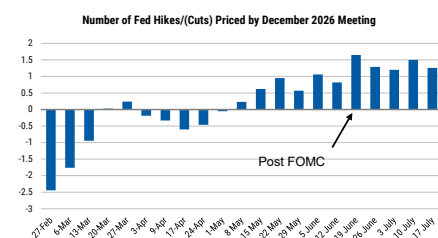
But ETFs still missing

Gold ETF holdings are flat YTD, with North America driving recent sales: While central bank buying undoubtedly supported gold prices in 2025, the biggest swing in demand came from ETFs, which bought around 800 tonnes of gold, not far off central bank purchases. In contrast, they are significantly lagging in 2026 so far. WGC data shows ETFs had only added 18 tonnes of gold between end-2025 and end 1H26, with large purchases in Jan, Feb and April offset by sales in other months, and net sales observed across every region in June, totalling 74 tonnes. North America has driven the reversal, with 42 tonnes of outflows in June taking first half net sales to 60.5 tonnes. By contrast, strong early year inflows in Asia have meant the region has remained a net buyer YTD, adding 69.7 tonnes in 1H, while European inflows also remain positive YTD.

The concentration of 1H outflows in North America highlights the region's recent role as the swing buyer. US listed funds are the marginal pool of gold ETF capital and tend to dominate both the up and down legs of a cycle. Because North America had led global inflows on the way up, it also had the most recently accumulated length to unwind when sentiment changed, particularly for additions that had taken place at higher prices.

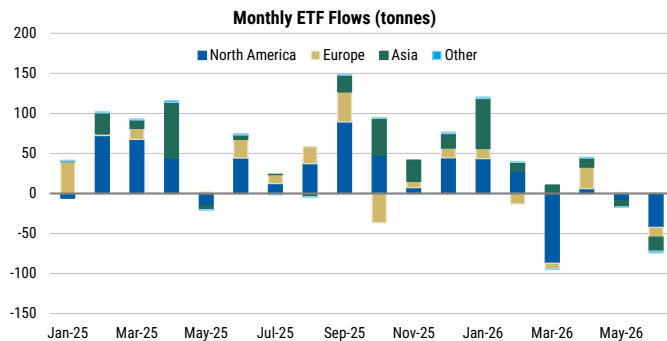
Clarity on Fed path required for ETFs to re-engage: Gold ETF holdings are generally negatively correlated with Fed rates, and US flows are particularly sensitive. After the Middle East conflict increased inflation worries and shifted Fed rate expectations, the opportunity cost of holding gold rose most acutely for US-based investors. [Exhibit 8](#) highlights this relationship, with ETF buying really only starting a few months before the first rate cut in late 2024.

Exhibit 6: Fed rate pricing has changed since the conflict

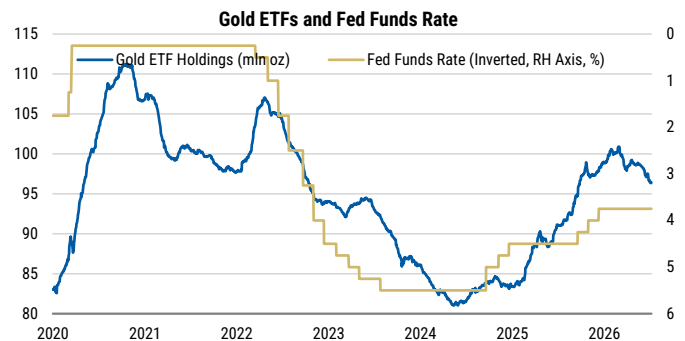


Source: Bloomberg (WIRP function)

While Central Bank buying is more likely to continue regardless of price or monetary policy, re-engagement of ETFs will likely remain sensitive to the Fed path, real yields and the dollar. At the moment, the market is pricing 1.4 rate hike by year end, down from 1.7 early last week, with sentiment shifting on Middle East tensions and incoming US economic data. The softer June CPI print drove the drop in hike expectations, with our [US economists](#) of the view that inflation will continue to decelerate over the remainder of the year, allowing the Fed to remain on hold. However, one month of data does not indicate a trend and a recent re-escalation in the Middle East conflict adds further uncertainty to the rate trajectory. In our view, for ETFs to re-engage, the market would need to have more confidence that the Fed can at least remain on hold and move towards cuts next year. This may take time and more supportive economic data, suggesting patience will be needed for any gold positions.

Exhibit 7: North American sales have driven recent ETF gold outflows

Source: World Gold Council

Exhibit 8: Clear line of sight to rate cuts would be required for ETF holdings to meaningfully increase, in our view

Source: Bloomberg

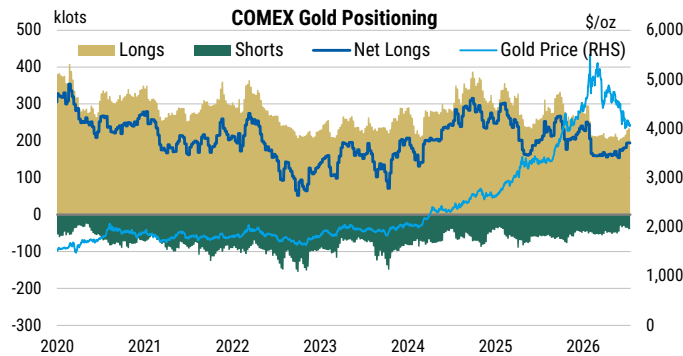
Positioning picking up

What the data shows: After the Q1 washout, non-commercial positioning has started to rise in COMEX gold, particularly since mid-May, with net longs the highest since early February. As of 15th July, CFTC non-commercial net longs had risen by 34 k lots to 194 k lots, built through a combination of 23 k lots of fresh longs and 12 kt lots of short covering.

Macro money stepping in: Gold appears to be finding some support around \$4,000/oz, with Central Bank buying accelerating, plus signs that some discretionary macro money is stepping in, driven by the structural story of fiscal deficits, reserve diversification and fiat currency debasement.

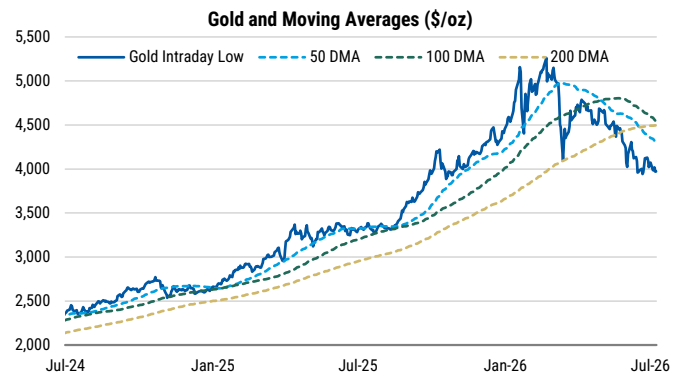
But CTAs leaning the other way: The complication is that gold is now trading below its 200 DMA. Having initially bounced off the 200 DMA in March, gold moved below the key technical level in early June and has not recovered since. In mid-July, the 50 DMA also crossed below the 200 DMA, triggering a "death cross". This matters because CTAs and other algorithmic traders mechanically reduce longs or add shorts when price sits below key moving averages and momentum is negative. With gold beneath the 200 DMA and short term moving averages sloping down, CTAs are likely biased toward selling rallies, rather than buying dips, which may have limited upward price movement recently, despite Central Bank buying accelerating and macro money adding length.

Exhibit 9: Gold net non-commercial positioning has started moving upwards again



Source: Bloomberg

Exhibit 10: But gold is still below its 200 DMA, with the 50dma recently moving below the 200dma, triggering a "death cross"



Source: Bloomberg

MS Outlook: We see gold's risk-reward skewed to the upside, provided the Fed can avoid another tightening cycle. Our US economists expect inflation to decelerate and the Fed to remain on hold this year, while a clearer path toward cuts next year should lower real yields and encourage ETFs to re-engage. With global ETF holdings broadly flat YTD following North American led outflows, even a partial return of US funds, the marginal swing buyer, could provide meaningful upside. The key downside risk remains renewed Middle East escalation and higher oil prices, which could revive inflation concerns and push rate expectations higher.

Central Bank demand should provide a firmer underlying floor, with Turkey's sales slowing and purchases accelerating in China, Poland and Uzbekistan. Positioning has also begun to recover, suggesting discretionary macro investors are rebuilding exposure. Technicals remain a near-term headwind, however, with gold below its 200 DMA and the recent "death cross" keeping CTAs biased towards selling rallies. A sustained move back above the 200 DMA could reverse this pressure and, alongside renewed ETF inflows and continued Central Bank buying, reinforce our more bullish outlook – MSe \$4,450/oz for 4Q26.

Silver

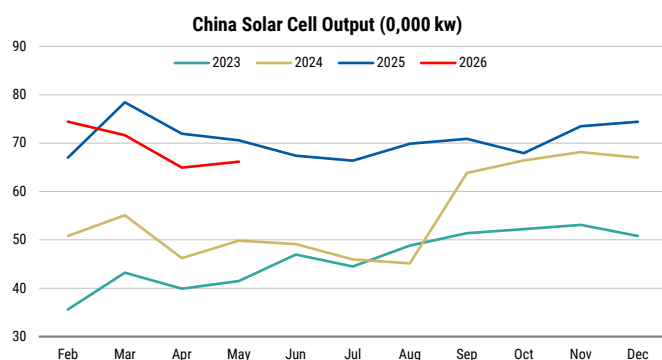
Correlations breaking down: Silver appears to be disconnecting from the two metals it typically tracks most closely – gold and copper. Silver was 79% correlated to gold in the first 6 months of 2026, down from 98% in 2H25, while its correlation with copper has fallen from 95% in 2H25 to 0% currently. This suggests silver's drivers may be changing as it grapples with changing end use demand and macro headwinds, with precious metals themes outweighing industrial demand at the moment.

Copper/Silver disconnect: Silver's correlation with copper has seen the biggest shift this year, falling from 95% in 2H25 to 0% currently. Historically, this strong correlation has been driven by similar exposure to electrical sectors, given their strong electrical conductivity, but this appears to be changing. While copper has seen good end use demand from grid spend and data centres, as well as US stocking demand ahead of potential tariffs (see [Scenarios for US Copper Tariffs](#)), silver's industrial use has been more challenged, particularly in the solar sector.

The photovoltaic (solar) sector accounted for 17% of silver demand in 2025, up from 7.4% in 2019, but risks to demand skew more to the downside than upside from here. Silver demand from the photovoltaic sector already fell 6% YoY in 2025, and the Silver Institute forecasts a further 19% drop in 2026 as solar output slows and thrifting and substitution become more prevalent. China's solar cell output is down 2% YTD, while installations are down 70% off a high base with changing power price tariffs in May 2025. China is also planning a [consumption tax](#) which may further weigh on demand. Exports have been helping, up 43% YTD, but volumes slowed in May as VAT rebates are being phased out too. Co-location of ESS battery capacity may help provide some offset here.

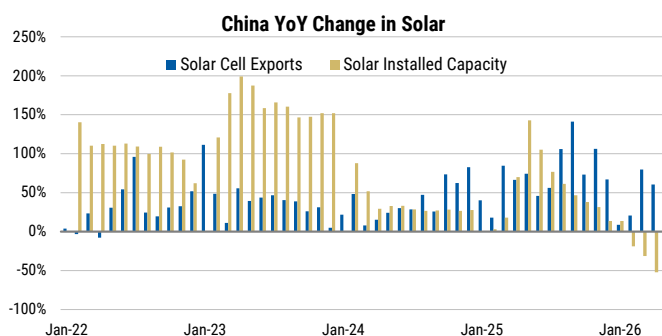
Silver accounted for 30-35% of the cost of a solar panel last year, driving focus on reducing silver intensity. For example, Longi, China's biggest solar producer, has recently started a new factory which replaces silver with copper, taking 3 months to get it up and running. We model 2024 to be the peak in silver demand from solar, and while global installations may still rise, we assume thrifting and substitution continue.

Exhibit 11: Solar cell output is down YoY in China



Source: Bloomberg

Exhibit 12: Chinese solar exports had been offsetting lower domestic demand, but these are rolling over too with the phase out of VAT rebates

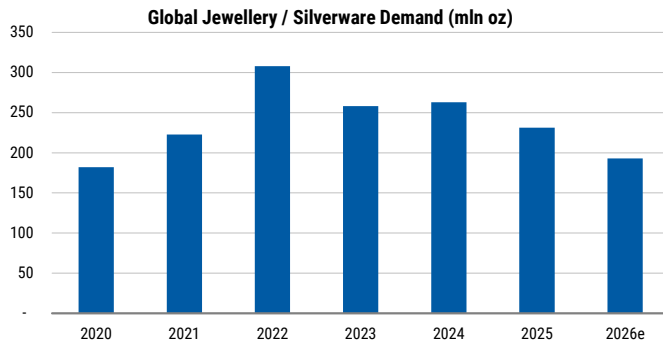


Source: China Customs, Bloomberg

Silver jewellery demand has also been under pressure, down 8% YoY in 2025 and

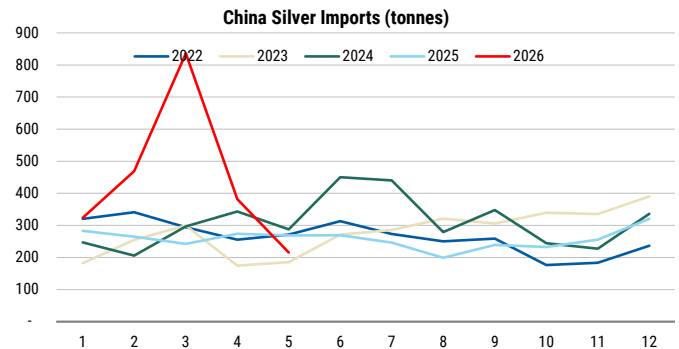
potentially falling again in 2026. [Pandora](#) (covered by Grace Smalley) is pivoting to platinum-plated jewellery, away from Sterling Silver, while [Tiffany](#) is also pivoting towards gold. China's silver imports started the year strong, perhaps as some metal was re-directed from Dubai, but these have plunged too.

Exhibit 13: Jewellery demand has been falling



Source: The Silver Institute

Exhibit 14: China's silver imports have plunged too



Source: China Customs

Macro headwinds remain: Along with platinum and palladium, silver is down around 23% YTD, versus gold only down 8%, suggesting the industrial demand headwinds have hurt demand as well as macro challenges. This is also clear in silver's correlation with gold, which has fallen from 98% in 2H25 to 79% in 1H26. With silver's recent underperformance, the Gold/Silver ratio has rebounded to 70x (from a trough of 46x in late January), in line with our long-run estimates.

Exhibit 15: Silver ETF holdings have trended downward through 2026



Source: Bloomberg

ETFs remain absent but with room to re-engage: Bloomberg's reported total known silver ETF holdings peaked in late 2025 around 870 Moz, but have drifted down to 784 Moz through 2026, a 10% decline versus the 5% decline seen in gold holdings from peak. The ETF outflows were likely triggered by some profit taking after silver more than doubled in 2025 and a more hawkish Fed outlook that has lifted real yields and also threatened silver's industrial demand.

Similar to gold, in our view, re-engagement would require stronger expectations that Fed rate hikes can be avoided, as well as a credible path back toward rate cuts, with a steadier industrial/growth outlook too. We model a significant slowdown in buying for this year but assume ETFs are still net buyers, in line with the Morgan Stanley view that the Fed can stay on hold this year. If the Fed ends up hiking rates though, we may see more downside risk to this.

MS Outlook: The Gold/Silver ratio has rebounded to 70x, in line with our long-run estimates. We see slightly more upside for silver than gold by 4Q, given silver's recent underperformance, and this could emerge if silver re-connects with copper or ETFs return to buying. We continue to watch interest rate developments in the US and incoming economic data which could support ETF re-engagement. Silver may also see upside risks if copper prices rise and the correlation re-emerges, but solar weakness is likely to remain a headwind. In contrast to gold, silver positioning on COMEX remains flat for now, suggesting investors remain on the sidelines for now.

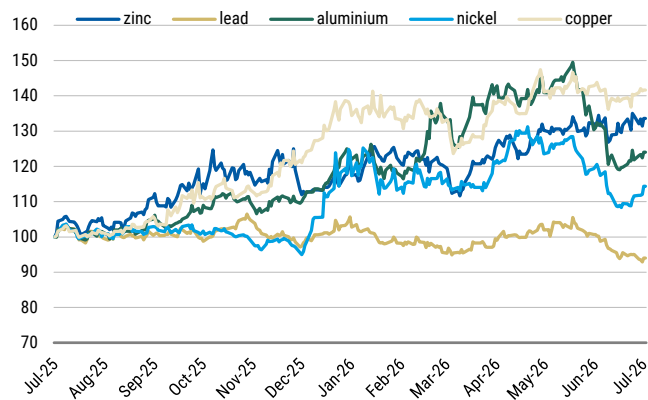
Week in Review

Base Metals: Base metals posted a mixed performance last week amid renewed tensions in the Middle East. Aluminium was up 0.4% WoW, with any further disruption to the Strait of Hormuz likely to restrict recovery in flows out of the region. LME copper was up 0.3% WoW as LME inventories continued to draw; however, COMEX copper fell 0.3% WoW, potentially due to higher exposure to the macro implications of re-escalation in the Middle East. Nickel gained 1.3%, with tensions in the Middle East likely to further restrict the flow of sulphur to HPAL operations in Indonesia. Lead and zinc fell 0.7% and 2.5% WoW, respectively.

Precious Metals: Re-escalation of tensions in the Middle East weighed on gold and silver last week as inflation fears and Fed path uncertainty continued, despite a softer US CPI print. Gold and silver were down 2.5% and 6.65 WoW, respectively. Platinum was down 2.3% and palladium fell 2.5%.

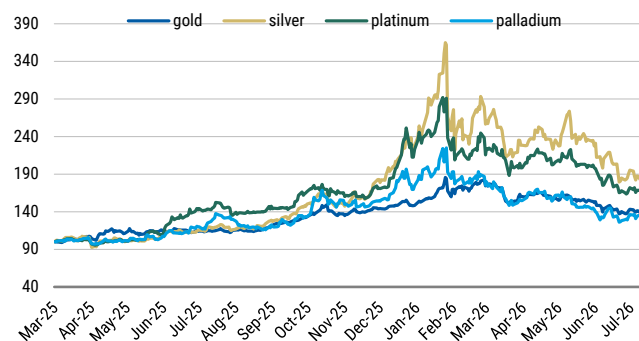
Bulks: Bulks posted a mixed performance last week. For iron ore, supply constraints due to a strike at Port Headland and higher freight rates supported a rebound to \$100/t mid-week, although prices eased slightly through Friday, ending the week 0.8% higher WoW. Met coal fell 2.4% WoW amid a weakening steel outlook in China. Thermal coal was up 1.1% WoW, tracking the rest of the energy complex higher as tensions re-escalated in the Middle East.

Exhibit 16: Base metals price indices (12-month rolling)



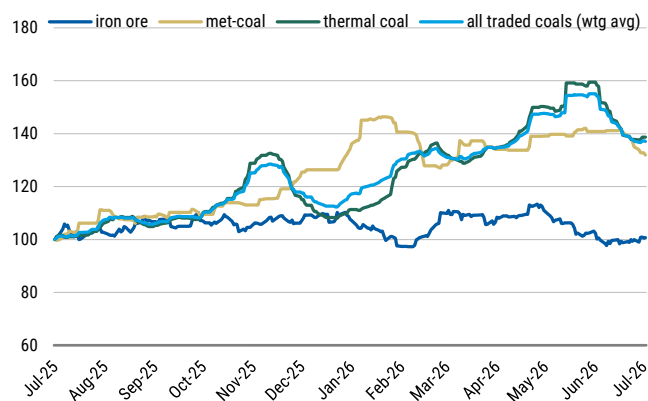
Source: Bloomberg, Morgan Stanley Research

Exhibit 17: Precious metals indices (12-month rolling)



Source: Bloomberg, Morgan Stanley Research

Exhibit 18: Bulk commodity price indices (12-month rolling)



Source: Platts, Bloomberg, Morgan Stanley Research

Morgan Stanley Price Forecasts

Exhibit 19: Summary of Morgan Stanley's commodity price forecasts (set on 8 July 2026)

commodity group	unit	2Q 26a	3Q 26e	4Q 26e	1Q 27e	2Q 27e	3Q 27e	4Q 27e	1Q 28e	2025e	2026e	2027e	2028e	2029e	2030e	2031e	LT real	LT nom.
Base Metals																		
LME Aluminium	US\$/lb	1.62	1.50	1.36	1.32	1.32	1.27	1.27	1.27	1.20	1.48	1.29	1.27	1.36	1.36	1.36	1.13	1.30
	US\$/t	3,565	3,300	3,000	2,900	2,900	2,800	2,800	2,800	2,638	3,265	2,850	2,800	3,000	3,000	3,000	2,500	2,871
LME Copper	US\$/lb	6.04	6.12	6.46	6.03	5.90	5.81	5.67	5.67	4.56	6.11	5.85	5.67	5.44	5.22	5.22	4.40	5.05
	US\$/t	13,317	13,500	14,250	13,300	13,000	12,800	12,500	12,500	10,053	13,471	12,900	12,500	12,000	11,500	11,500	9,700	11,141
COMEX Copper	US\$/lb	6.18	6.43	6.85	6.46	6.31	6.15	6.01	5.78	4.85	6.32	6.23	5.78	5.55	5.32	5.32	#N/A	#N/A
	US\$/t	13,627	14,175	15,105	14,231	13,910	13,568	13,250	12,750	10,691	13,935	13,740	12,750	12,240	11,730	11,730	#N/A	#N/A
LME Nickel	US\$/lb	8.20	7.48	7.48	7.94	7.94	7.94	7.48	7.48	6.94	7.76	7.82	7.48	7.71	8.16	8.16	7.44	8.54
	US\$/t	18,080	16,500	16,500	17,500	17,500	17,500	16,500	16,500	15,294	17,101	17,250	16,500	17,000	18,000	18,000	16,400	18,836
LME Zinc	US\$/lb	1.57	1.54	1.61	1.50	1.47	1.41	1.32	1.32	1.31	1.55	1.42	1.32	1.32	1.36	1.36	1.27	1.46
	US\$/t	3,457	3,400	3,550	3,300	3,250	3,100	2,900	2,900	2,879	3,410	3,138	2,900	2,900	3,000	3,000	2,801	3,217
LME Lead	US\$/lb	0.89	0.86	0.88	0.88	0.91	0.93	0.95	1.00	0.90	0.88	0.92	1.00	1.01	1.13	1.13	1.02	1.17
	US\$/t	1,955	1,900	1,950	1,950	2,000	2,050	2,100	2,200	1,978	1,934	2,025	2,200	2,238	2,500	2,500	2,250	2,584
Precious Metals																		
Gold	US\$/oz	4,521	4,200	4,450	4,700	4,900	5,100	5,200	4,500	3,469	4,509	4,975	4,500	4,000	4,000	4,000	2,500	2,871
Silver	US\$/oz	73.1	64.6	65.4	67.1	70.0	72.9	74.3	64.3	40.5	71.7	71.1	64.3	57.1	57.1	57.1	31.3	35.9
Platinum	US\$/oz	1,930	1,550	1,580	1,610	1,660	1,710	1,760	1,810	1,291	1,819	1,685	1,900	2,095	2,148	2,202	1,940	2,228
Palladium	US\$/oz	1,425	1,100	1,150	1,200	1,250	1,275	1,300	1,300	1,160	1,349	1,256	1,312	1,345	1,379	1,414	1,250	1,436
Bulks																		
Iron Ore (fines 61% Fe, cfr N.China)	US\$/t	105	93	92	92	92	92	95	95	102	99	93	94	100	100	100	90	103
Hard Coking Coal (spot, fob Aus)	US\$/t	238	230	235	230	225	225	230	220	188	235	228	214	215	215	215	191	219
Thermal coal (spot, fob Newc)	US\$/t	135	145	140	140	135	125	125	125	107	136	131	124	130	135	135	120	138
Other																		
Manganese ore (44%)	US\$/mtu	5.3	5.4	5.4	5.4	5.5	5.5	5.5	5.6	4.6	5.3	5.5	5.6	5.7	5.8	5.8	5.2	6.0
Alumina (spot, fob Aus)	US\$/t	308	320	320	325	325	325	325	350	362	314	325	350	350	380	400	380	436
Lithium carbonate (spot China, ex-VAT)	US\$/t	22,370	24,000	20,000	19,000	18,500	18,000	18,000	17,000	9,300	21,433	18,375	16,000	14,000	14,000	16,000	14,800	16,998
Cobalt	US\$/lb	26.5	27.0	27.0	27.0	27.0	27.0	27.0	20.0	17.5	26.6	27.0	17.5	15.0	15.0	17.5	14.0	16.1
Uranium - spot	US\$/lb	85.2	90.0	95.0	100.0	100.0	95.0	90.0	85.0	73.5	89.7	96.3	85.0	70.0	70.0	70.0	61.0	70.1
Exchange Rates																		
1 AUD = USD		0.71	0.70	0.70	0.70	0.70	0.70	0.70	0.70	0.65	0.70	0.70	0.70	0.70	0.69	0.69	0.71	0.70
1 USD = BRL		5.05	5.24	5.34	5.45	5.55	5.62	5.64	5.67	5.72	5.22	5.57	5.70	5.80	5.89	5.99	5.08	6.05
1 USD = CAD		1.38	1.36	1.36	1.36	1.36	1.36	1.37	1.28	1.40	1.37	1.36	1.28	1.28	1.28	1.28	1.29	1.29
1 USD = ZAR		16.48	16.50	16.62	16.75	16.87	17.00	17.13	17.26	17.82	16.49	16.94	17.45	17.98	18.53	19.09	17.00	22.26
1 EUR = USD		1.16	1.16	1.17	1.17	1.17	1.18	1.18	1.18	1.14	1.17	1.18	1.19	1.20	1.21	1.23	1.26	1.23
1 USD = CNY		6.81	7.00	7.05	7.03	7.00	6.98	6.95	7.00	7.18	6.95	6.99	7.15	7.12	7.01	6.89	7.90	6.97

Source: LME, Bloomberg, Platts, Morgan Stanley Research estimates (e). Note: Exchange rate forecasts are the assumptions that are compiled and used by Global Resources Equity Team: all prices are nominal, unless otherwise indicated.

Commodity Thermometer

Exhibit 20: Metals & Mining Commodity Thermometer

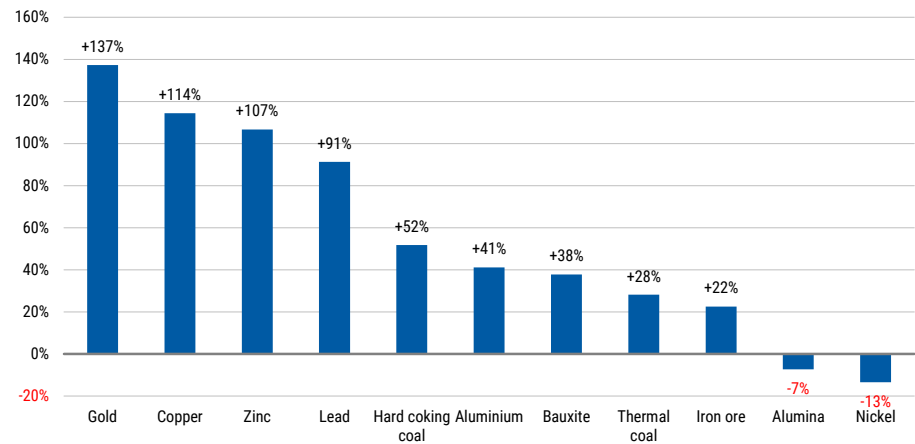
Commodity	Bearish	Neutral	Bullish	Thesis
COMEX Copper				COMEX copper should outperform if US copper import tariffs are announced with delayed implementation, or if the decision is delayed, but ruling out tariffs completely would bring downside.
Uranium				Uranium should rise on strong spot demand, improving contracting activity and tight mined supply.
Gold				Gold's risk-reward looks positive from here if the US Fed can avoid rate hikes. A continued decline in oil prices should also reduce pressure from central bank selling, while China has been accelerating purchases in recent months.
LME Copper				LME copper should also be dragged higher on any US tariff announcement, while Chinese demand has been robust despite high prices. Supply is challenged, but 2027 may feel looser with less US buying.
Thermal Coal				Thermal coal prices remain supported into 3Q26 by elevated Asian coal burn in an El Niño summer and lower Indonesian YoY exports. However, weak China/India imports on high inventories should cap price upside.
Silver				Silver is likely to remain volatile in 2026, with industrial demand risks and ETF selling combined with tight inventories and resilient Chinese demand.
Manganese Ore				Some supply curtailments are needed to balance the market – we think this comes from South African road-bound supply, but cost support is also falling with lower freight and diesel costs, suggesting modest further downside.
Zinc				Smelter disruptions may bring some near term tightness to ex-China but fundamentals remain soft as Chinese output accelerates and construction demand faces headwinds, tipping the market into a small surplus this year and limiting upside.
Cobalt				Cobalt remains supported by DRC export restrictions, but Indonesian supply may improve if sulphur availability recovers.
Lead				Continued growth in secondary output and soft demand maintain market surplus, limiting upside despite a tight concentrate market and risks to primary output.
Nickel				Potential new mining quotas in Indonesia cap upside, but other supply challenges remain.
Alumina				Alumina sees a tighter balance than before on stronger aluminium output, while potential Guinea bauxite restrictions bring cost pressures. However, surplus remains.
Lithium Carbonate				Demand remains healthy but supply is responding to high prices with restarts in Australia and shipments resuming in Zimbabwe. The restart timing of CATL's lepidolite mine remains the key unknown.
Platinum				With speculative activity at much lower levels, the risk reward has improved dramatically. We may still see OEM metal buying fall in 2H, but in the medium-term the metal remains in fundamental deficit.
Hard Coking Coal				We see modest downside to Met coal with weaker Chinese seaborne demand and recovering supply.
Palladium				High inventories levels have driven a price correction which now sees marginal cost production turning cashflow negative. We think prices need to remain depressed in 2H to trigger supply cuts.
Aluminium				Middle East disruptions are reversing more quickly, while Chinese-led supply growth elsewhere is accelerating, pushing aluminium into surplus in 2027 and weighing on prices.
Iron ore				Iron ore is shifting to oversupply on stronger seaborne supply and softer Chinese demand, while cost support should also be reversing.

Source: Morgan Stanley Research. Note: Order of preference based on 4Q26 forecasts vs last two weeks' average prices ending 3rd July 2026.

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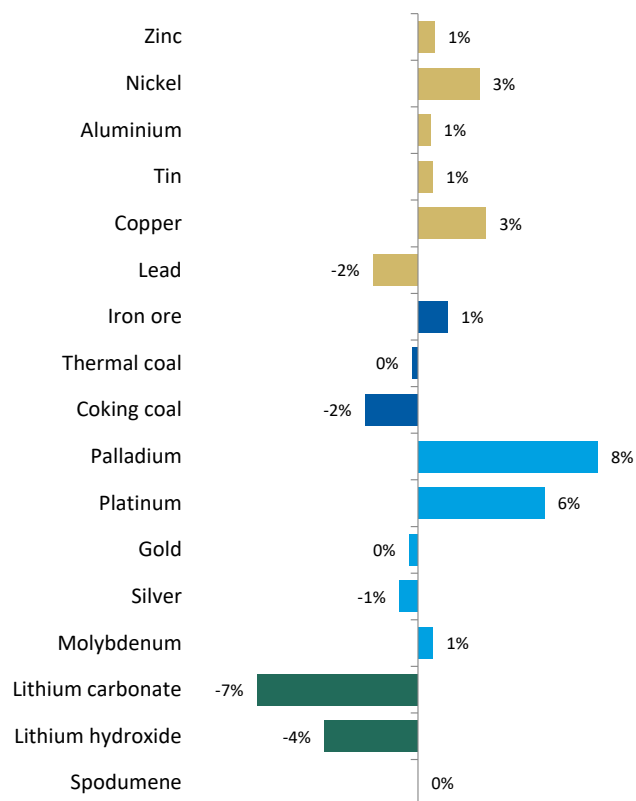
Exhibit 21: Spot commodity prices vs. the marginal cost of production



Source: Wood Mackenzie, Bloomberg, Morgan Stanley Research. Note: Marginal cost (year 2026); dataset Q2 2026; C1 cash costs.

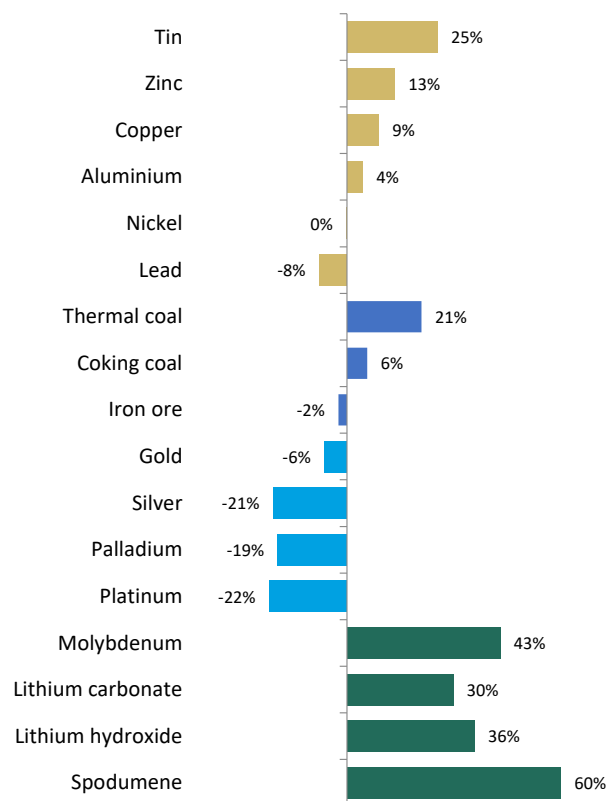
Commodity Price Snapshot

Exhibit 22: Key metals: one-week absolute performance



Source: Bloomberg, Morgan Stanley Research

Exhibit 23: Key metals: YTD absolute performance



Source: Bloomberg, Morgan Stanley Research

Exhibit 24: Precious Metals: Price Snapshot

Precious	15-Jul-26	08-Jul-26	WoW Change (%)	02-Jan-26	YtD (%)
Gold	4,061	4,077	-0.4%	4332.29	-6.3%
Silver	58	58	-0.9%	72.8181	-20.6%
Platinum	1,679	1,586	5.9%	2142.88	-21.7%
Palladium	1,320	1,219	8.4%	1636.36	-19.3%

Source: Bloomberg, Morgan Stanley Research; WoW = Week on week

Exhibit 25: Bulks: price snapshot

Bulks	15-Jul-26	08-Jul-26	WoW Change (%)
Iron ore	100	99	1.4%
Thermal coal	129	129	-0.3%
Coking coal	233	238	-2.4%

Source: Bloomberg, Morgan Stanley Research; WoW = Week on week

Exhibit 26: Other Metals: price snapshot

Other metals	15-Jul-26	08-Jul-26	WoW Change (%)
Molybdenum	32	32	0.7%
Lithium carbonate	19,042	20,583	0
Lithium hydroxide	17,386	18,176	0
China Spodumene 6% min CIF	2,322	2,322	0%

Source: Bloomberg, Morgan Stanley Research; WoW = Week on week

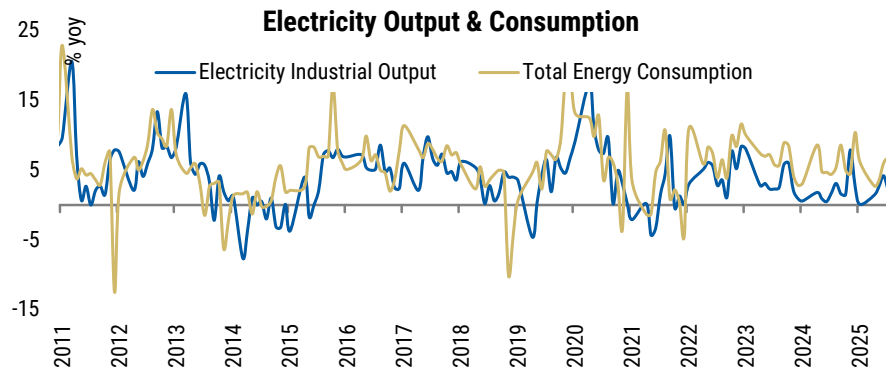
Exhibit 27: Exchange rate snapshot of major metal producing countries

Currency	15-Jul-26	08-Jul-26	WoW Change (%)
1 AUD = USD (Australian \$)	0.7	0.7	1%
1 EUR = USD (Euro)	1.1	1.1	0%
1 USD = BRL (Brazilian Real)	5.1	5.2	-1%
1 USD = CAD (Canadian \$)	1.4	1.4	-1%
1 USD = CLP (Chilean Peso)	925.3	932.7	-1%
1 USD = CNY (Chinese Renmimbi)	6.8	6.8	0.0
1 USD = KZT (Kazakh Tenge)	469.3	469.1	0%
1 USD = MXN (Mexican Peso)	17.4	17.6	-1%
1 USD = NOK (Norwegian Krone)	9.7	9.8	-1%
1 USD = PEN (Peruvian New Sol)	3.4	3.4	-1%
1 USD = SEK (Swedish Krona)	9.6	9.7	-1%
1 USD = ZAR (S. African Rand)	16.3	16.4	-1%
1 USD = ZMW (Zambian Kwacha)	18.3	18.4	-1%

Source: Bloomberg, Morgan Stanley Research; WoW = Week on week

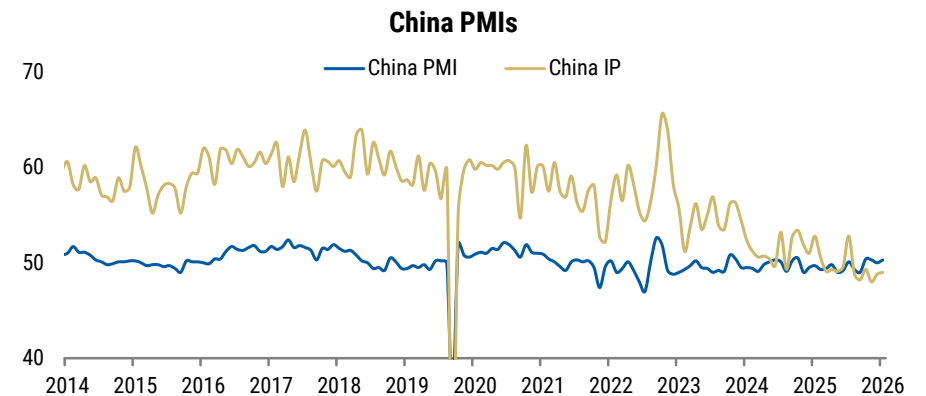
China's Macro Indicators

Exhibit 28: China's Electricity Output & Consumption



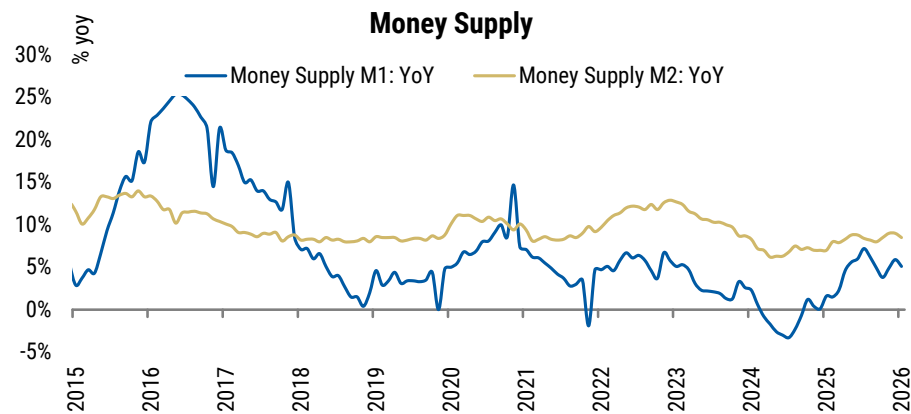
Source: CEIC, Morgan Stanley Research

Exhibit 29: China's Purchasing Managers Index and Industrial Production (IP)



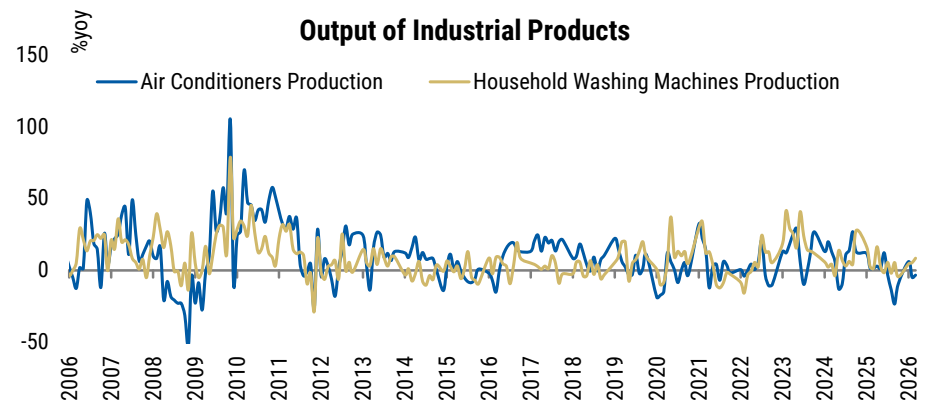
Source: CEIC, Morgan Stanley Research

Exhibit 30: China's Money Supply



Source: CEIC, Morgan Stanley Research

Exhibit 31: China's Output of Industrial Products



Source: CEIC, Morgan Stanley Research

Exhibit 32: China's Infrastructure Fixed Asset Investments (FAI)



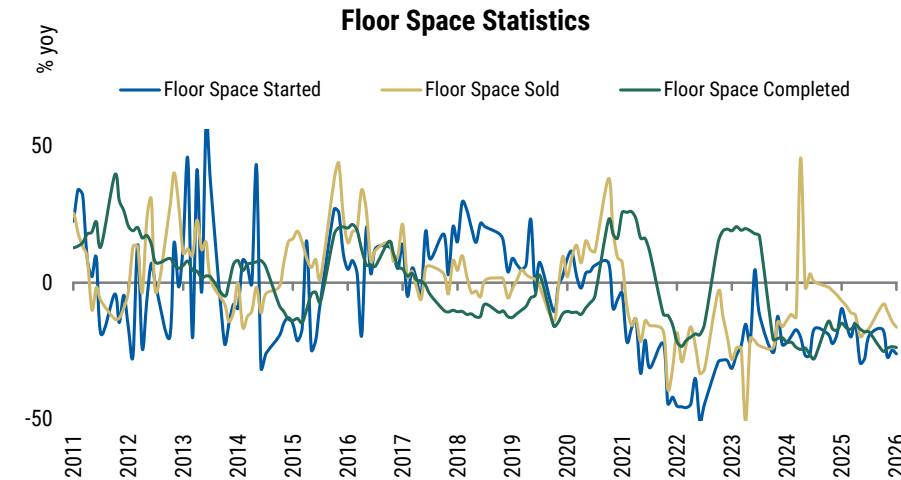
Source: CEIC, Morgan Stanley Research

Exhibit 33: China's Fixed Asset Investments



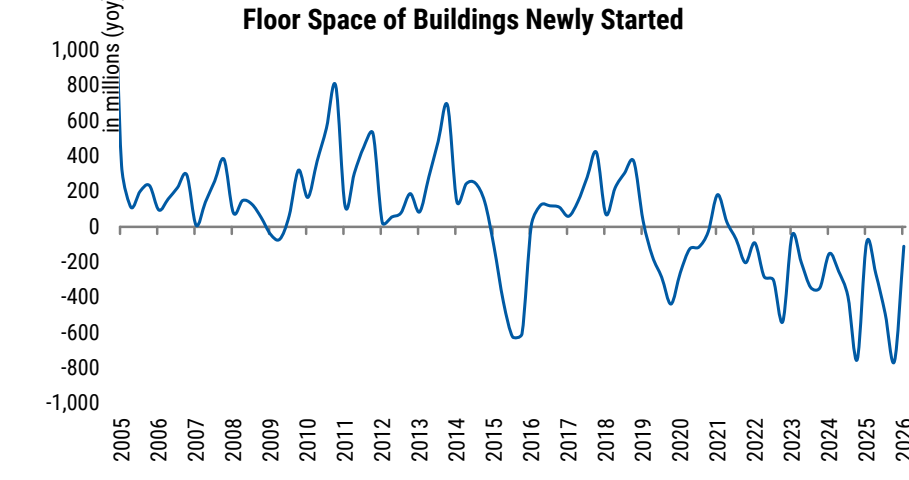
Source: CEIC, Morgan Stanley Research

Exhibit 34: China's Floor Space Started, Sold and Completed



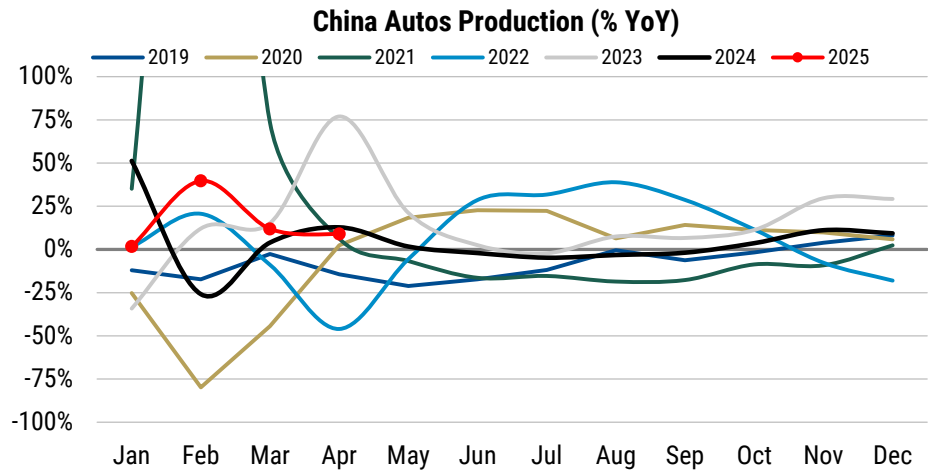
Source: CEIC, Morgan Stanley Research

Exhibit 35: Floor Space of Buildings Newly Started



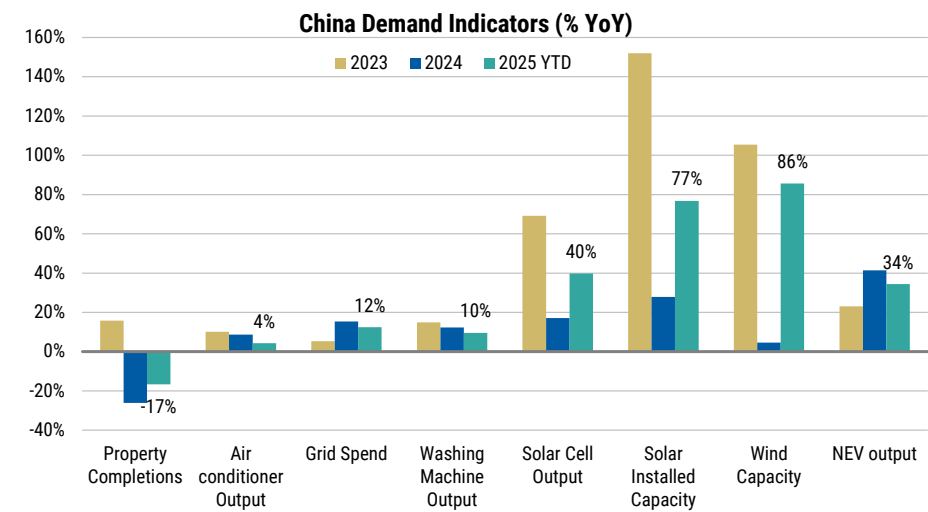
Source: CEIC, Morgan Stanley Research

Exhibit 36: China Autos Production



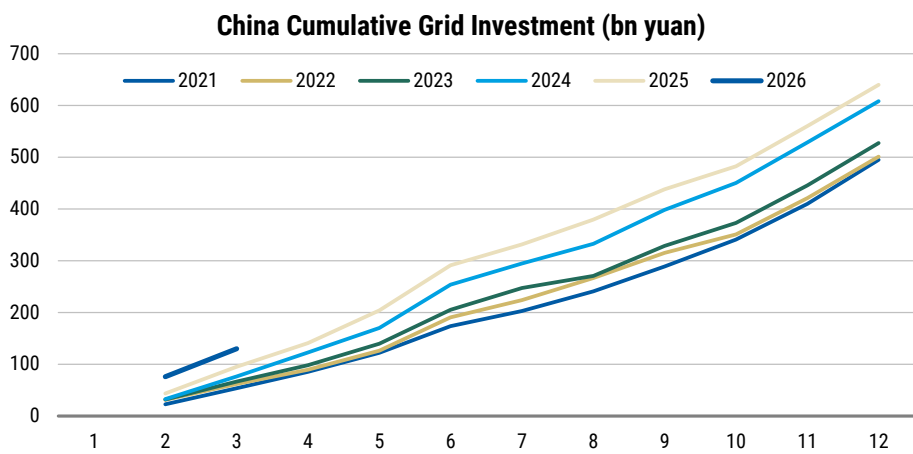
Source: CEIC, CAAM

Exhibit 38: China Demand Indicators



Source: Bloomberg, CEIC

Exhibit 37: China Cumulative Grid Investment



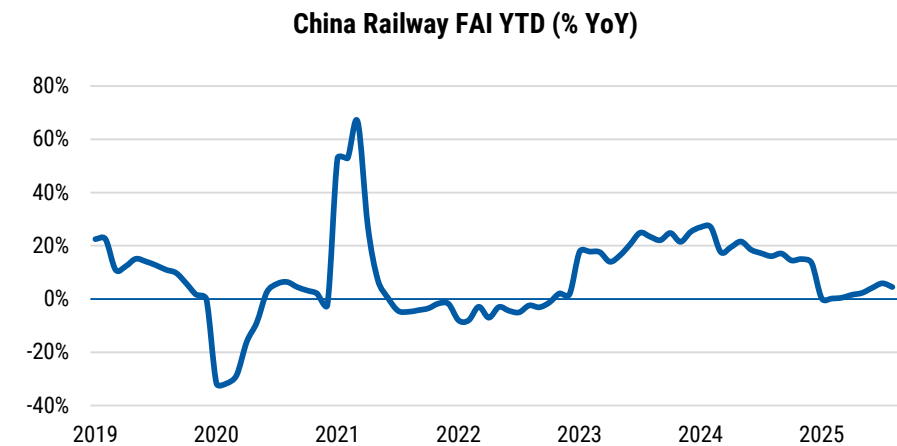
Source: Bloomberg

Exhibit 39: China Excavator Sales



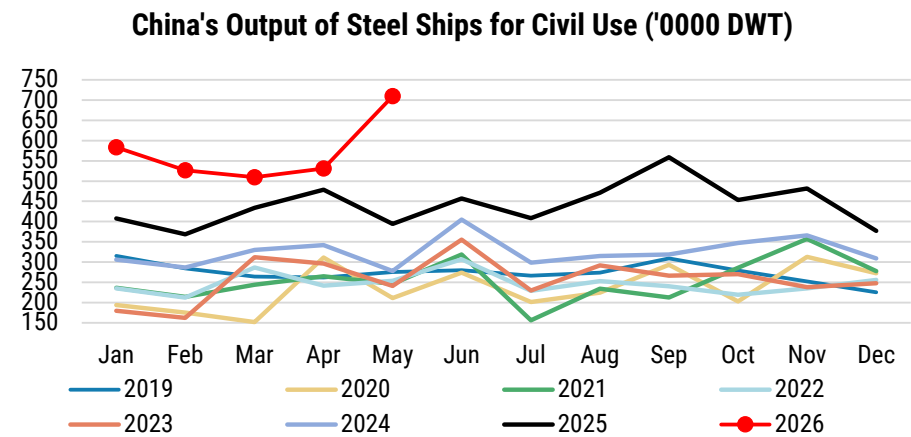
Source: CEIC

Exhibit 40: China Railway FAI YTD



Source: CEIC

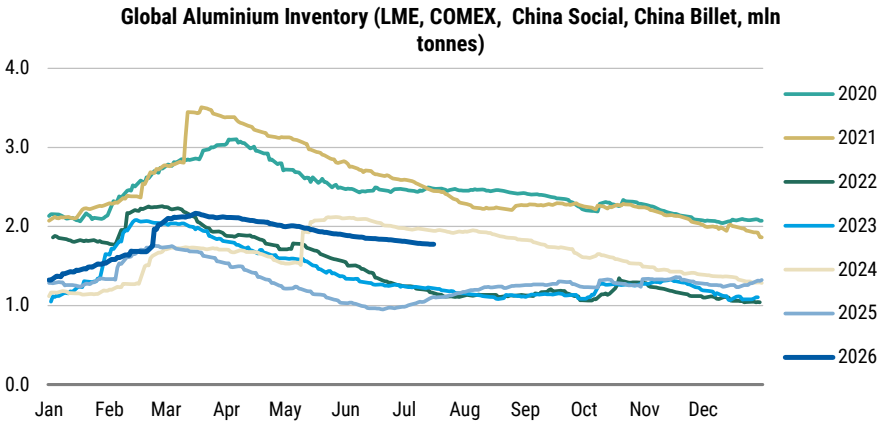
Exhibit 41: China Shipbuilding Output



Source: NBS

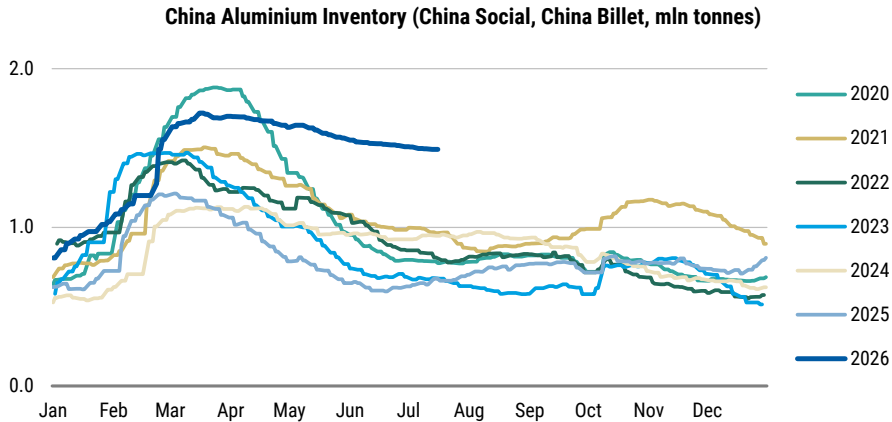
Aluminium

Exhibit 42: Global Aluminium Inventories



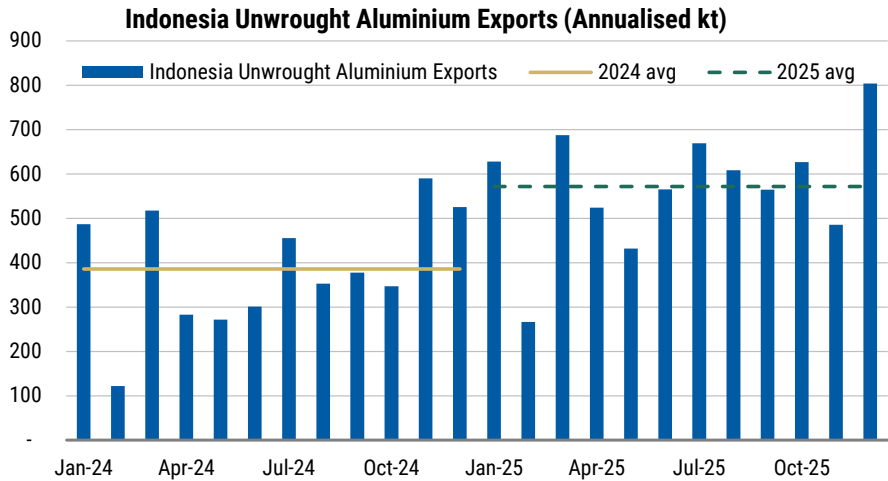
Source: Bloomberg

Exhibit 43: China Aluminium Inventories



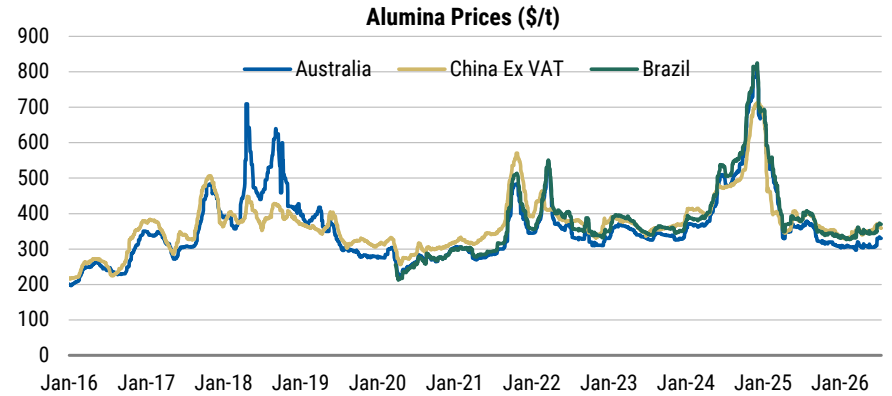
Source: Bloomberg

Exhibit 44: Indonesia Aluminium Exports



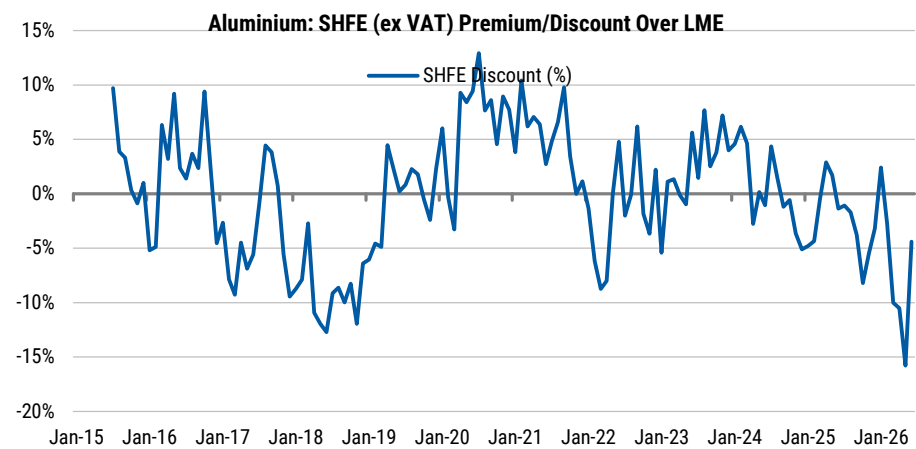
Source: Trademap

Exhibit 45: Raw Materials: Spot Alumina vs China Domestic Price



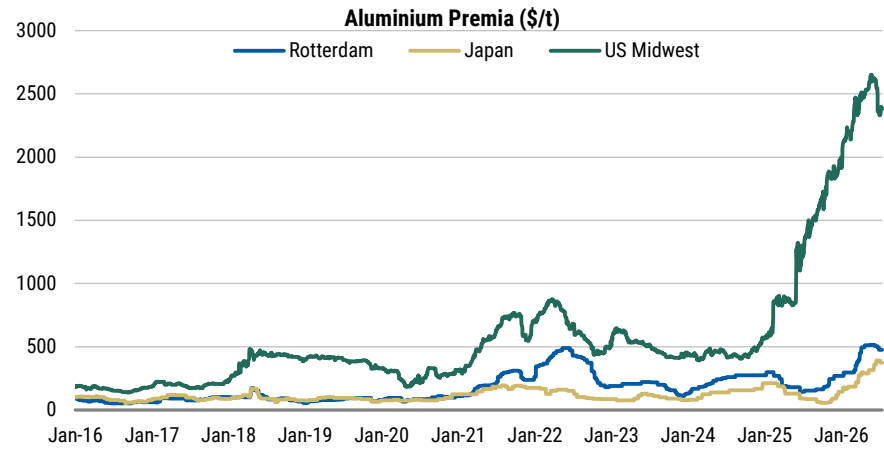
Source: Platts, Bloomberg

Exhibit 46: Price Differentials: SHFE vs LME



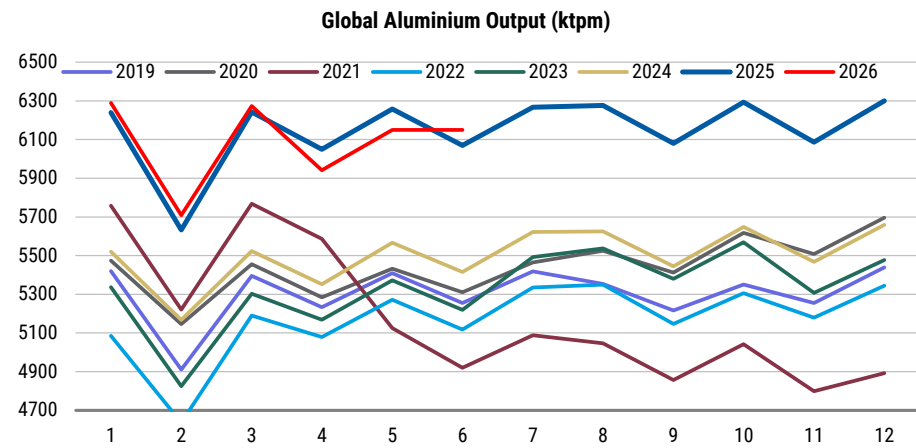
Source: Bloomberg

Exhibit 47: Physical demand: aluminium premia, by region



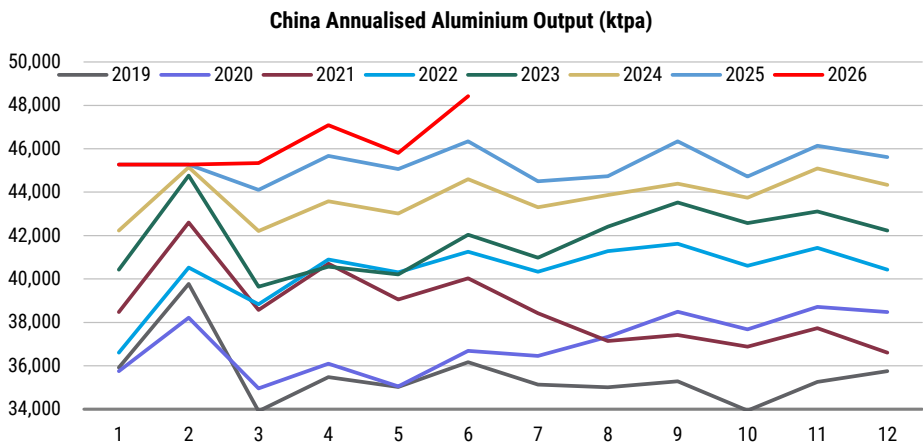
Source: Platts, Bloomberg

Exhibit 48: IAI Global Aluminium Production



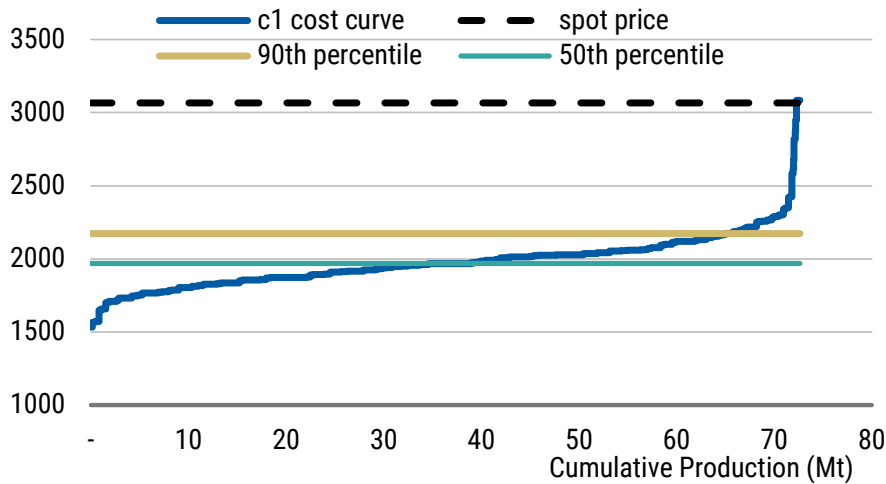
Source: IAI

Exhibit 49: China Aluminium Production



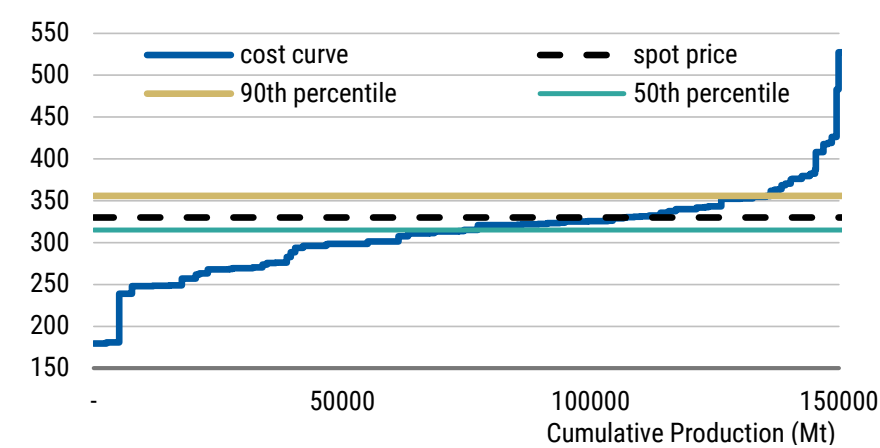
Source: Bloomberg

Exhibit 50: Aluminium C1 Cost Curve vs Spot (\$/t)



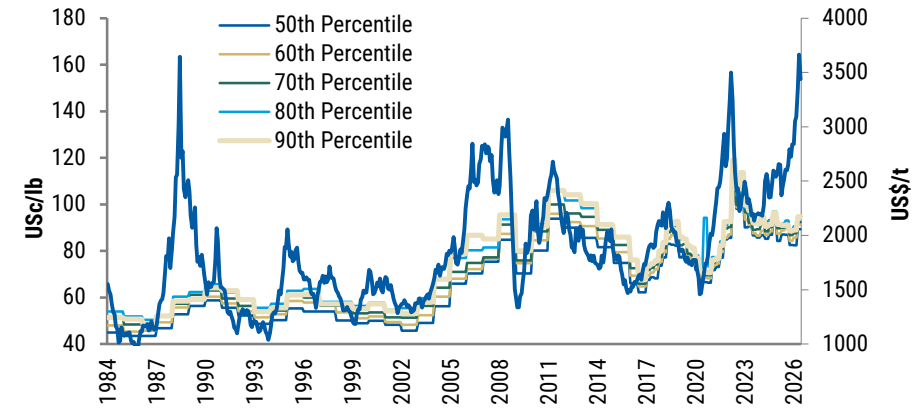
Source: Wood Mackenzie

Exhibit 52: Alumina Total Cost Curve vs Spot (\$/t)



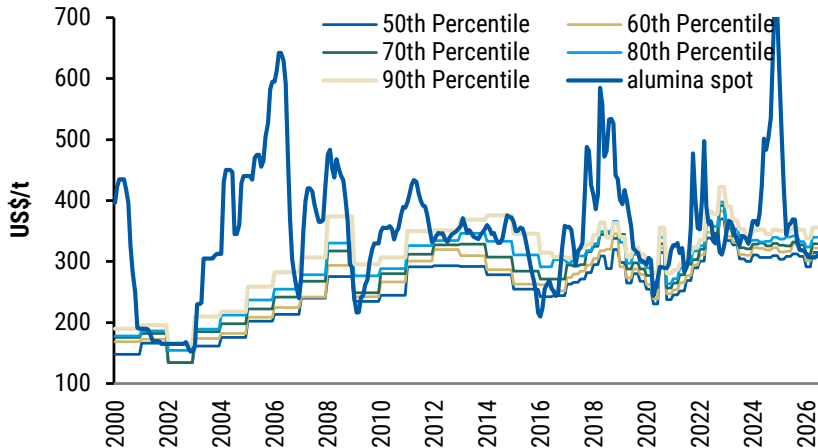
Source: Wood Mackenzie

Exhibit 51: Aluminium Cost Curve Evolution



Source: Wood Mackenzie

Exhibit 53: Alumina Cost Curve Evolution



Source: Wood Mackenzie

Copper

Exhibit 54: Global Copper Inventories

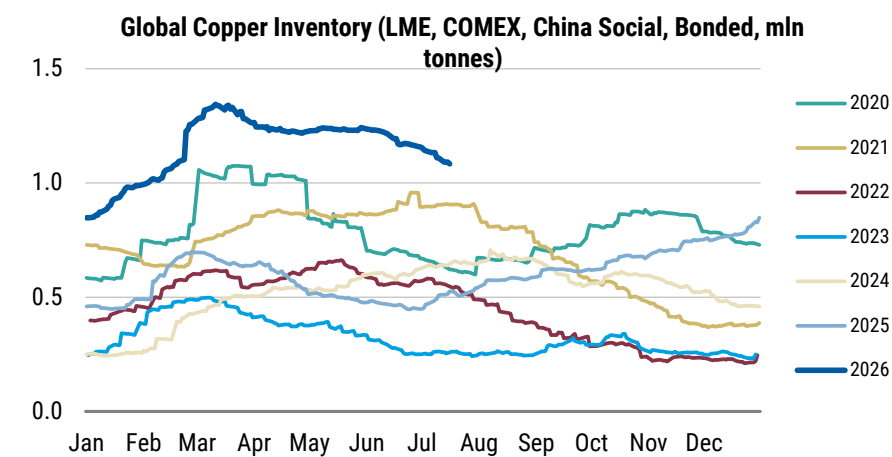


Exhibit 55: China Copper Inventories

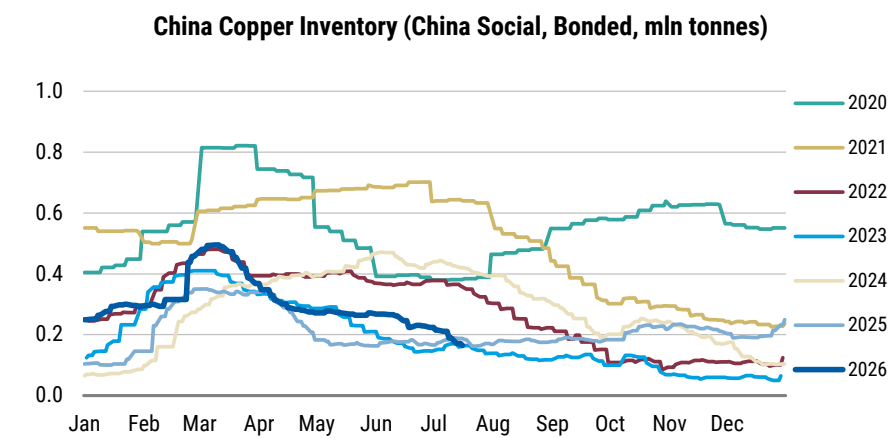


Exhibit 56: Copper Price versus China Apparent Consumption

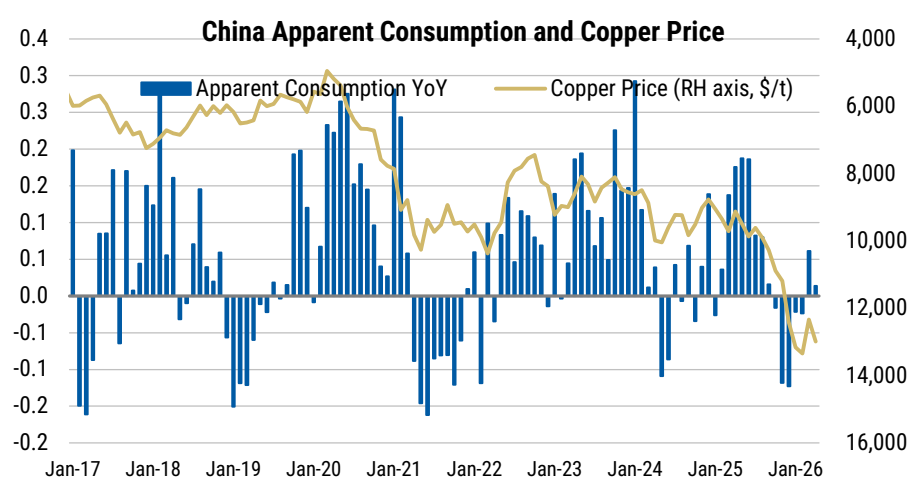


Exhibit 57: Copper CFTC Positioning

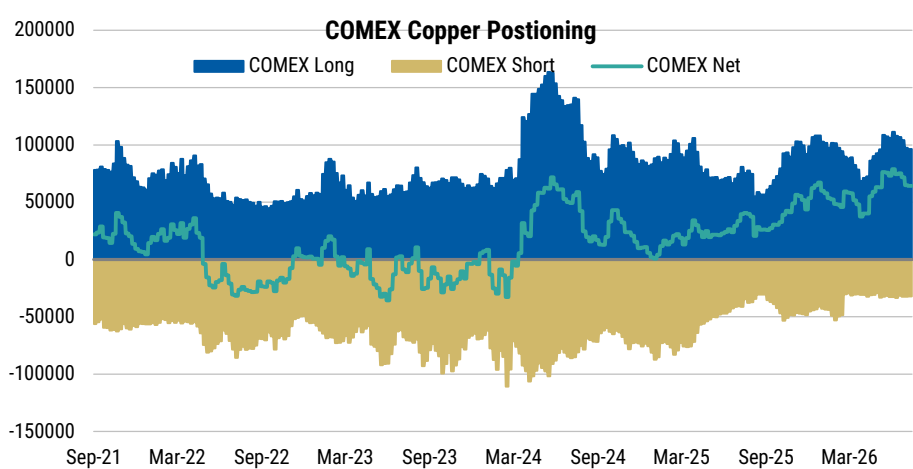
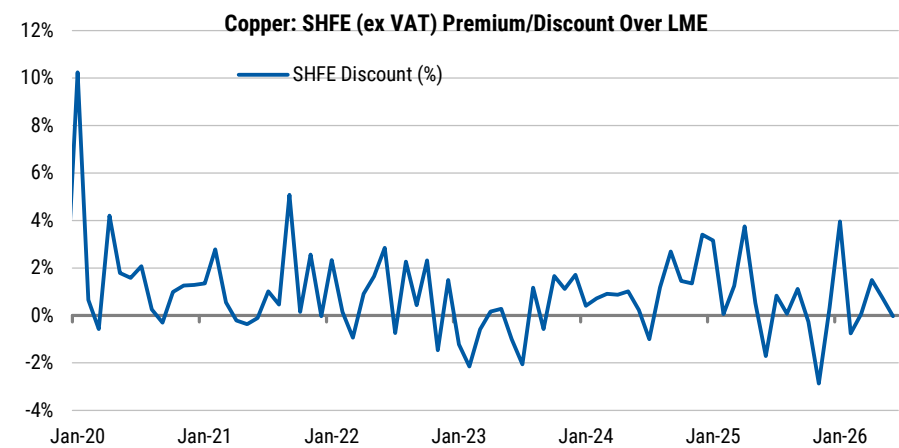
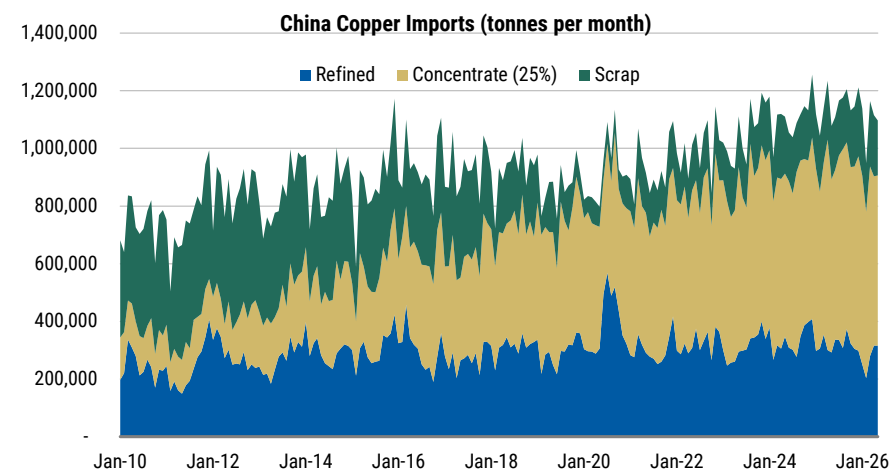


Exhibit 58: Price Differentials: SHFE vs LME



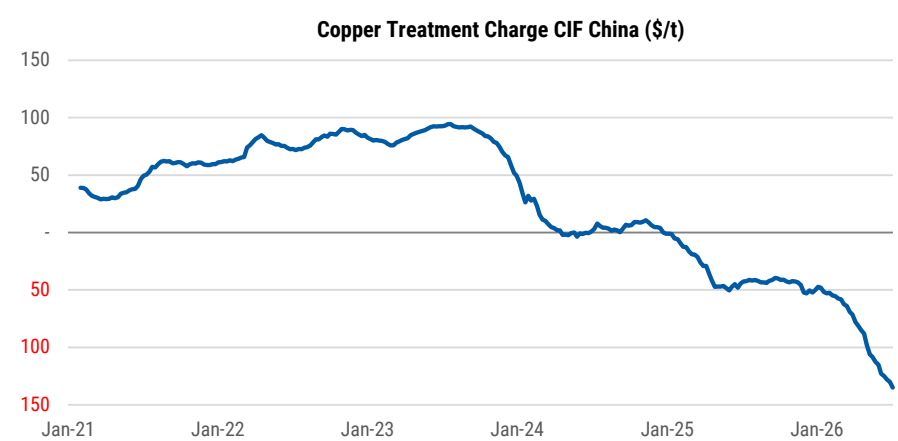
Source: Bloomberg

Exhibit 60: Raw materials: China's copper concentrate, refined and scrap monthly import



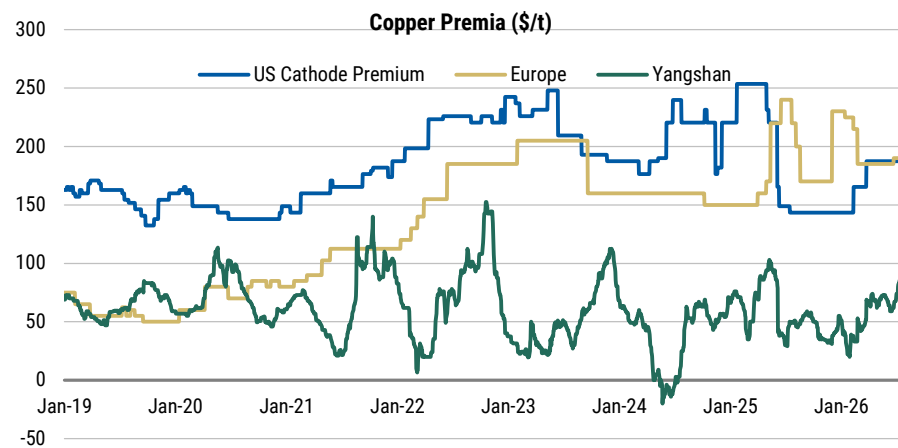
Source: China Customs, Morgan Stanley Research

Exhibit 59: Copper treatment charges (TCs)



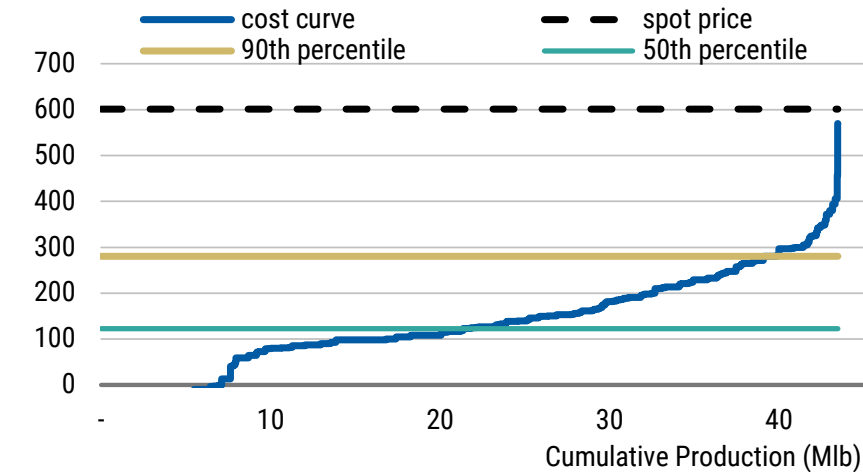
Source: Platts, Bloomberg

Exhibit 61: Physical Demand: Copper Premia By Region



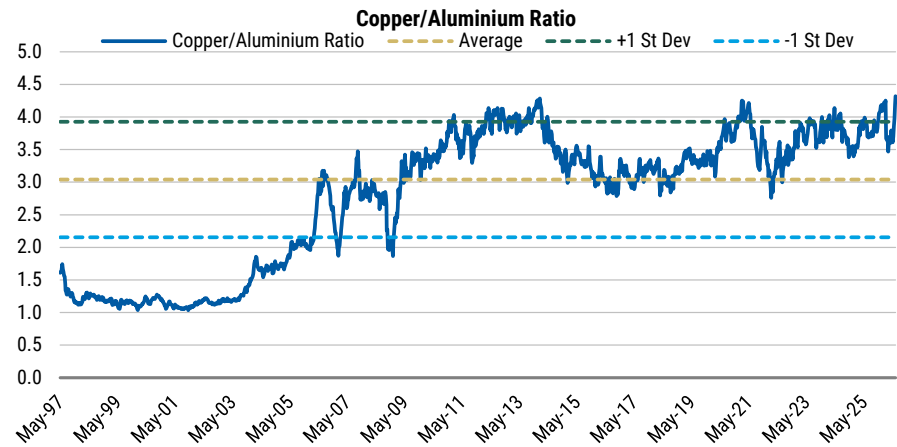
Source: Argus, Bloomberg

Exhibit 62: Copper C1 Cost Curve vs Spot (USc/lb)



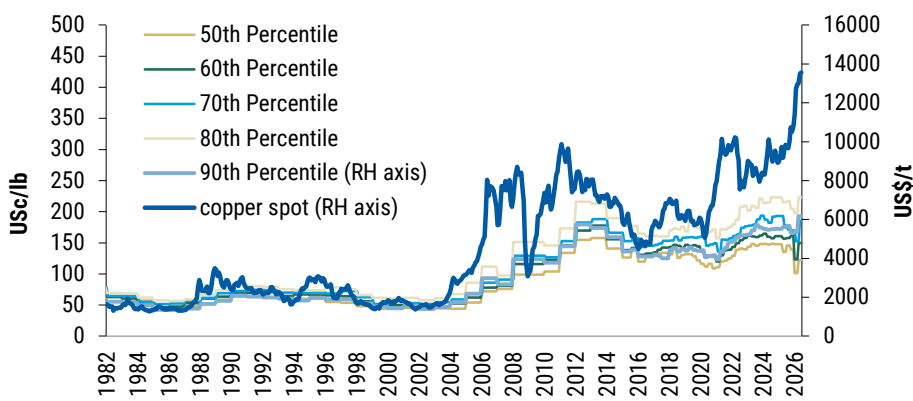
Source: Wood Mackenzie

Exhibit 64: Copper: Aluminium Ratio



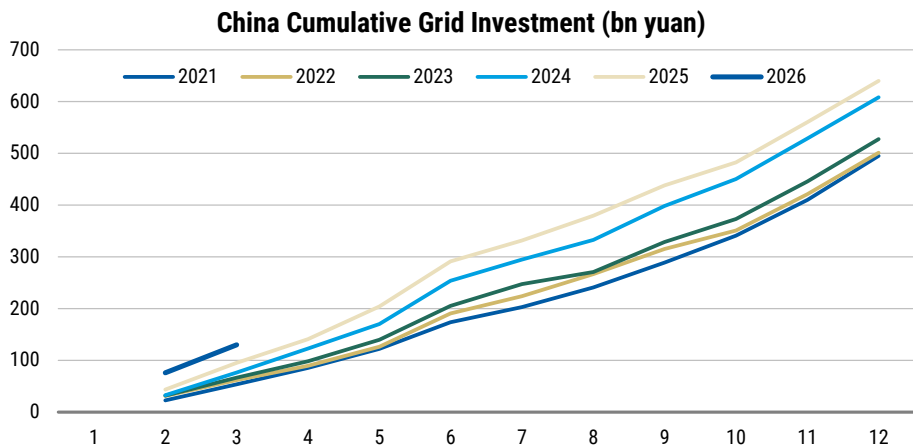
Source: Bloomberg, Morgan Stanley Research

Exhibit 63: Copper Cost Curve Evolution



Source: Wood Mackenzie

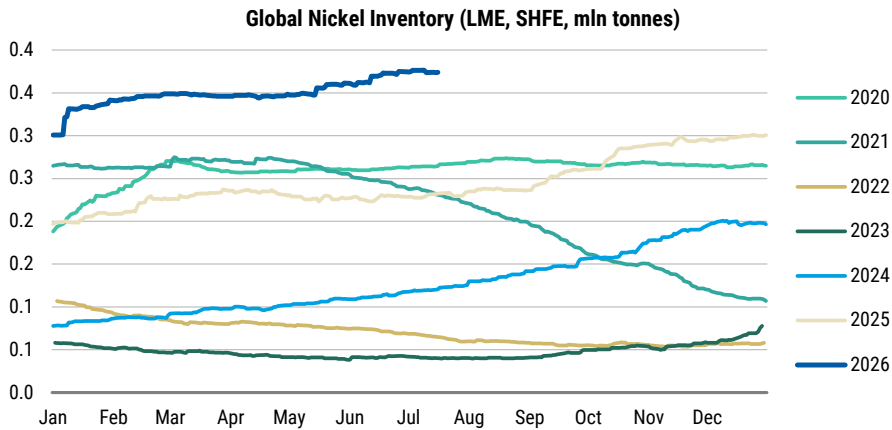
Exhibit 65: China Grid Investment



Source: Bloomberg, Morgan Stanley Research

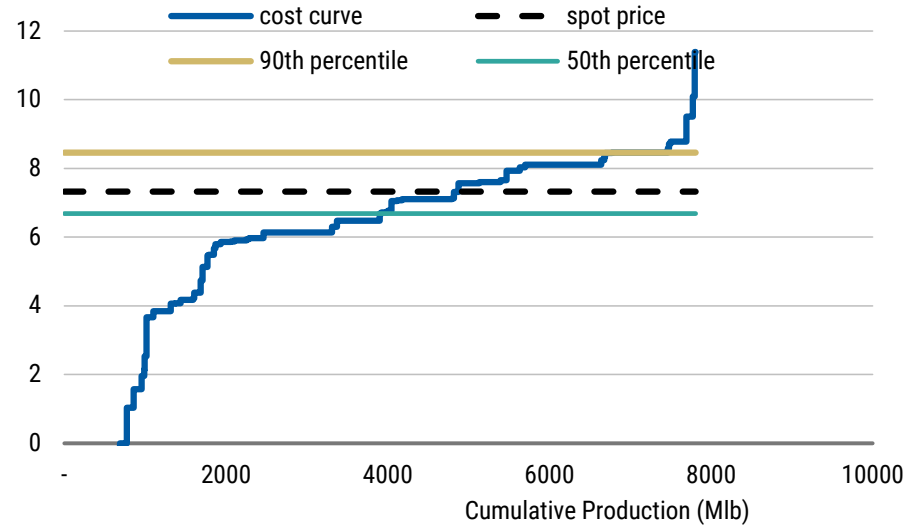
Nickel

Exhibit 66: Global Nickel Inventories



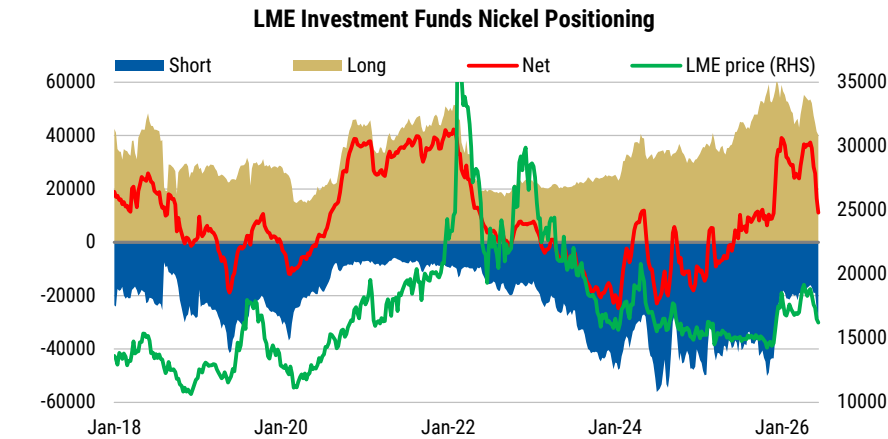
Source: Bloomberg

Exhibit 68: Nickel C1 Cost Curve vs Spot (US\$/lb)



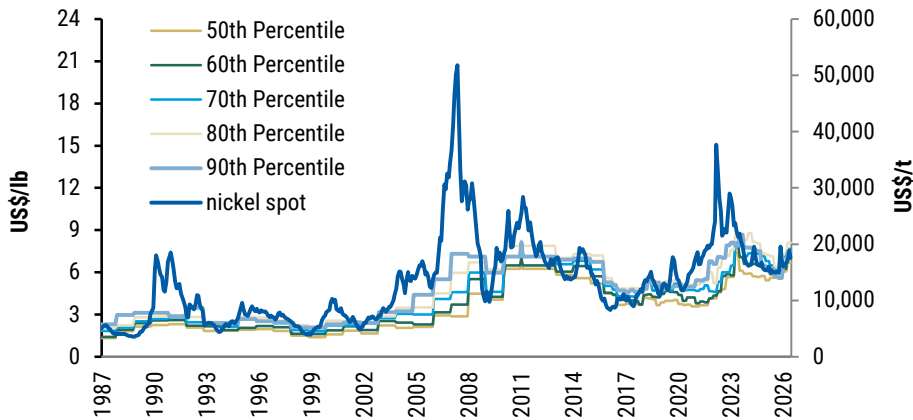
Source: Wood Mackenzie

Exhibit 67: LME Nickel Positioning



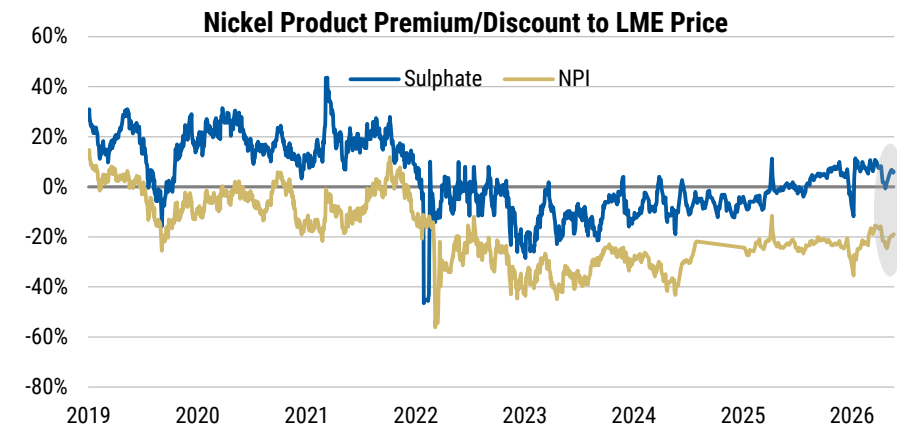
Source: Bloomberg

Exhibit 69: Nickel Cost Curve Evolution



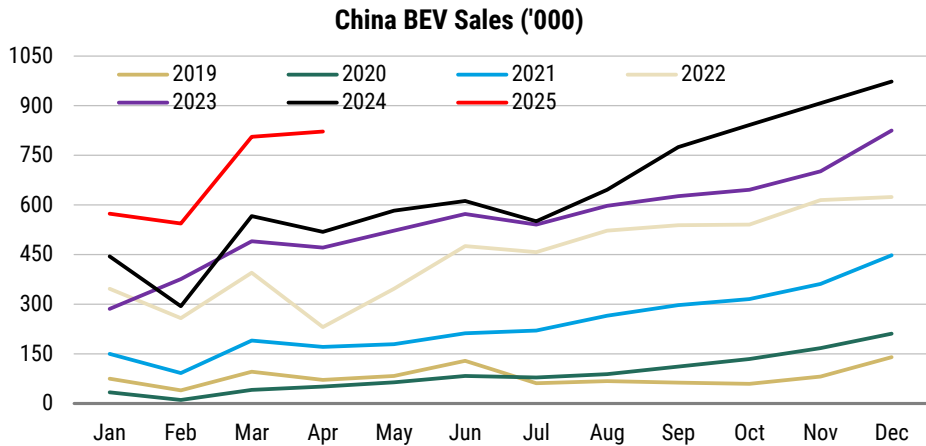
Source: Wood Mackenzie

Exhibit 70: Nickel Product Spreads vs LME Price



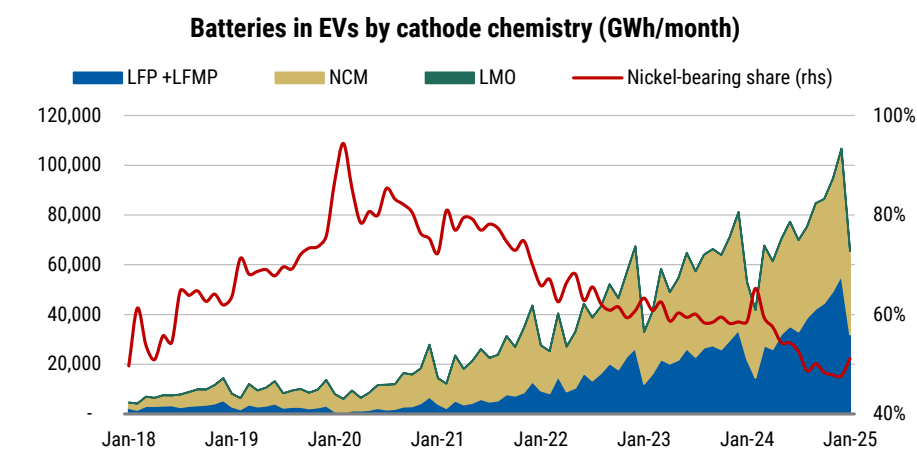
Source: Argus Metals

Exhibit 72: China NEV Sales



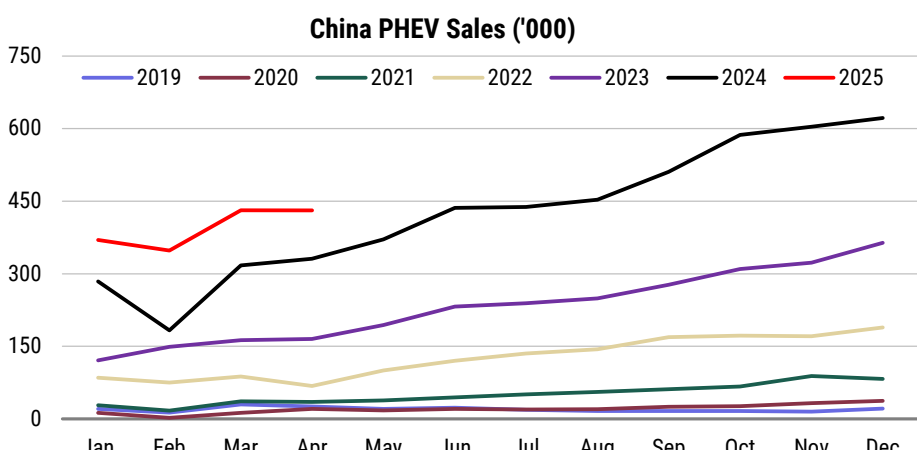
Source: CEIC, CAAM

Exhibit 71: Global Battery Deployment by Chemistry



Source: Rho Motion

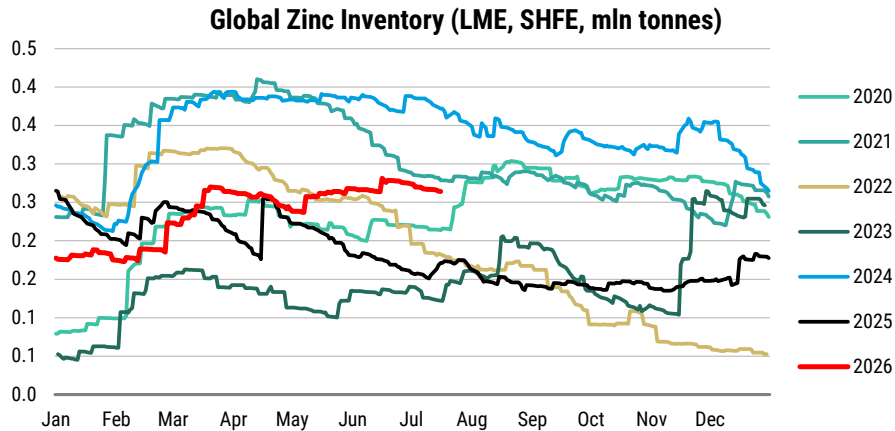
Exhibit 73: China PHEV Sales



Source: CEIC, CAAM

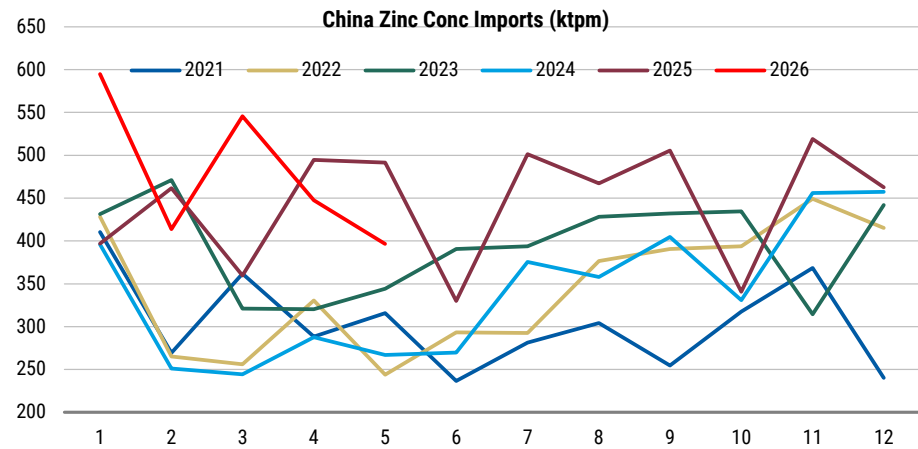
Zinc

Exhibit 74: Global Zinc Inventories



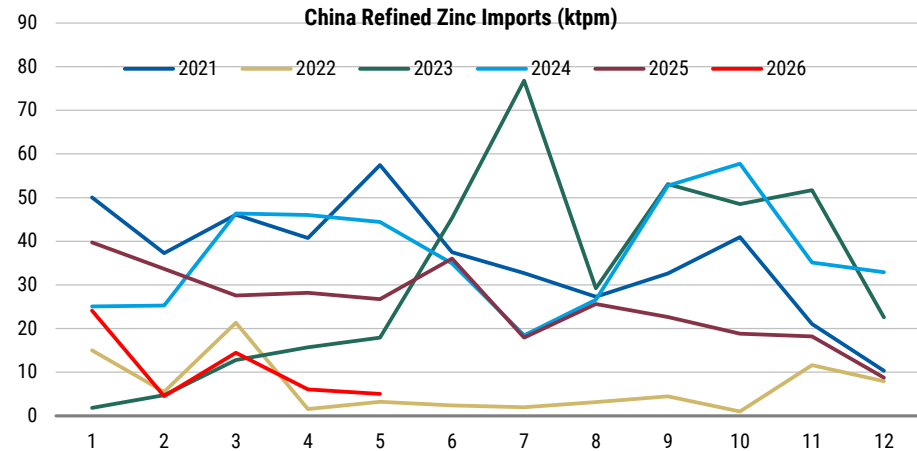
Source: Bloomberg

Exhibit 76: China Zinc Concentrate Imports



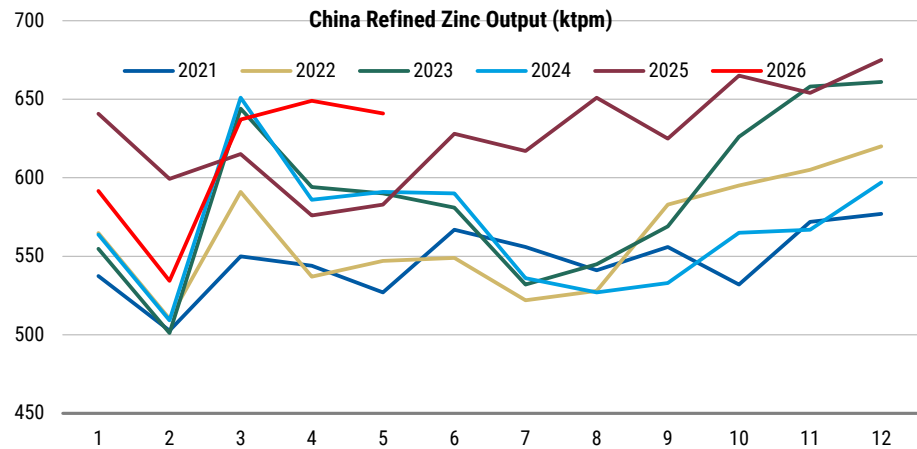
Source: Bloomberg

Exhibit 75: China Refined Zinc Imports



Source: Bloomberg

Exhibit 77: China Refined Zinc Output



Source: Bloomberg

Exhibit 78: Price Differentials: SHFE vs LME

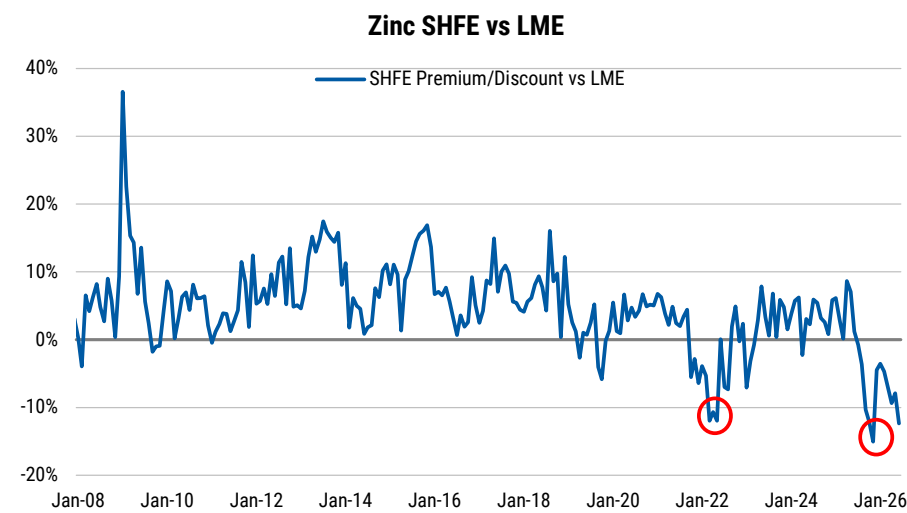


Exhibit 80: Zinc Premia

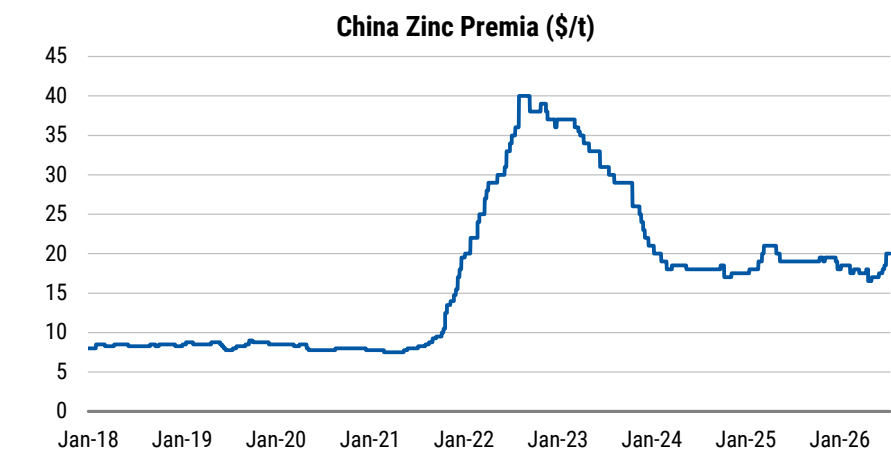


Exhibit 79: Zinc Treatment Charges

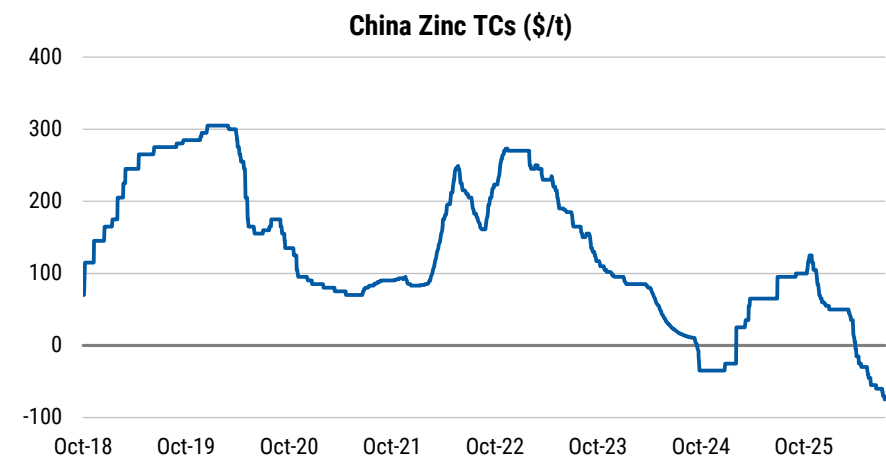
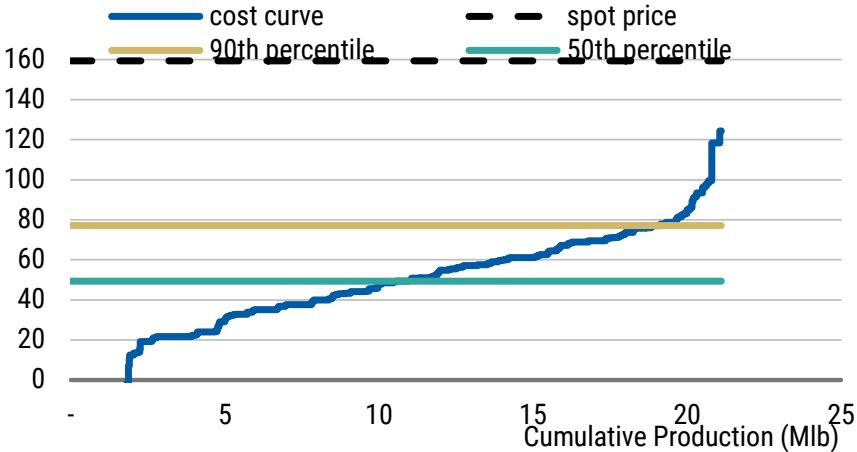


Exhibit 81: Zinc/Lead Ratio

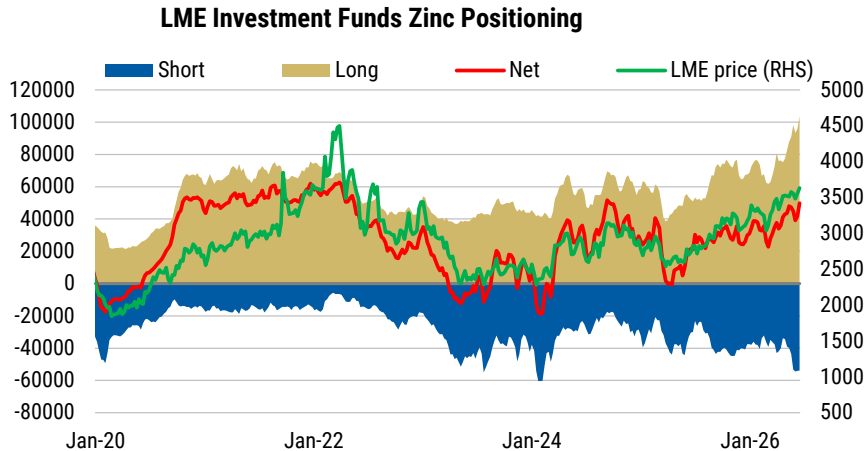


Exhibit 82: Zinc C1 Cost Curve vs Spot (\$/t)



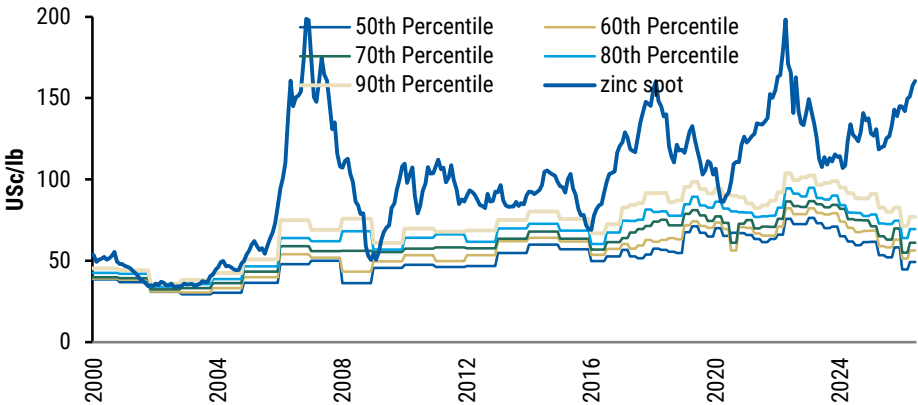
Source: Woodmac

Exhibit 84: Zinc Positioning



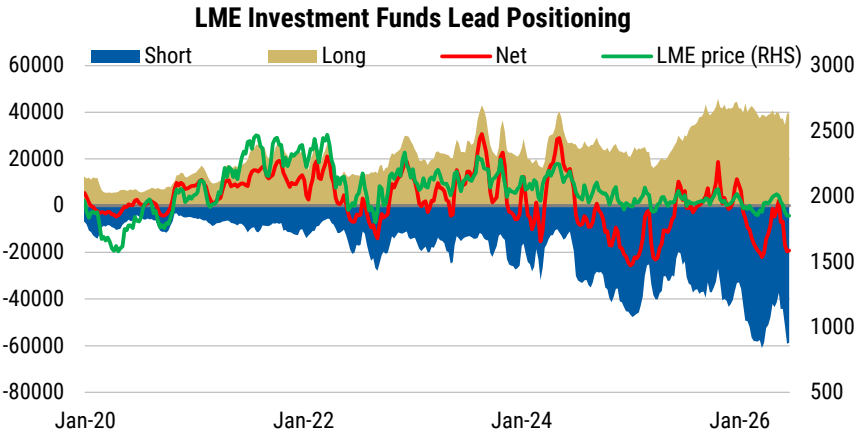
Source: Bloomberg

Exhibit 83: Zinc Cost Curve Evolution



Source: Woodmac

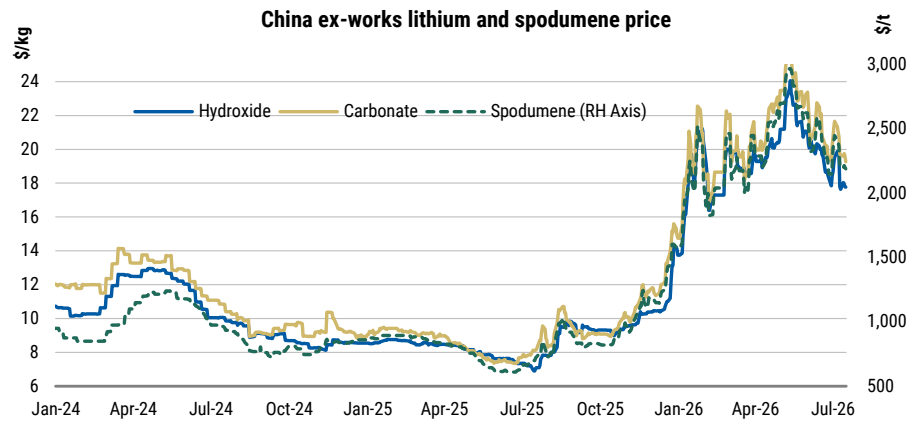
Exhibit 85: Lead Positioning



Source: Bloomberg

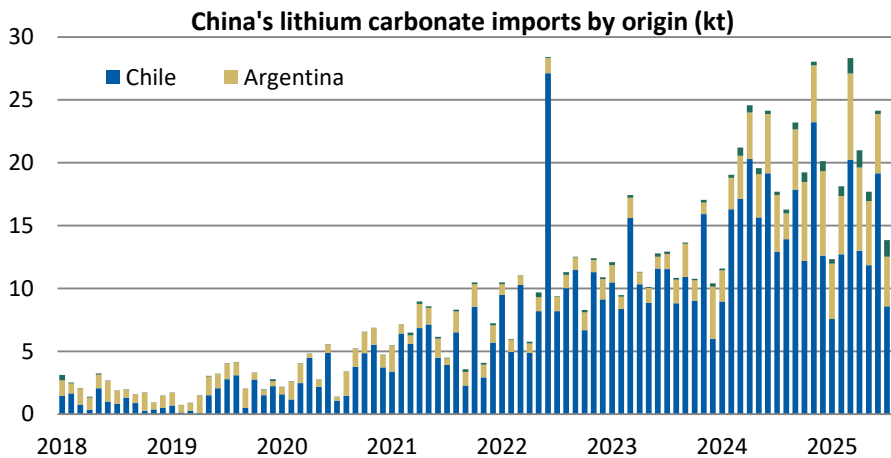
Lithium

Exhibit 86: Lithium Chemical Prices



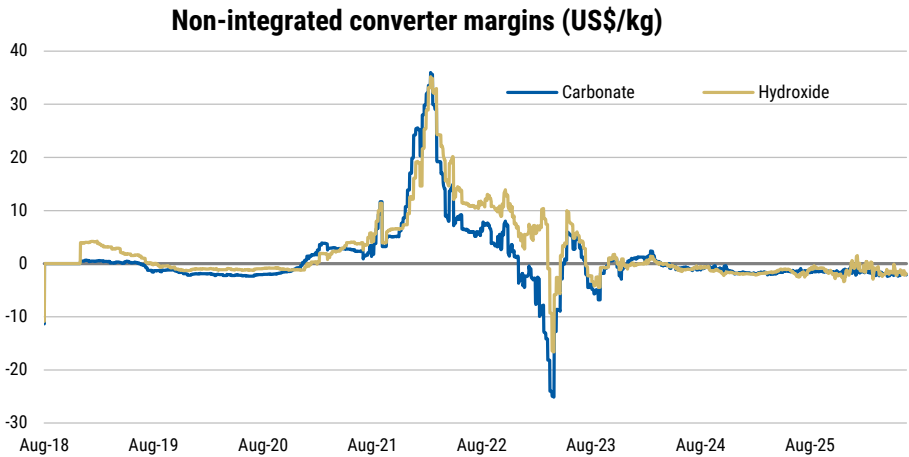
Source: Fastmarkets, Morgan Stanley Research

Exhibit 88: China Lithium Carbonate Imports



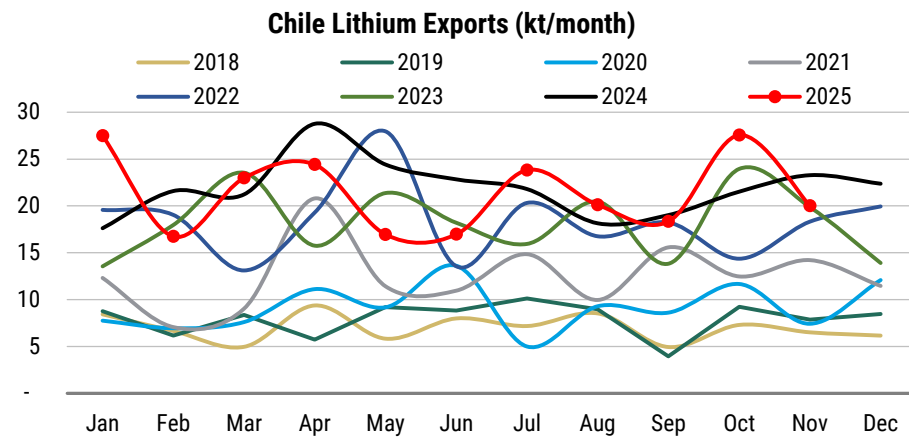
Source: Rystad, Morgan Stanley Research

Exhibit 87: Non-integrated Converter Margins



Source: Fastmarkets, Morgans Stanley Research

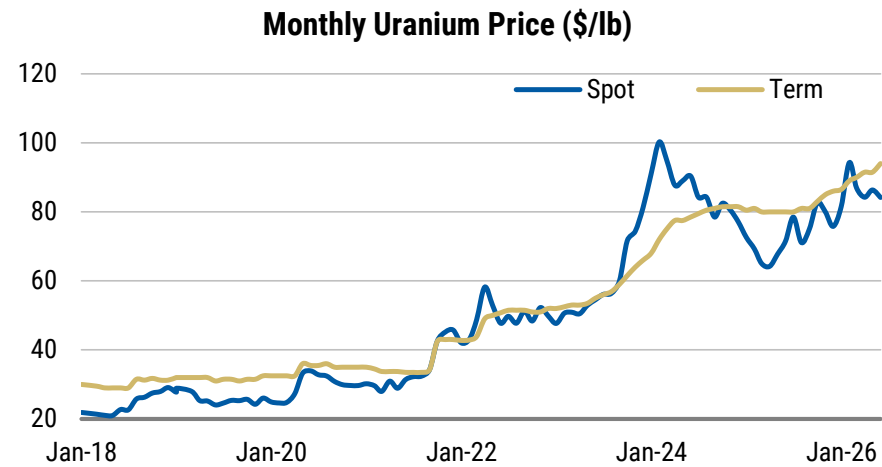
Exhibit 89: Chile Lithium Exports



Source: Chile Customs, Morgan Stanley Research

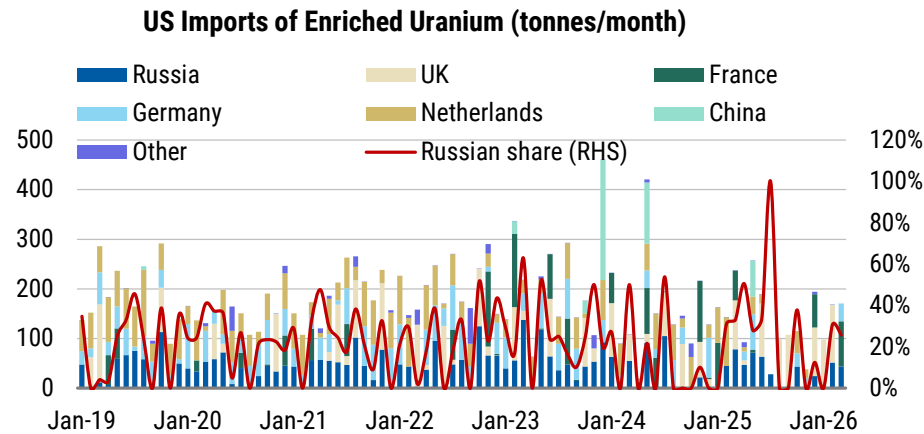
Uranium

Exhibit 90: Uranium Price (Spot and Term)



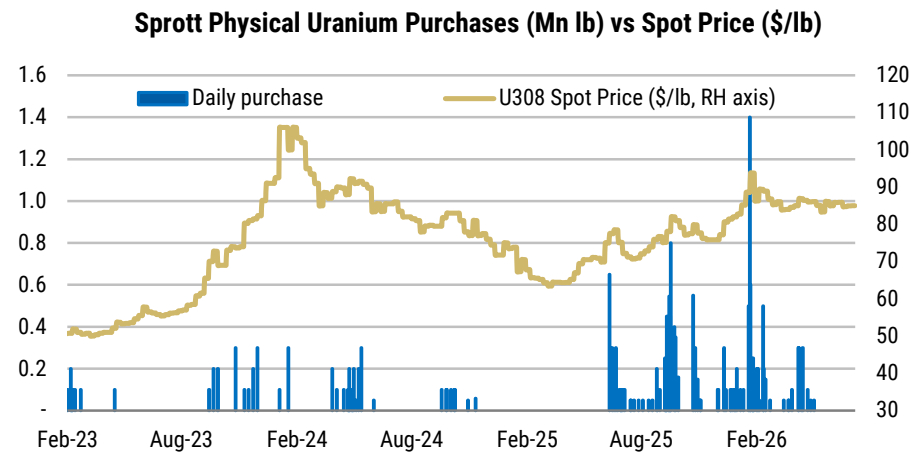
Source: Cameco

Exhibit 92: US Enriched Uranium Imports



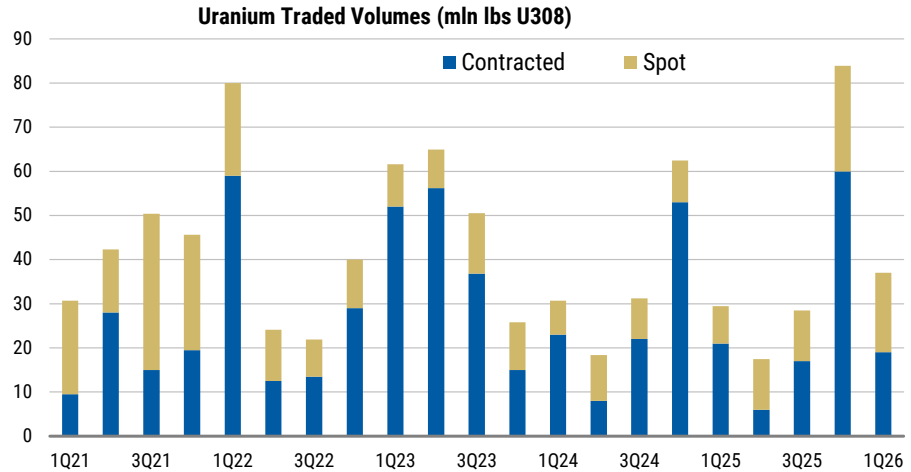
Source: Trademap

Exhibit 91: Sprott ETF Purchases



Source: Sprott, UxC, Morgan Stanley Research

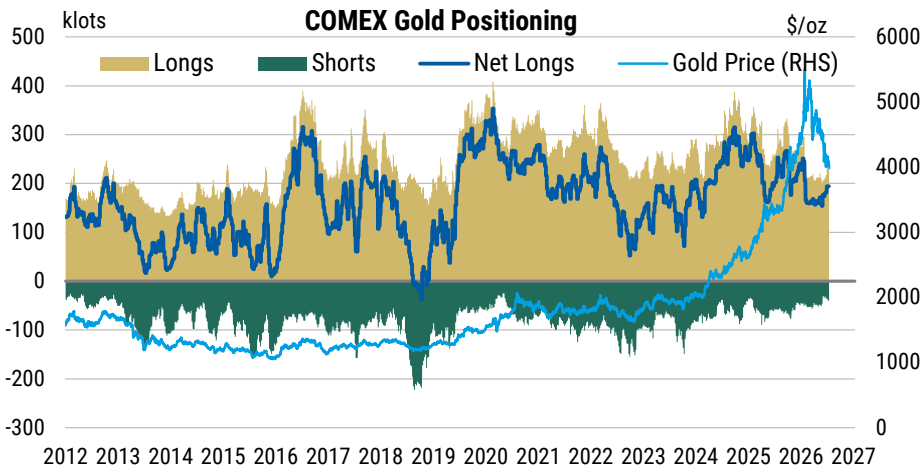
Exhibit 93: Quarterly contracting volumes



Source: Kazatomprom

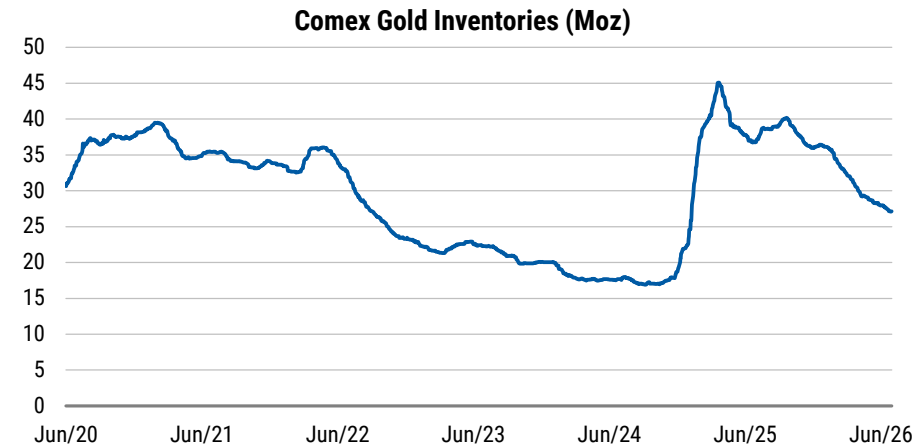
Gold and Other Precious Metals

Exhibit 94: CFTC Gold Futures Positioning



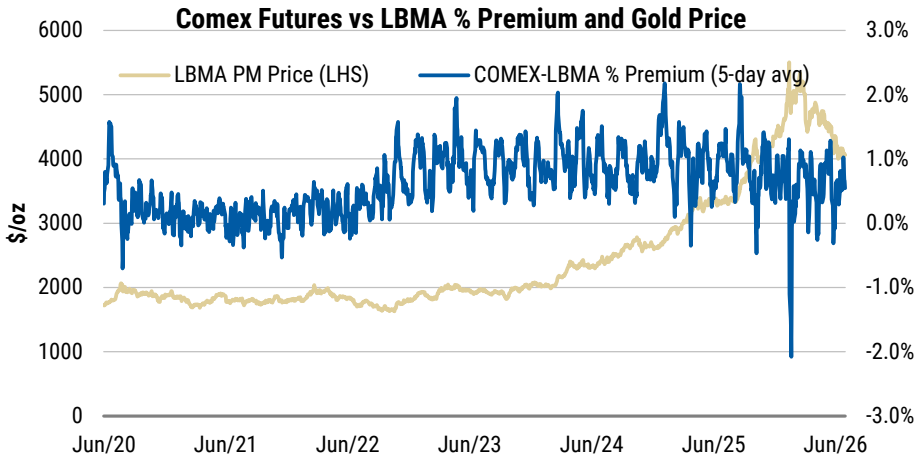
Source: Bloomberg

Exhibit 96: COMEX Gold Inventories



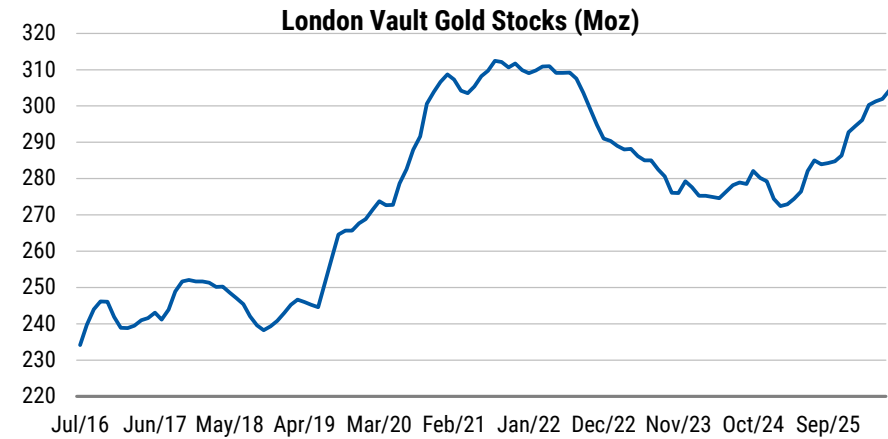
Source: Bloomberg

Exhibit 95: COMEX-LBMA Gold Premium



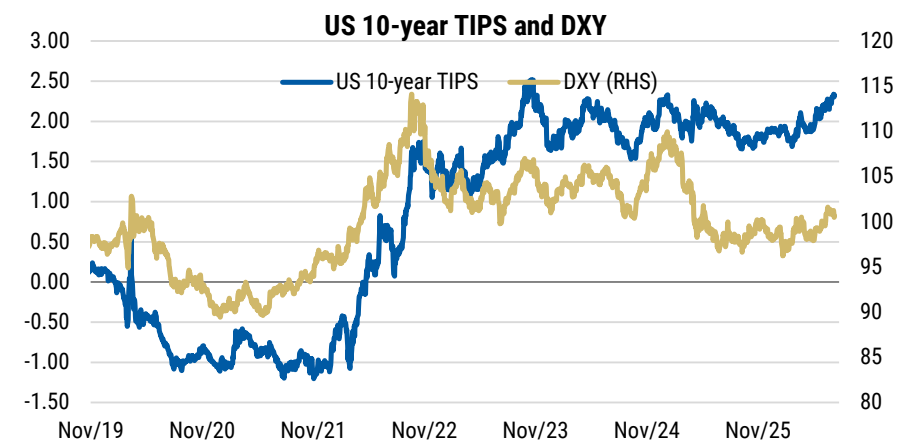
Source: Bloomberg

Exhibit 97: London Gold Vault Stocks



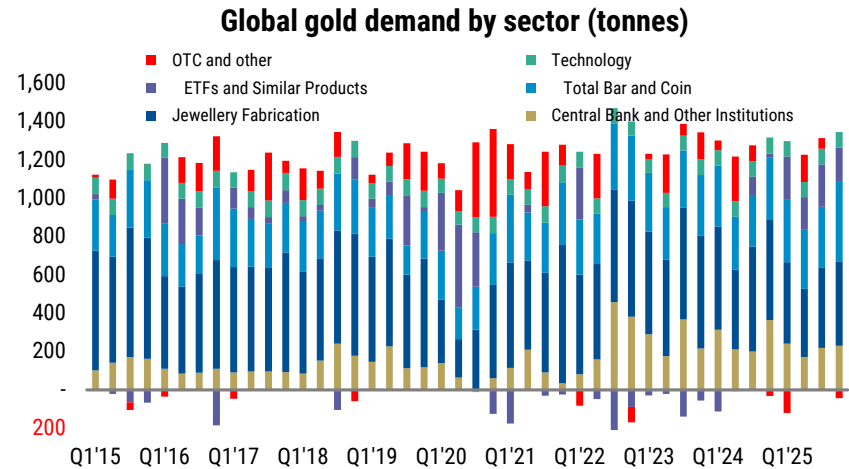
Source: LBMA

Exhibit 98: US 10 Year TIPS and DXY



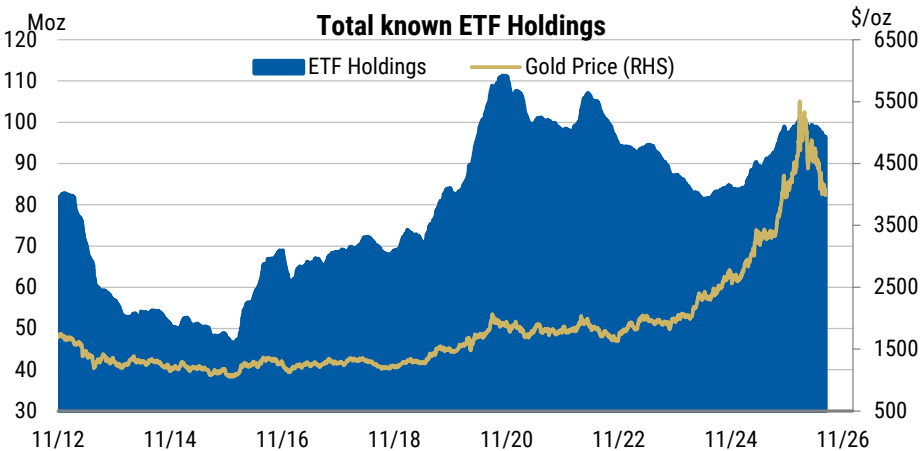
Source: Bloomberg

Exhibit 100: Global Gold Demand by Sector



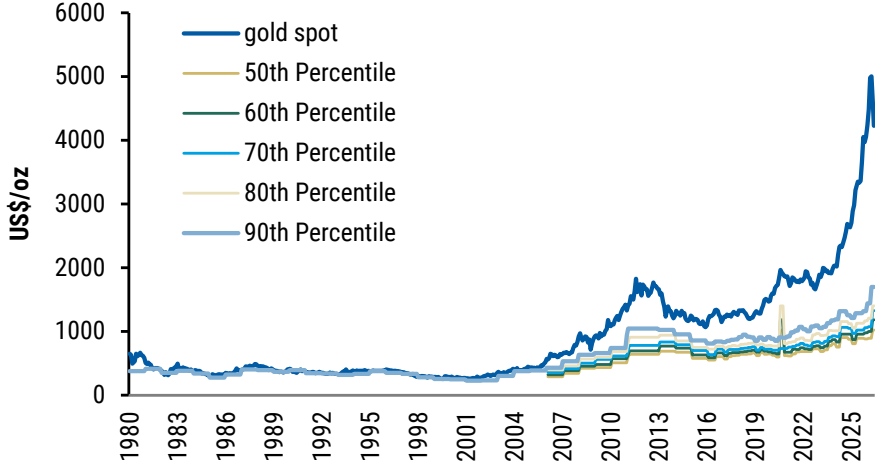
Source: World Gold Council

Exhibit 99: ETF Holdings vs Gold Price



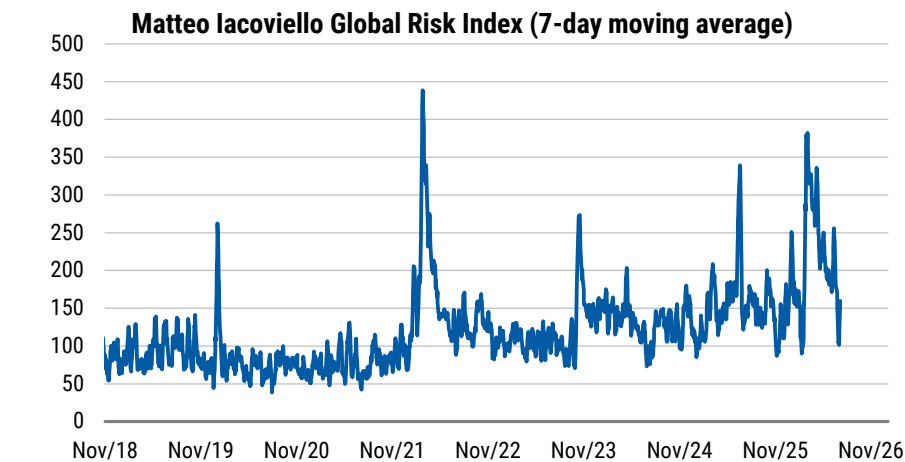
Source: Bloomberg

Exhibit 101: Gold Cost Curve Evolution



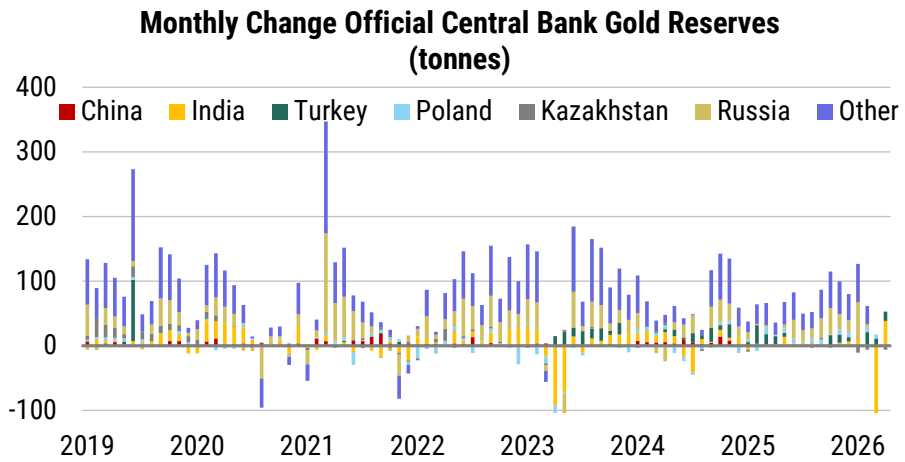
Source: Woodmac

Exhibit 102: Geopolitical Risk Index



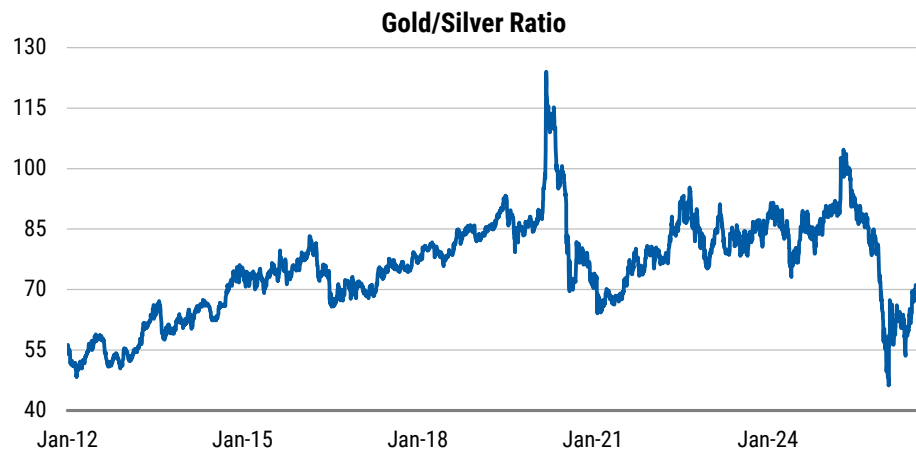
Source: Matteo Iacoviello

Exhibit 103: Monthly Central Bank Purchasing



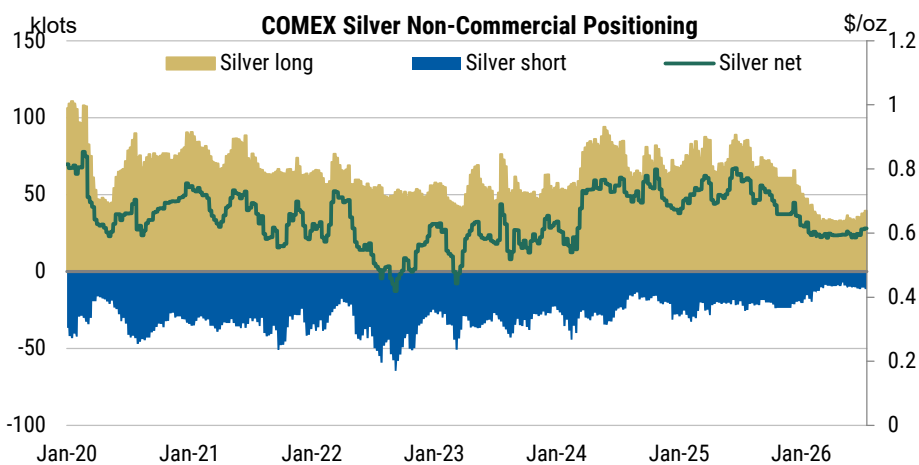
Source: World Gold Council

Exhibit 104: Gold/Silver Ratio



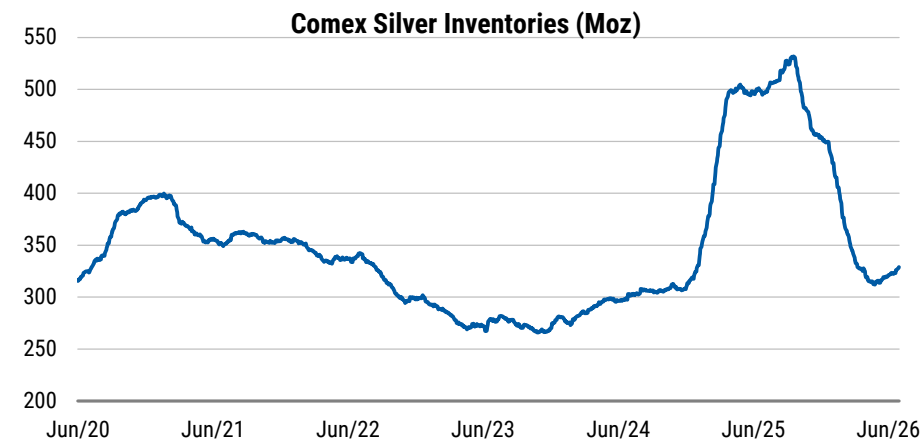
Source: Bloomberg

Exhibit 105: CFTC Silver Futures Positioning



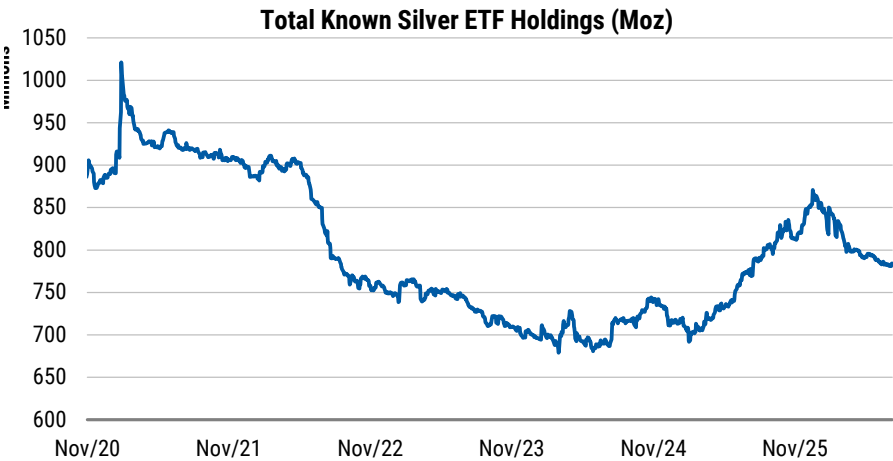
Source: Bloomberg

Exhibit 106: COMEX Silver Inventories



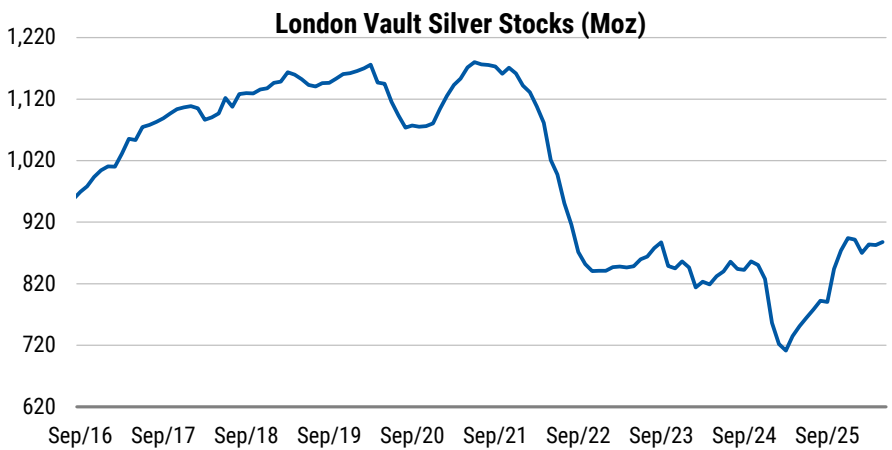
Source: Bloomberg

Exhibit 108: Total ETF Holdings



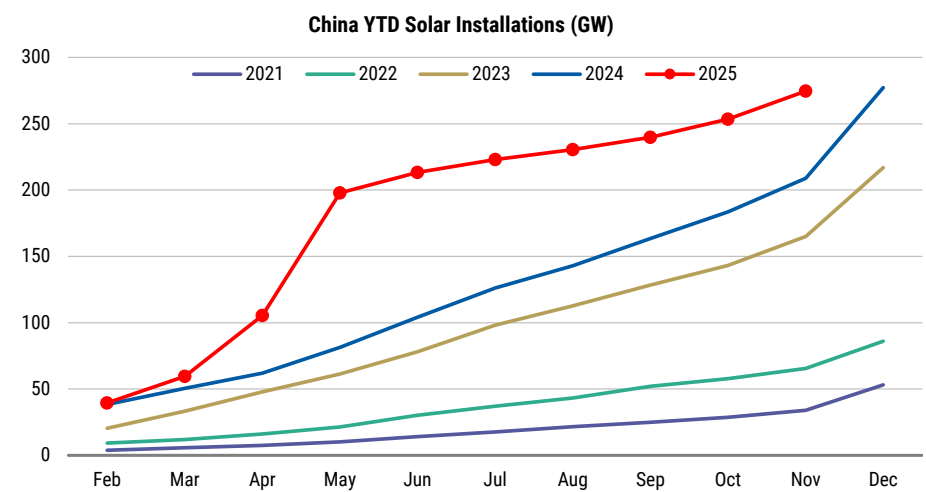
Source: Bloomberg

Exhibit 107: London Vault Silver Stocks



Source: LBMA

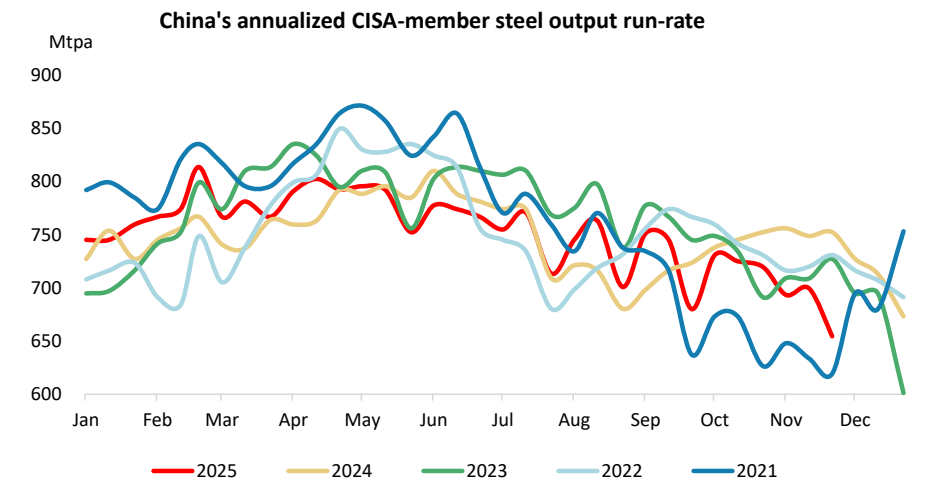
Exhibit 109: China Solar Installations



Source: Bloomberg

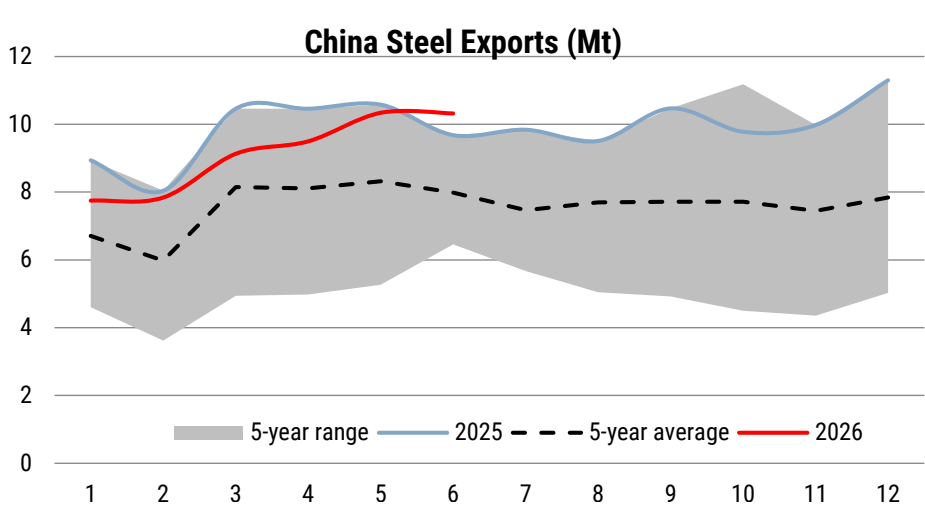
Iron Ore & Steel

Exhibit 110: China CISA Steel Production



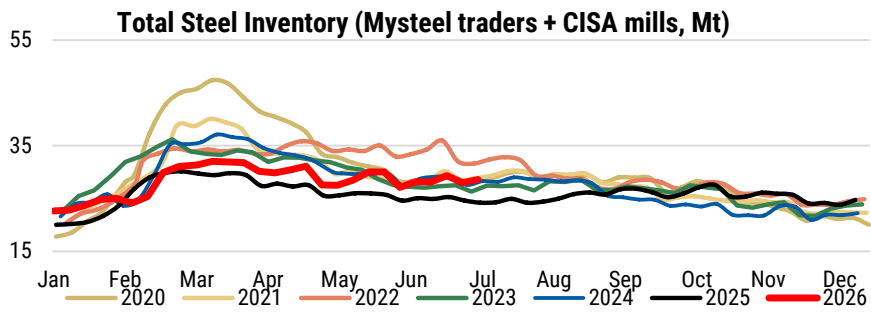
Source: CISA

Exhibit 112: China Steel Exports



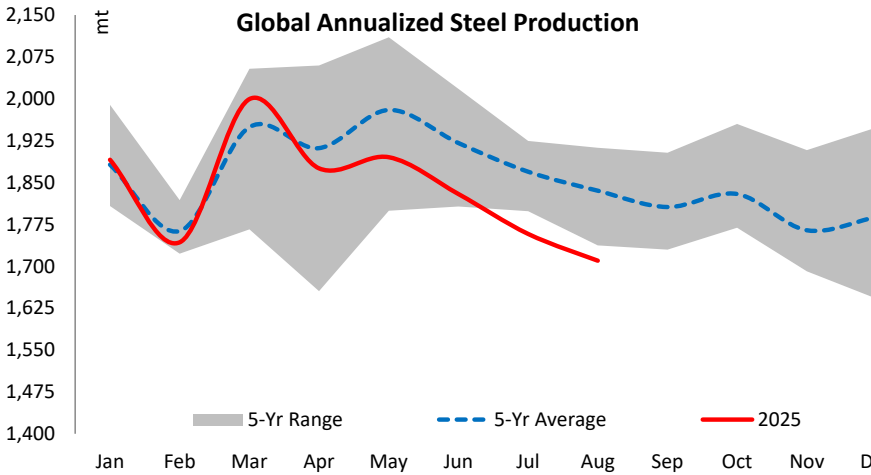
Source: Bloomberg

Exhibit 111: China Steel Inventory



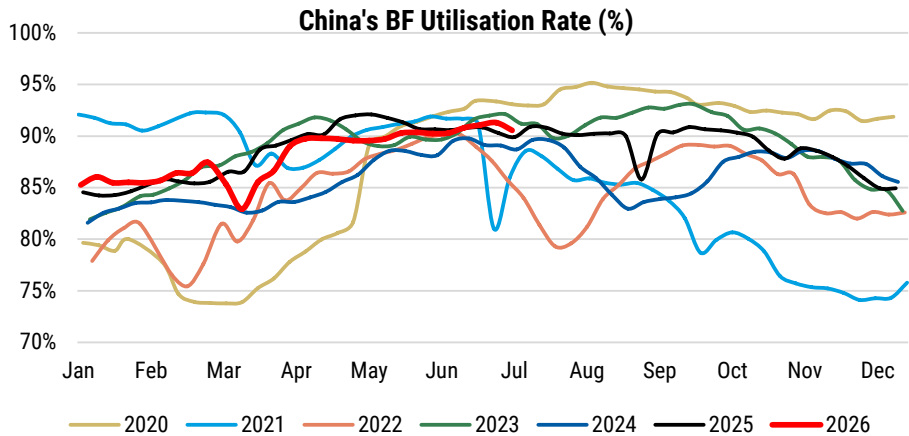
Source: Mysteel

Exhibit 113: Global Steel Production



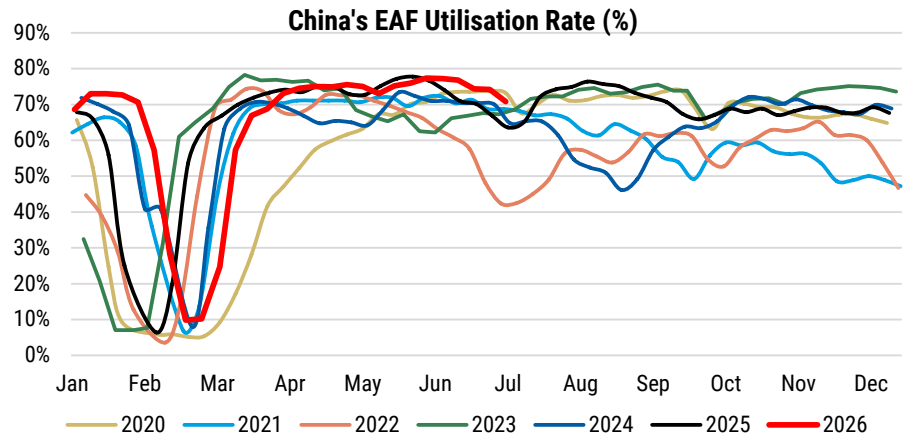
Source: WSA

Exhibit 114: China BF Utilisation Rate



Source: Mysteel

Exhibit 115: China EAF Utilisation Rate



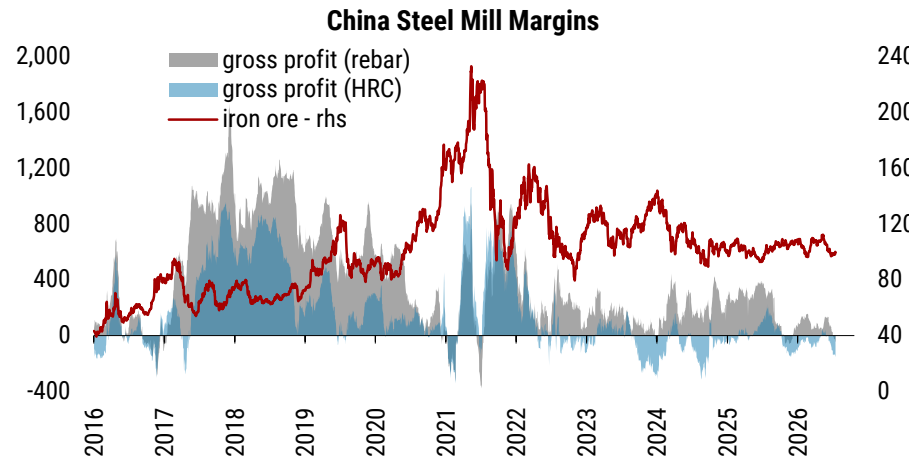
Source: Mysteel

Exhibit 116: China Steel Scrap Ratio



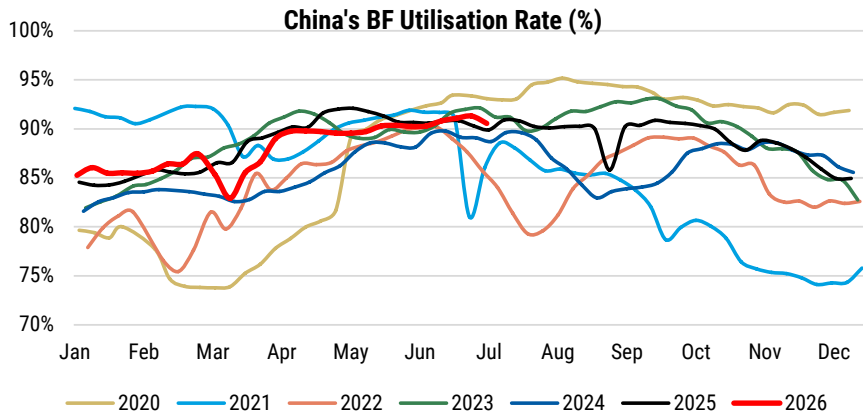
Source: Bloomberg

Exhibit 117: China Steel Mill Margin



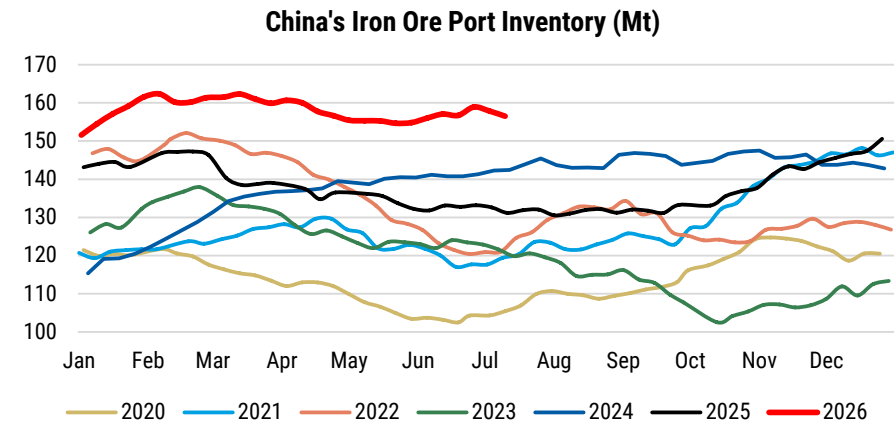
Source: Mysteel

Exhibit 118: China BF Utilisation



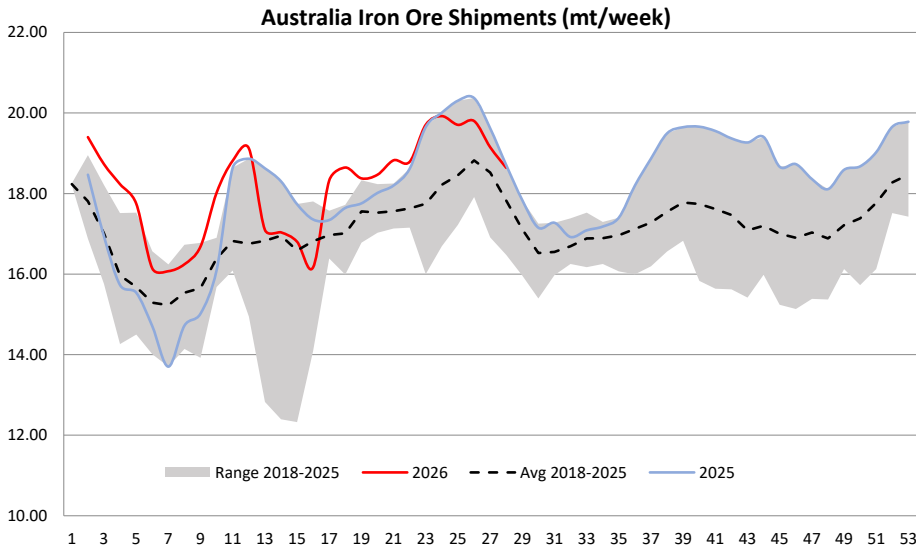
Source: Bloomberg

Exhibit 119: China Iron Ore Port Inventory



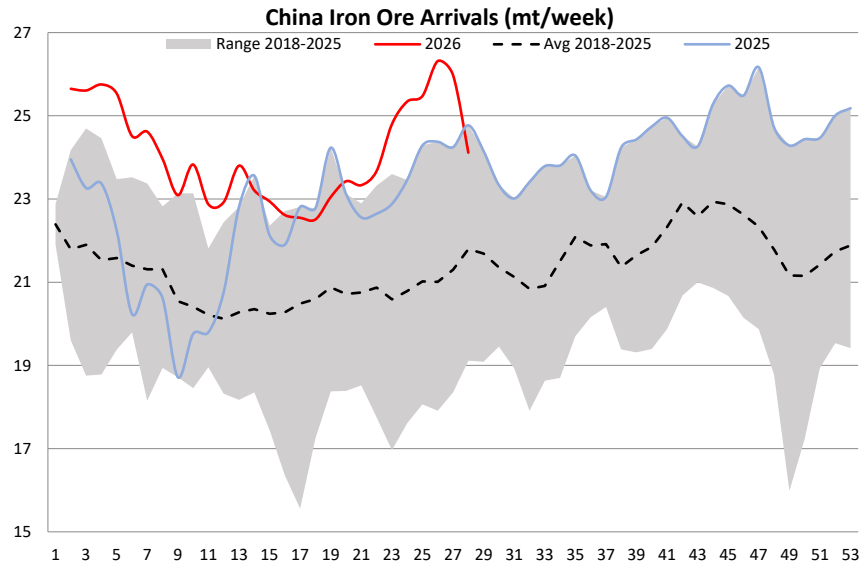
Source: Mysteel

Exhibit 120: Australia Iron Ore Shipments



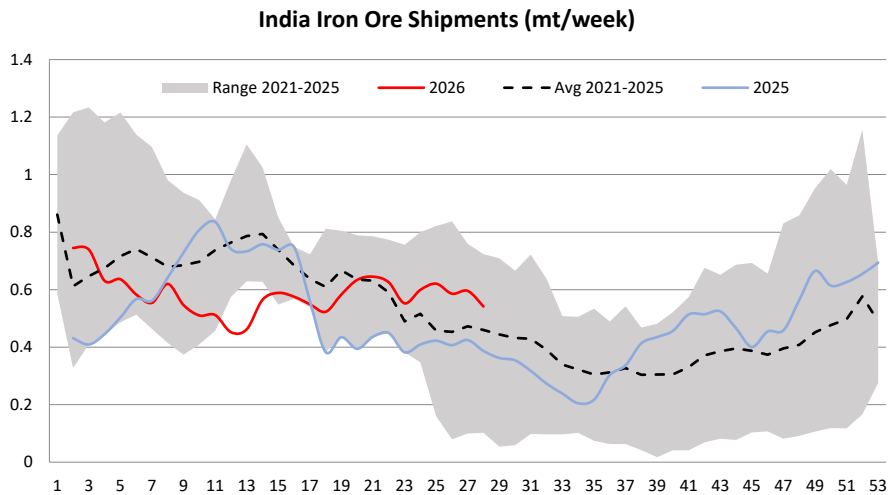
Source: Eikon

Exhibit 121: China Iron Ore Arrivals



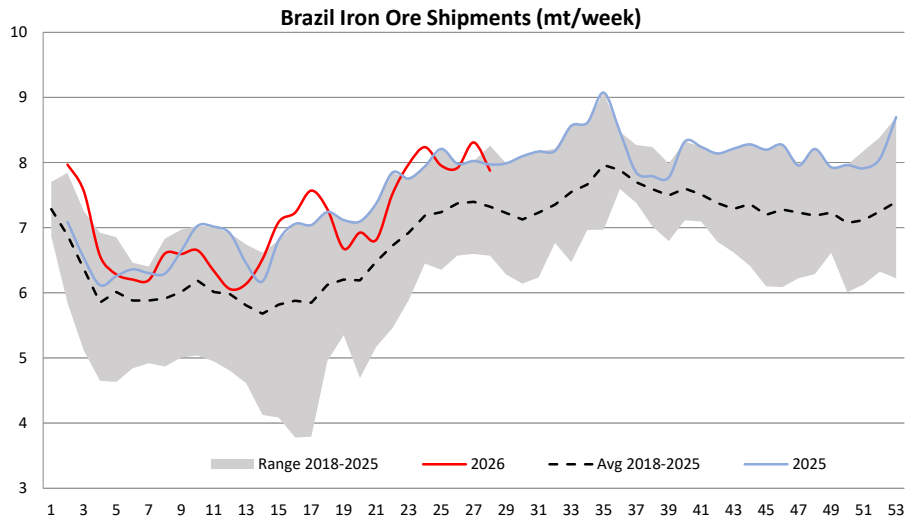
Source: Eikon

Exhibit 122: India Iron Ore Shipments



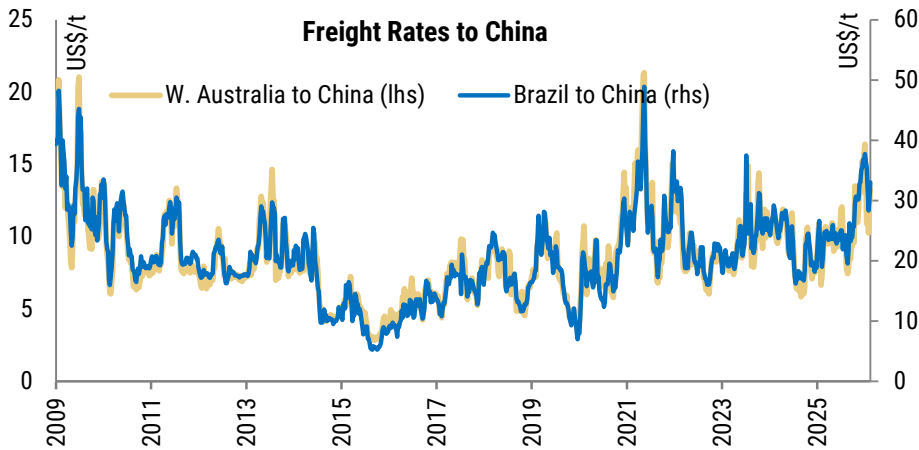
Source: Eikon

Exhibit 123: Brazil Iron Ore Shipments



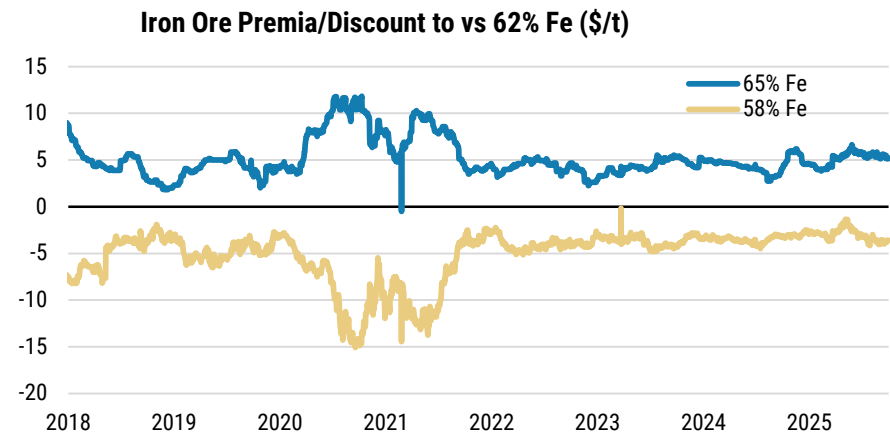
Source: Eikon

Exhibit 124: Freight Rates to China



Source: Bloomberg

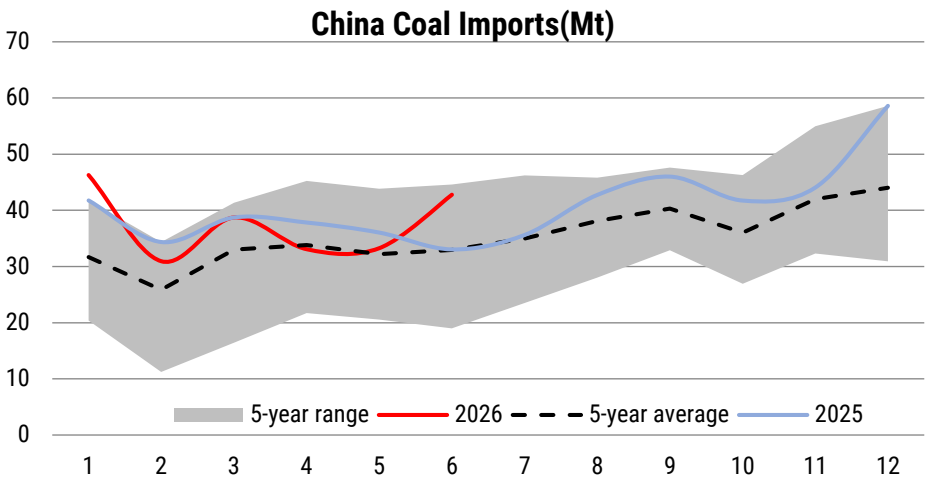
Exhibit 125: Iron Ore Premia/Discount



Source: Platts

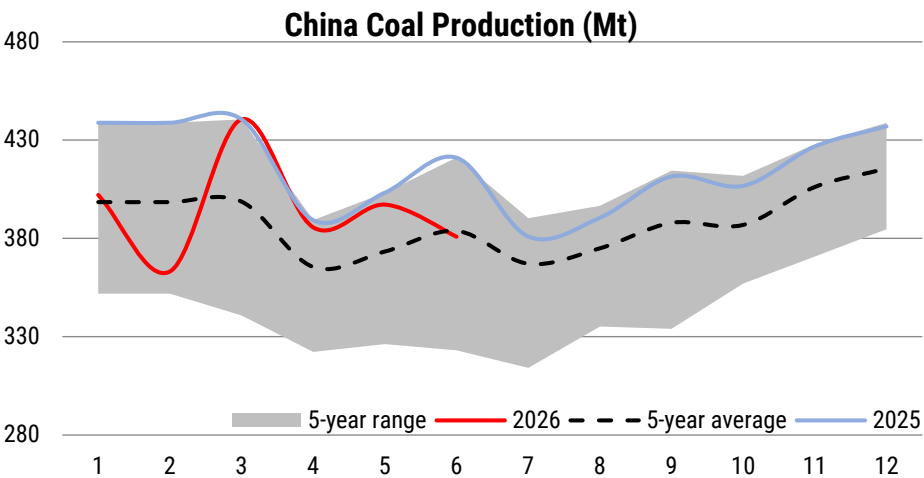
Coal

Exhibit 126: China Coal Imports



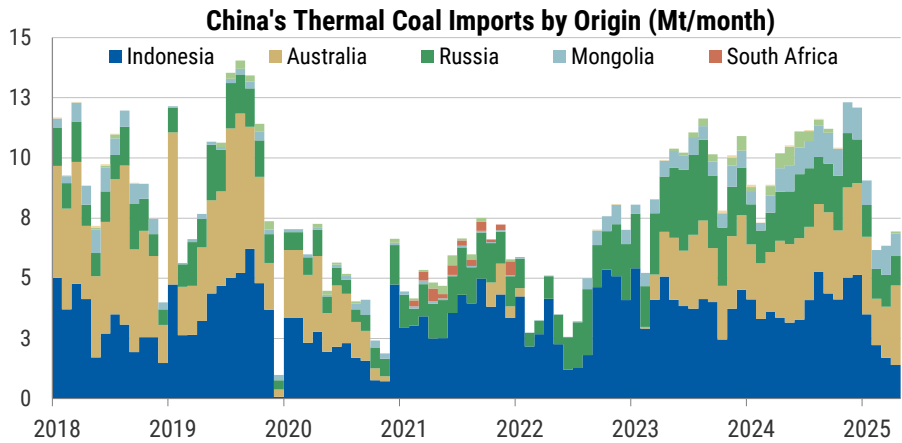
Source: Bloomberg

Exhibit 127: China Coal Production



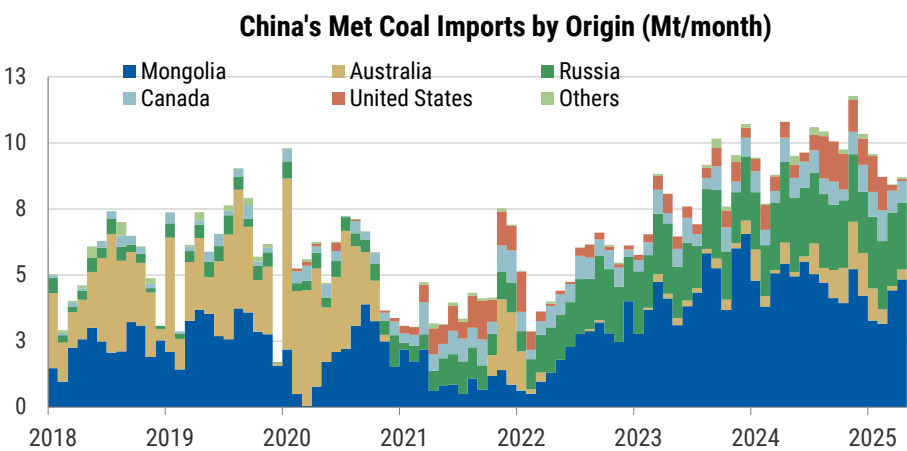
Source: Bloomberg

Exhibit 128: China Thermal Coal Imports



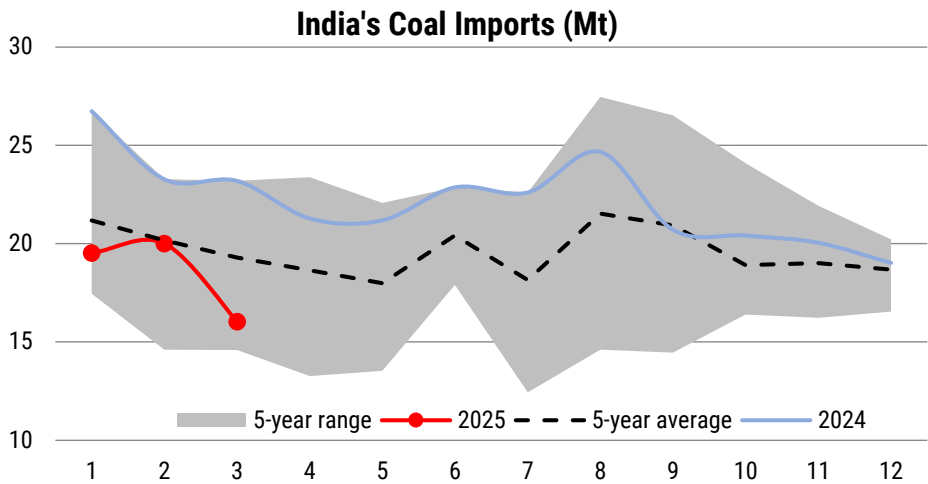
Source: McCloskey

Exhibit 129: China Met Coal Imports



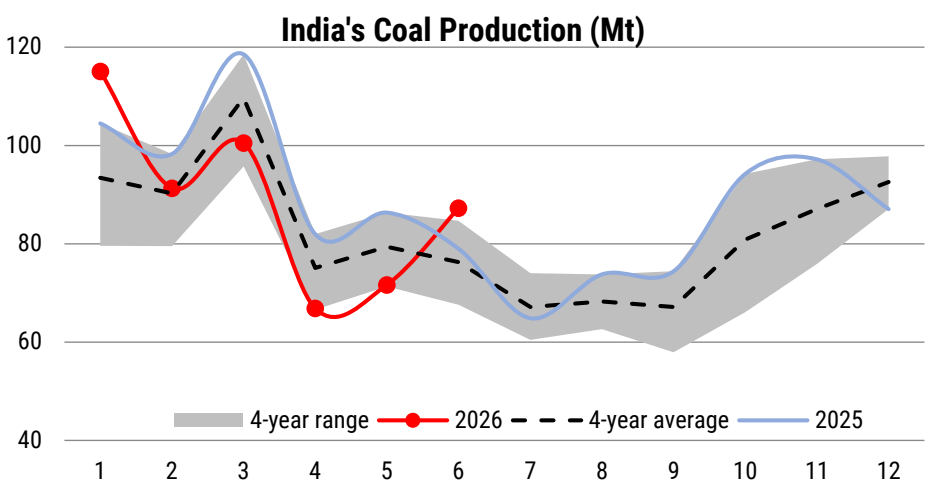
Source: McCloskey

Exhibit 130: India Coal Imports



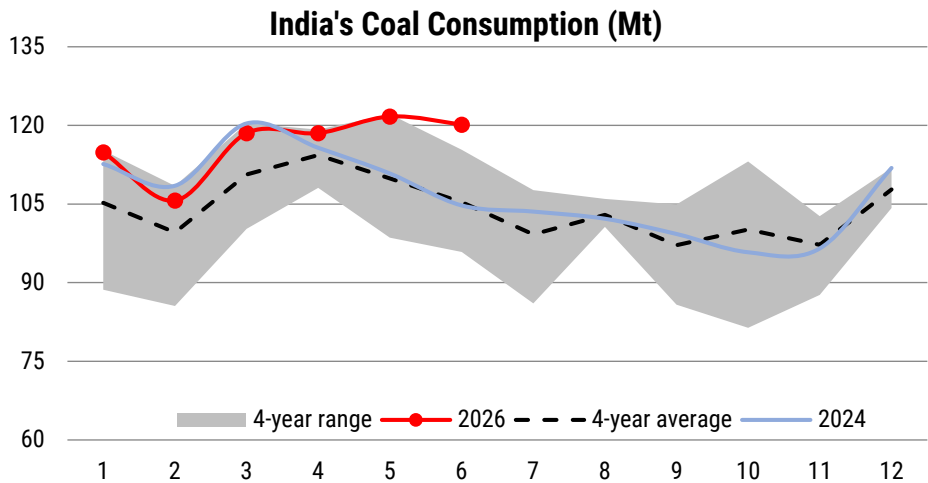
Source: McCloskey

Exhibit 131: India Coal Production



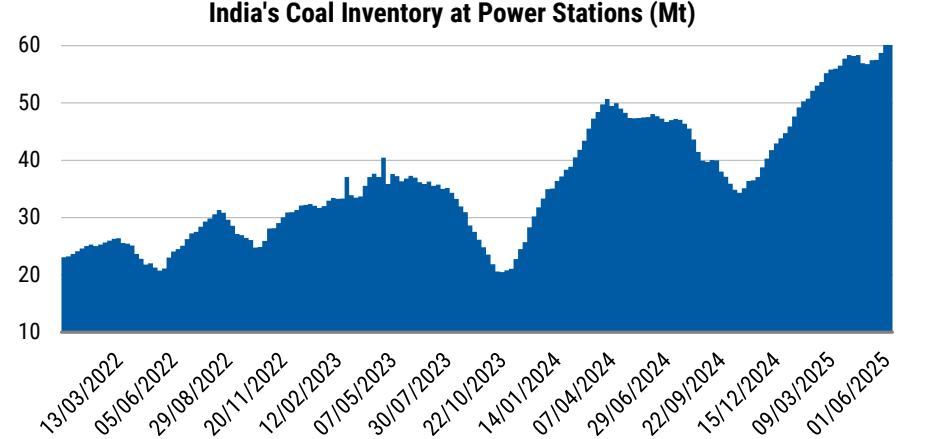
Source: Ministry of Coal, Government of India

Exhibit 132: India Coal Consumption



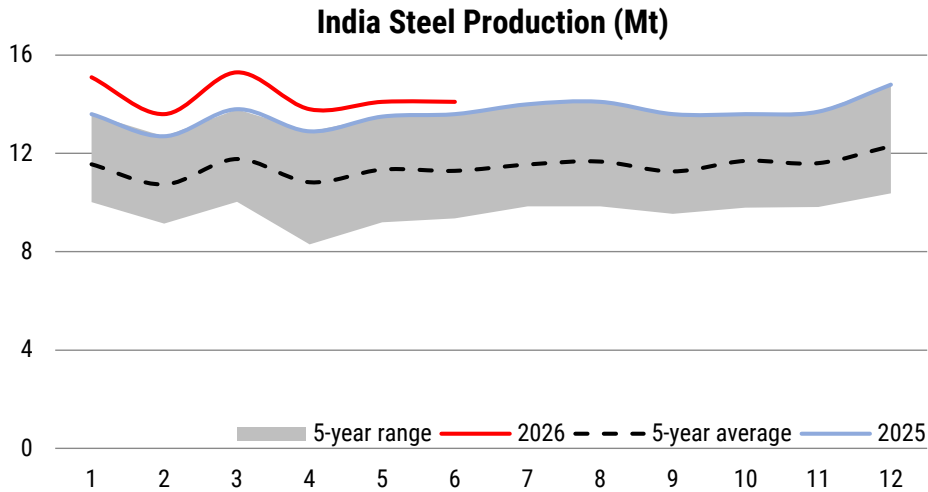
Source: Ministry of Coal, Government of India

Exhibit 133: India Coal Inventory at Power Station



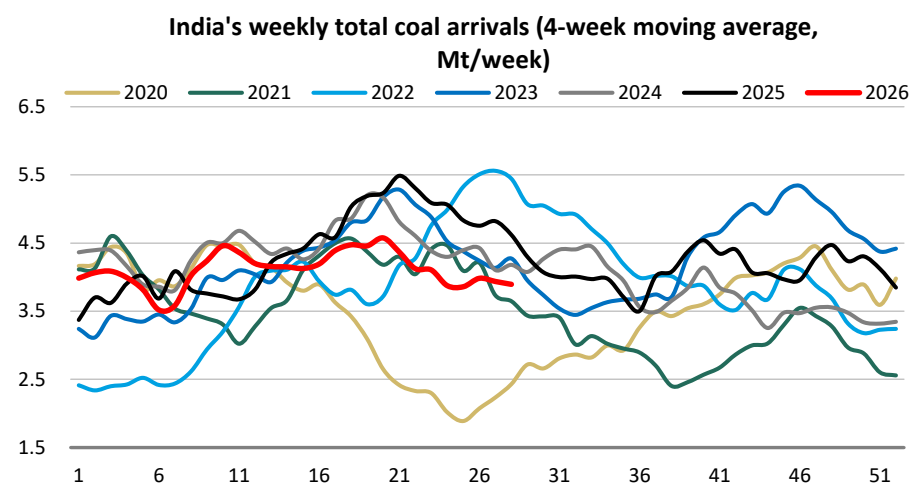
Source: McCloskey

Exhibit 134: India Steel Production



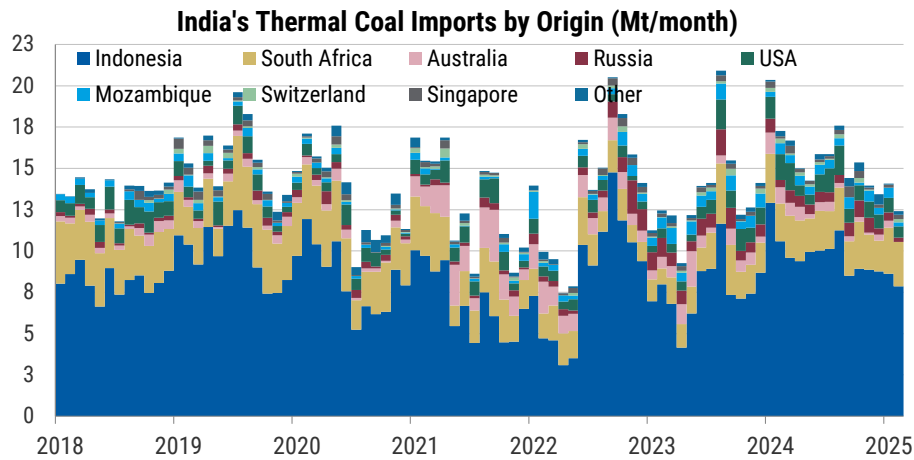
Source: Bloomberg

Exhibit 135: India Coal Arrivals



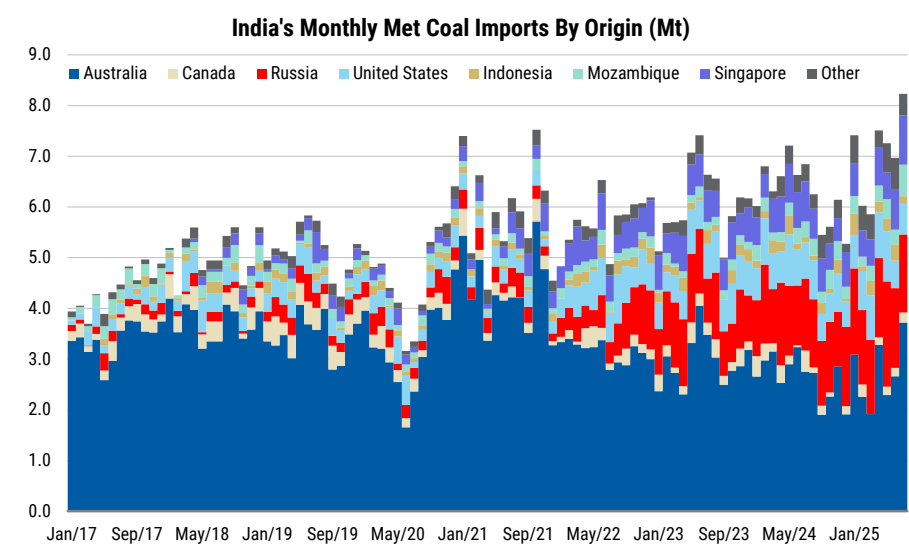
Source: Eikon

Exhibit 136: India Thermal Coal Imports



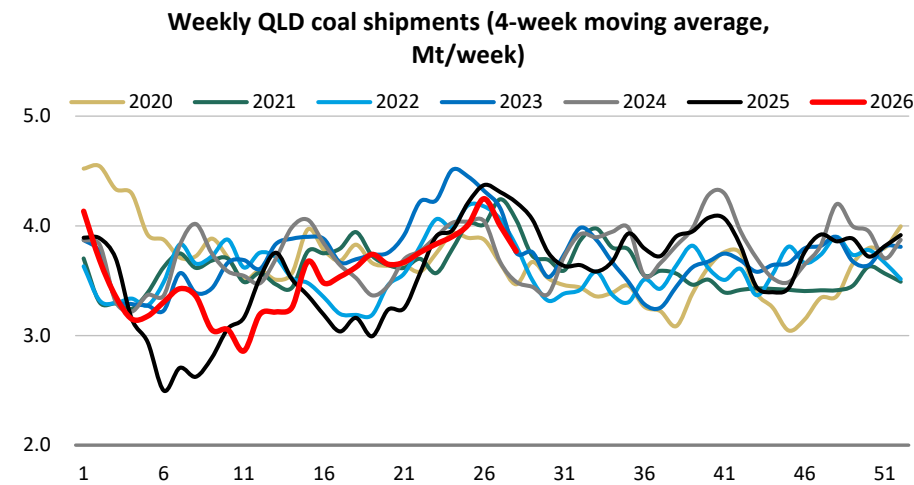
Source: McCloskey

Exhibit 137: India Met-Coal Imports



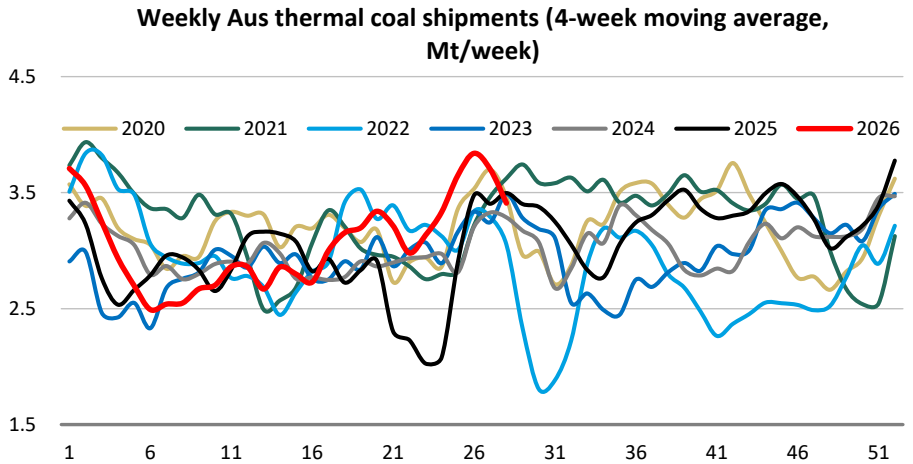
Source: McCloskey

Exhibit 138: Queensland Coal Shipments



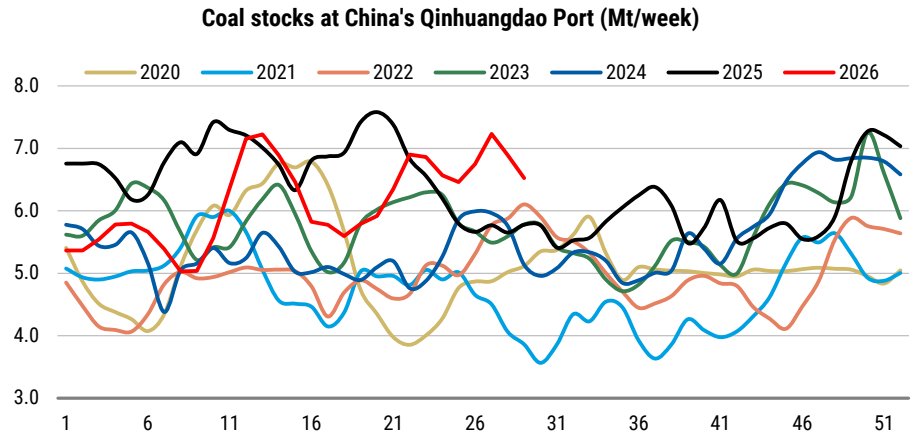
Source: Eikon

Exhibit 139: Australia Thermal Coal Shipments



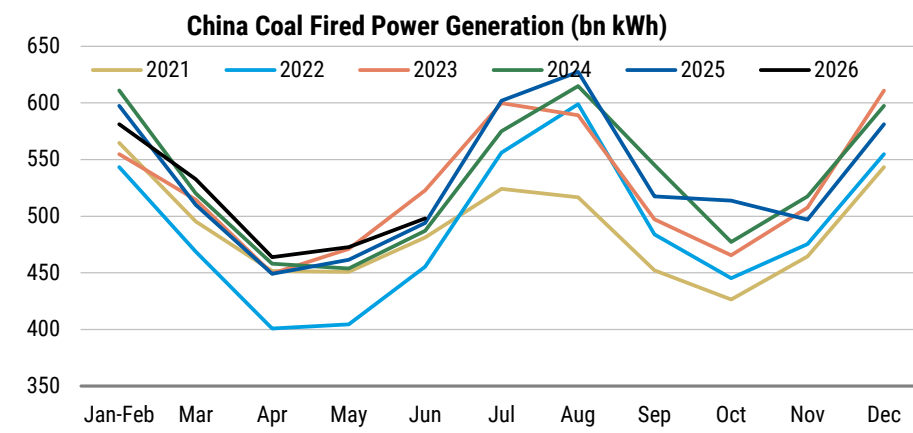
Source: Eikon

Exhibit 140: Coal Stocks at Qinhuangdao Port



Source: Bloomberg

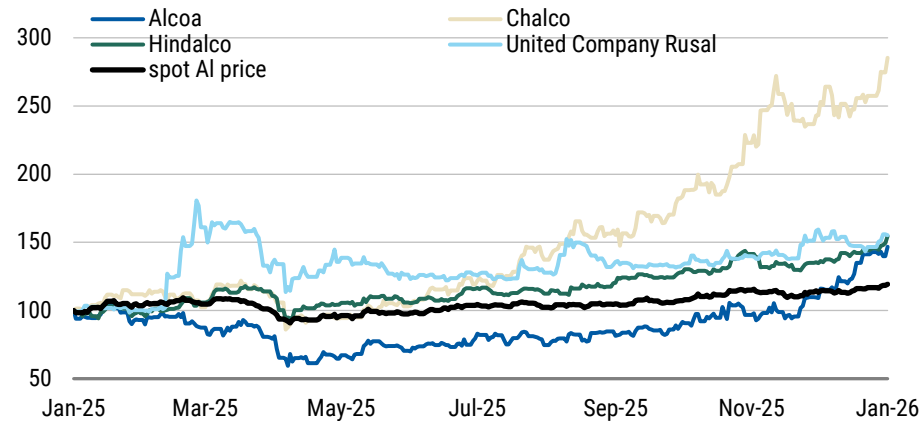
Exhibit 141: China Coal-fired Power Generation



Source: Bloomberg

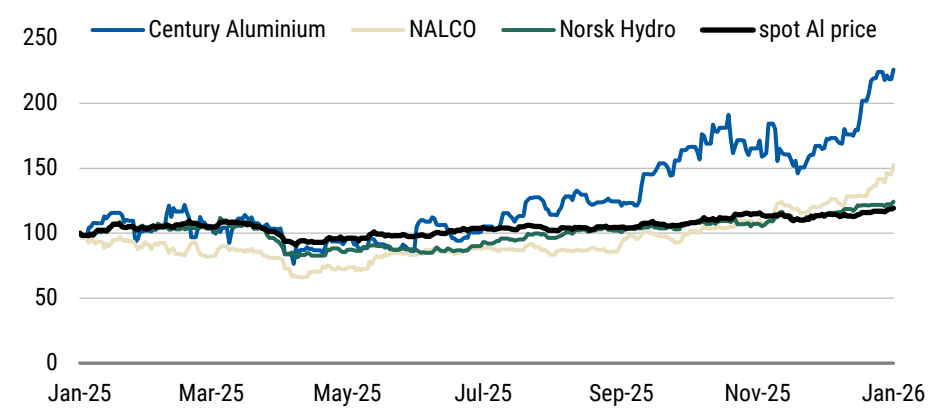
Equity vs. Commodity – Relative One-Year Performance

Exhibit 142: Aluminium (large cap)



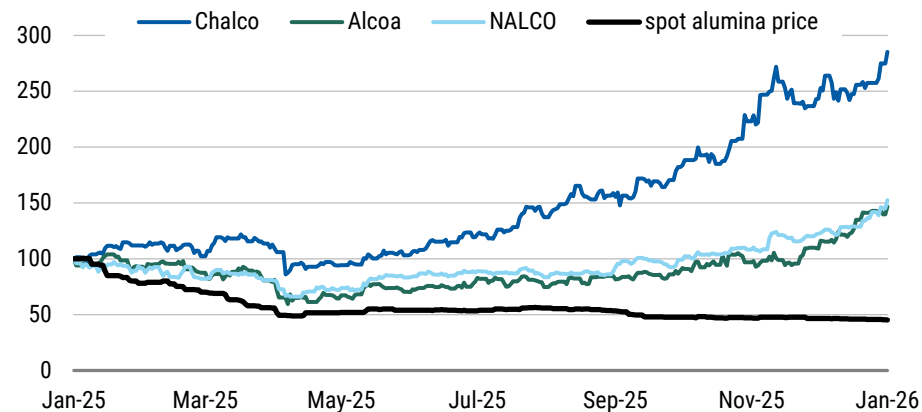
Source: Bloomberg, Morgan Stanley Research

Exhibit 143: Aluminium (small-medium cap)



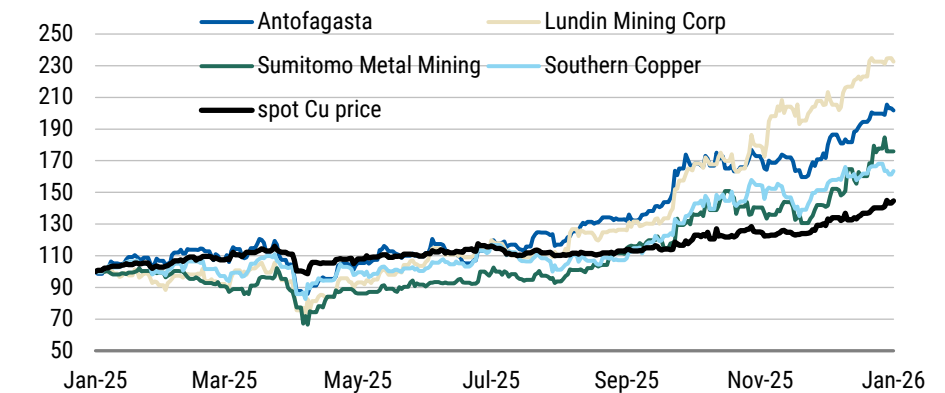
Source: Bloomberg, Morgan Stanley Research

Exhibit 144: Alumina



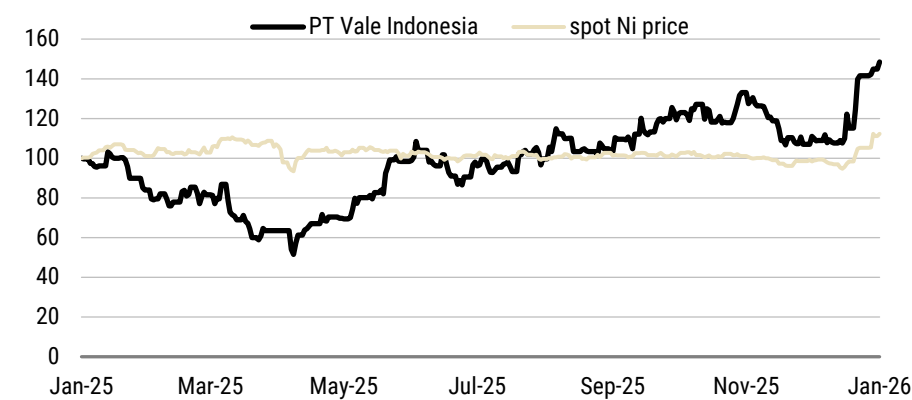
Source: Bloomberg, Morgan Stanley Research

Exhibit 145: Copper



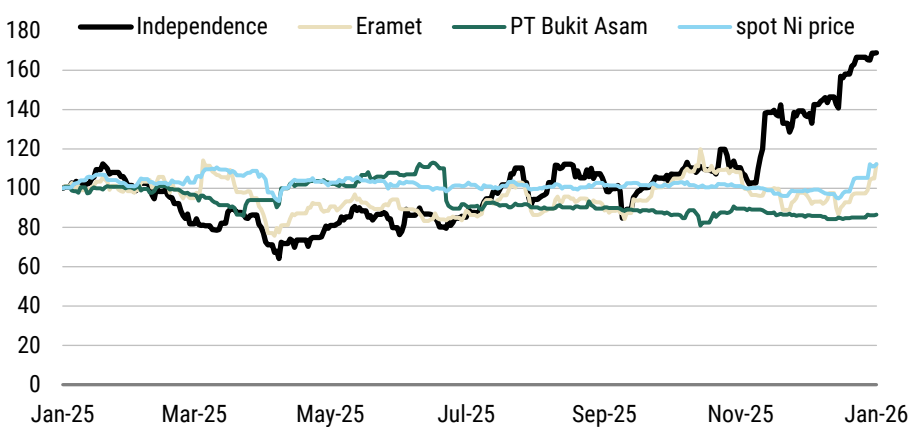
Source: Bloomberg, Morgan Stanley Research

Exhibit146: Nickel (large cap)



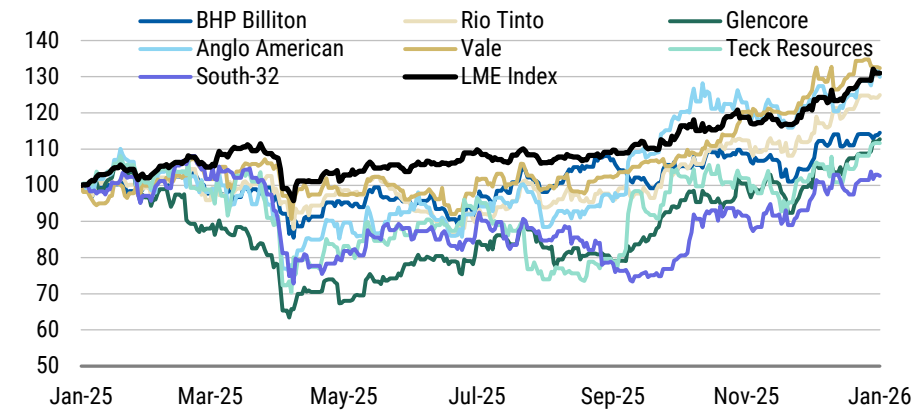
Source: Bloomberg, Morgan Stanley Research

Exhibit 147: Nickel (small-medium cap)



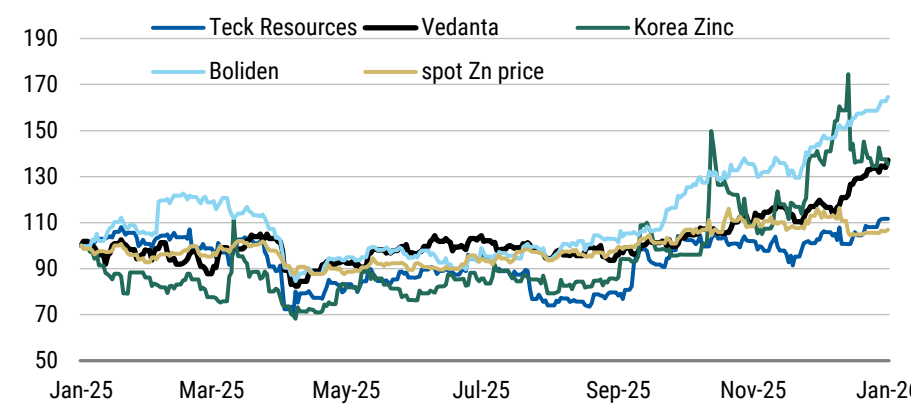
Source: Bloomberg, Morgan Stanley Research

Exhibit148: Diversifieds



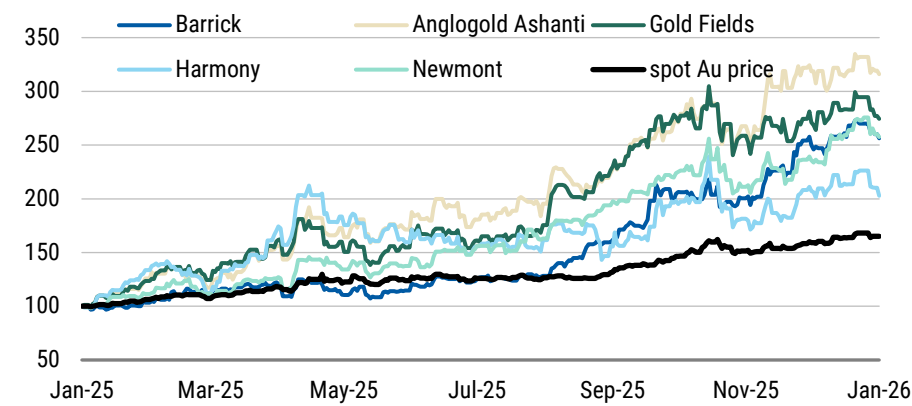
Source: Bloomberg, Morgan Stanley Research

Exhibit 149: Zinc



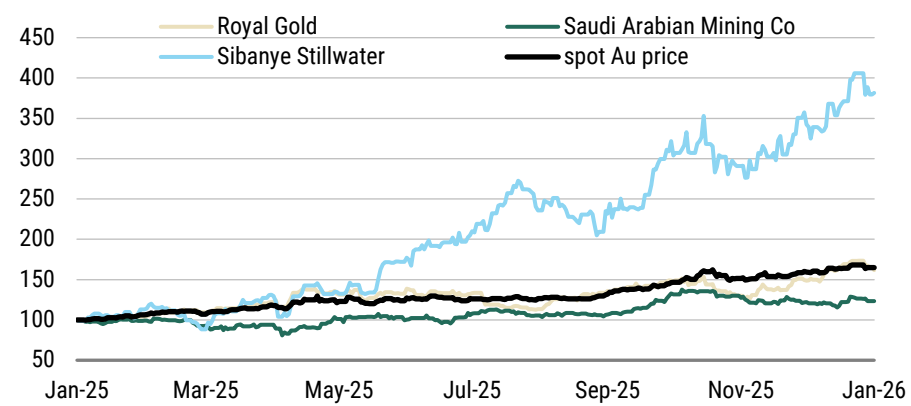
Source: Bloomberg, Morgan Stanley Research

Exhibit150: Gold (large cap)



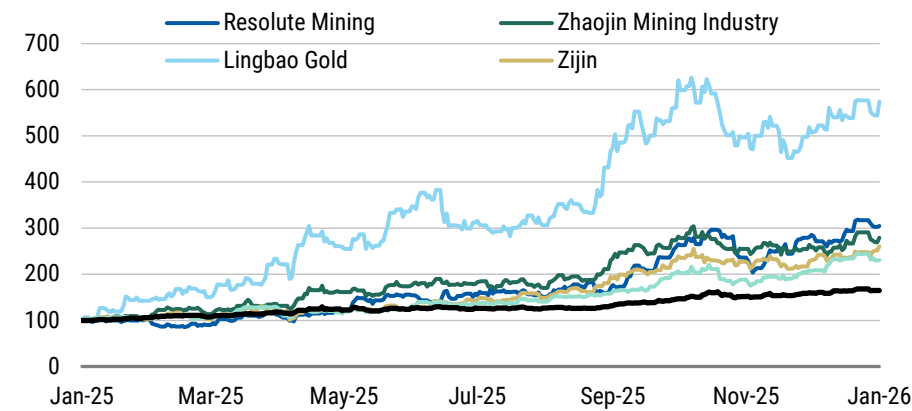
Source: Bloomberg, Morgan Stanley Research

Exhibit151: Gold (small/medium cap)



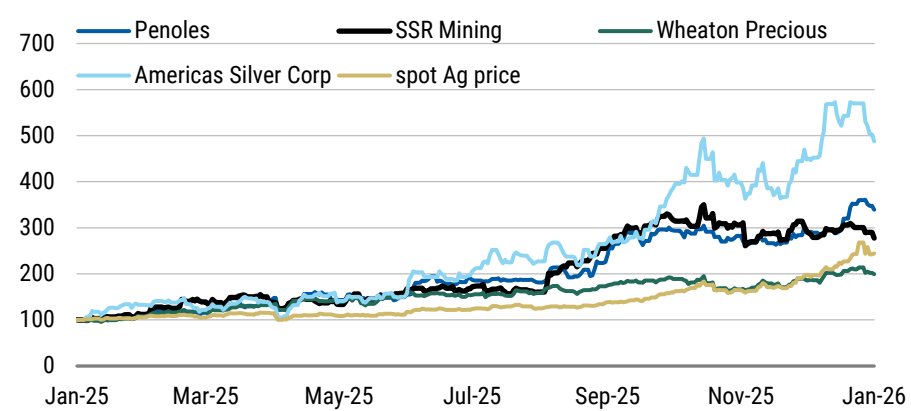
Source: Bloomberg, Morgan Stanley Research

Exhibit152: Gold (small / medium cap)



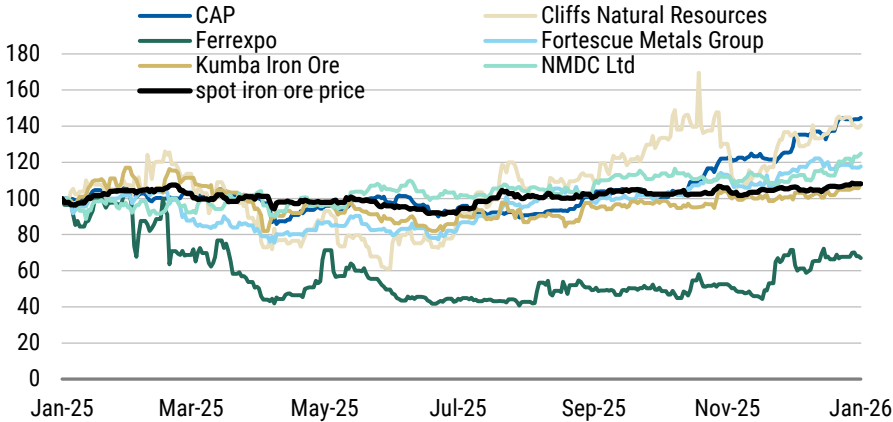
Source: Bloomberg, Morgan Stanley Research

Exhibit153: Silver



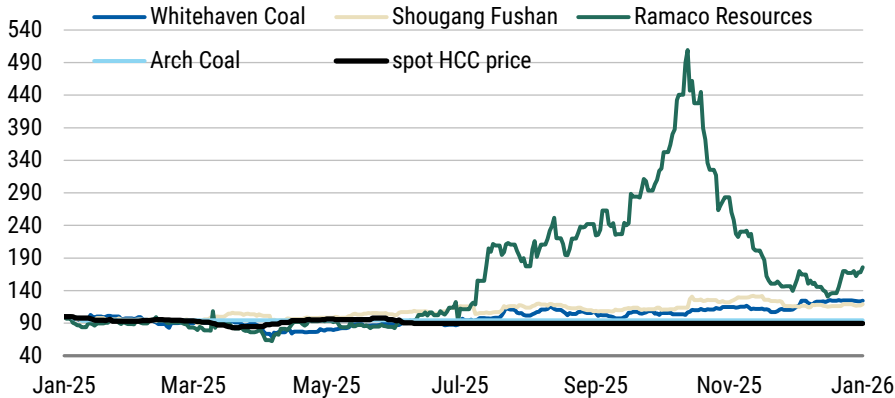
Source: Bloomberg, Morgan Stanley Research

Exhibit154: Iron ore



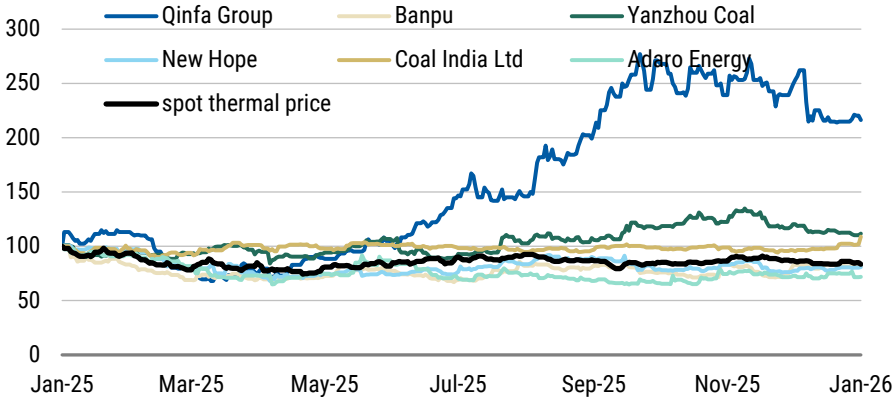
Source: Bloomberg, Morgan Stanley Research

Exhibit155: Metallurgical coal



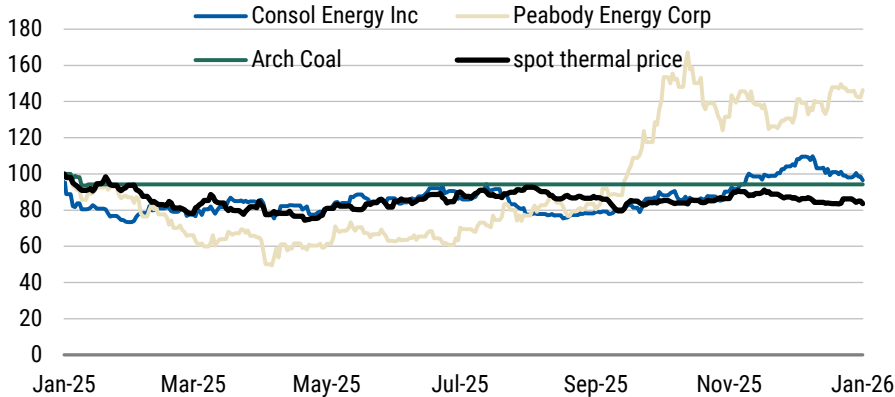
Source: Bloomberg, Morgan Stanley Research

Exhibit156: Thermal coal – Asia



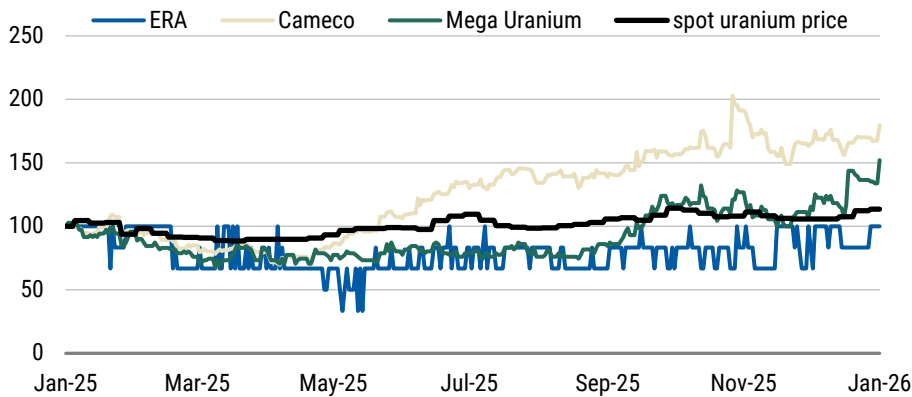
Source: Bloomberg, Morgan Stanley Research

Exhibit 157: Thermal coal – North America



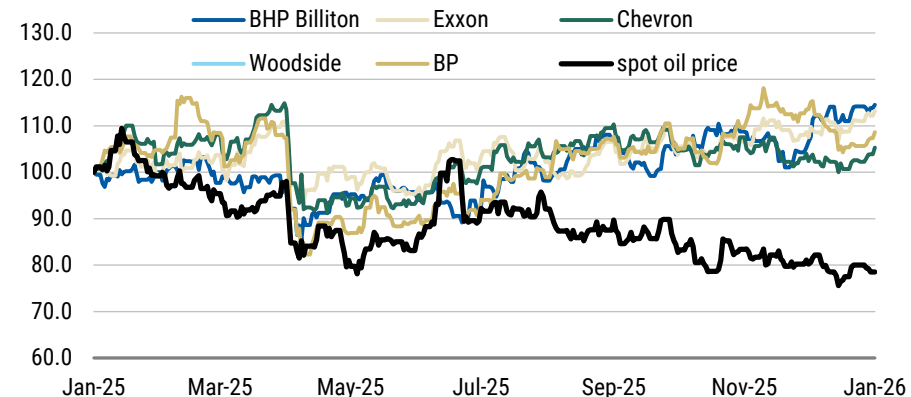
Source: Bloomberg, Morgan Stanley Research

Exhibit158: Uranium



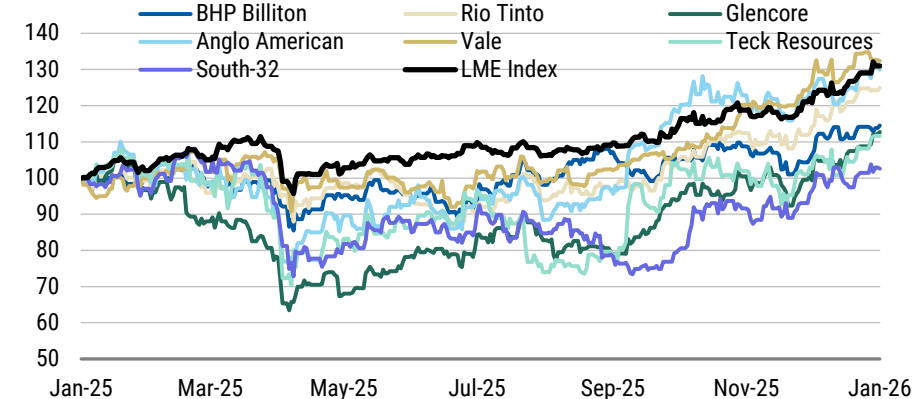
Source: Bloomberg, Morgan Stanley Research

Exhibit159: Oil



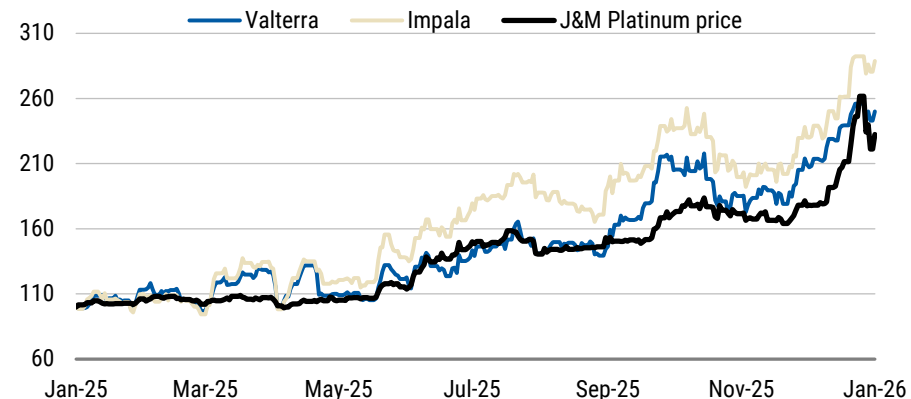
Source: Bloomberg, Morgan Stanley Research

Exhibit160: Diversified



Source: Bloomberg, Morgan Stanley Research

Exhibit 161: PGM



Source: Bloomberg

Key Morgan Stanley Forecasts

Exhibit 162: Base metals price forecasts

Period	Aluminium			Copper			Nickel			Zinc			Lead			Tin		
	Bull	Base US\$/lb	Bear	Bull	Base US\$/lb	Bear	Bull	Base US\$/lb	Bear	Bull	Base US\$/lb	Bear	Bull	Base US\$/lb	Bear	Bull	Base US\$/lb	Bear
2026e	1.70	1.48	1.20	7.27	6.11	5.18	9.21	7.76	6.89	1.72	1.55	1.31	1.01	0.88	0.78	25.30	22.00	18.70
2027e	1.55	1.29	1.03	7.31	5.85	4.80	9.78	7.82	6.26	1.71	1.42	1.21	1.03	0.92	0.83	21.64	18.03	14.42
2028e	1.52	1.27	1.04	6.80	5.67	4.82	9.73	7.48	5.61	1.64	1.32	1.12	1.20	1.00	0.90	19.05	15.88	12.70
2029e	1.70	1.36	1.16	7.08	5.44	4.90	10.02	7.71	5.40	1.64	1.32	1.18	1.22	1.01	0.91	16.33	13.61	10.89
2030e	1.70	1.36	1.16	7.04	5.22	4.69	10.61	8.16	5.72	1.70	1.36	1.22	1.36	1.13	1.02	16.33	13.61	10.89
2031e	1.70	1.36	1.16	7.04	5.22	4.69	10.61	8.16	5.72	1.63	1.36	1.16	1.36	1.13	1.02	16.33	13.61	10.89
LT nom.	1.50	1.30	1.17	6.57	5.05	4.30	11.11	8.54	5.98	1.61	1.46	1.17	1.29	1.17	0.94	16.26	13.55	10.84

Source: Morgan Stanley Commodities Research estimates (e)

Exhibit 163: Precious metals price forecasts

Period	Gold			Silver			Platinum			Palladium			Rhodium		
	Bull	Base US\$/oz	Bear	Bull	Base US\$/oz	Bear	Bull	Base US\$/oz	Bear	Bull	Base US\$/oz	Bear	Bull	Base US\$/oz	Bear
2026e	5,332	4,509	3,850	97.13	71.73	51.41	2,072	1,819	1,566	1,533	1,349	1,166	9,380	8,267	7,153
2027e	6,219	4,975	3,980	99.50	71.07	56.86	2,022	1,685	1,348	1,633	1,256	879	12,434	6,908	4,836
2028e	5,850	4,500	3,825	90.00	64.29	51.43	2,470	1,900	1,710	1,575	1,312	919	21,598	7,199	5,039
2029e	5,200	4,000	3,400	80.00	57.14	45.71	2,723	2,095	1,885	1,614	1,345	942	24,226	8,075	5,653
2030e	5,400	4,000	3,400	77.14	57.14	48.57	2,792	2,148	1,933	1,655	1,379	966	24,837	8,279	5,795
2031e	5,400	4,000	3,400	77.14	57.14	48.57	2,863	2,202	1,982	1,697	1,414	1,131	25,464	8,488	5,942
LT nom.	4,738	2,871	2,441	68.19	35.89	30.51	3,231	2,228	1,894	1,723	1,436	1,149	25,842	8,614	6,030

Source: Morgan Stanley Commodities Research estimates (e)

Exhibit 164: Bulks price forecasts

Period	Iron Ore (spot)			Hard Coking Coal (spot)			Thermal Coal			Manganese ore (44%)			Lithium (fob LatAm)			Uranium (spot)		
	Bull	Base US\$/t	Bear	Bull	Base US\$/t	Bear	Bull	Base US\$/t	Bear	Bull	Base US\$/lb	Bear	Bull	Base US\$/lb	Bear	Bull	Base US\$/lb	Bear
2026e	120	99	88	296	235	199	173	136	104	6.5	5.3	4.7	23,632	19,742	15,073	107	90	69
2027e	125	93	74	307	228	182	171	131	105	6.6	5.5	4.4	27,930	17,456	11,347	135	96	67
2028e	127	94	71	289	214	160	161	124	99	6.7	5.6	4.5	30,400	15,200	9,880	128	85	64
2029e	135	100	75	290	215	161	169	130	98	6.9	5.7	4.6	28,000	14,000	9,800	105	70	56
2030e	135	100	75	290	215	161	176	135	101	7.0	5.8	4.7	28,000	14,000	9,800	105	70	56
2031e	135	100	75	290	215	161	176	135	101	7.0	5.8	4.7	32,000	16,000	11,200	105	70	56
LT nom.	150	103	78	296	219	165	179	138	103	6.6	5.5	4.4	33,996	16,998	10,199	105	70	56

Source: Morgan Stanley Commodities Research estimates (e)

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(as of June 30, 2026)

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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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